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## Electronic Components | Japan

# Apr-Jun Q Earnings Outlook: Sustainability of Strong Earnings the Key Consideration

We forecast total Apr-Jun OP for 19 firms will increase 33.6% YoY, with strong demand from AI/data center applications continuing, but rising raw material costs warrant close attention.

## Key Takeaways

- We expect continued growth for ABF package substrates for AI/DC semis and MLCCs; rising raw materials cost a key risk for aluminum electrolytic capacitors.
- Murata Mfg. still our Top Pick, continue to rate Taiyo Yuden UW. We expect the strength of Murata's high-value-added MLCCs to become increasingly evident.
- We also expect Iriden's earnings expansion to continue over the longer term, but remain UW as market expectations and valuation look too high.

## Expect strong Apr-Jun results for beneficiaries of AI/DC-related sales growth, inc. Iriden & Murata:

For Iriden, we expect strong growth in sales of high-value-added ABF package substrates, with sales for NVIDIA's Rubin platform exceeding those for Blackwell. With use of the declining-balance method, we estimate 1Q depreciation expense will decline by ¥4.5bn QoQ, enabling high earnings from 1Q. For Murata, we expect high earnings from 1Q driven by rising sales of high-value-added MLCCs for AI/DC applications and higher utilization rates in core MLCCs.

**OW on Murata, TDK, Hirose Electric, Niterra, Alps Alpine:** Murata's longer-term earnings growth is driven by an improving mix on rising sales of high-value-added MLCCs for AI/DC use. For TDK, profit growth from rechargeable batteries is limited in F3/27, but expect HDD heads and passive components to drive growth, with rechargeable batteries for DC BBUs to contribute from F3/29. For Hirose, we expect sales growth in connectors for both industrial equipment and AI servers, and continued ROE improvement longer term via enhanced shareholder returns and strategic investments. For Niterra, we expect stable, high level profit from spark plugs to increase gradually, market share gains in exhaust gas oxygen sensors, and continued sales growth of electrostatic chucks for SPE customers in Japan/US.

**UW on Taiyo Yuden, Iriden, Nippon Chemi-Con, Daishinku:** Taiyo Yuden's core MLCCs should continue expanding, but we see the earnings gap vs. Murata (higher weighting of high-value-added MLCCs for AI/DC) widening, and valuation is rich. Iriden's near-term earnings are strong, but bar to achieving its F3/31 OP target of ¥300bn is high (if achieved, F3/31 P/E still a lofty ~24x). Chemi-Con has risk to 2H F3/27 OP guidance (¥5bn) and high valuation (~50x F3/27e EPS for common shares, post dilution & preferred divs). For Daishinku, we're cautious on risk of delayed contributions from crystal oscillators for optical transceivers or failure to gain meaningful share, slowing demand for crystal devices in Chinese smartphones/PCs.

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## ELECTRONIC COMPONENTS

Japan

Industry View

In-Line

Earnings announcement schedule of electronic component coverage companies

| (JPY)                |      | Rating | Price<br>26/7/6 | PT     | Exp. Date<br>Announce | Exp. Date<br>Briefing |
|----------------------|------|--------|-----------------|--------|-----------------------|-----------------------|
| IBIDEN               | 4062 | UW     | 21,390          | 13,000 | 8/4                   | 8/5                   |
| NITERRA              | 5334 | OW     | 10,800          | 12,600 | 7/31                  | 7/31                  |
| MINEBEA MITSUMI      | 6479 | EW     | 4,500           | 5,300  | 8/5                   | 8/5                   |
| MABUCHI MOTOR        | 6592 | EW     | 1,655           | 1,750  | 8/14                  | 8/14                  |
| TDK                  | 6762 | OW     | 3,501           | 4,900  | 7/31                  | 7/31                  |
| ALPS ALPINE          | 6770 | OW     | 2,099           | 3,000  | 7/31                  | 7/31                  |
| NIPON DENPA KOGYO    | 6779 | EW     | 3,665           | 4,900  | 8/7                   | -                     |
| MEIKO ELECTRONICS    | 6787 | EW     | 27,620          | 39,200 | 8/6                   | -                     |
| HIROSE ELECTRIC      | 6806 | OW     | 28,470          | 36,600 | 8/4                   | 8/5                   |
| JAE                  | 6807 | EW     | 2,359           | 2,600  | 7/29                  | 7/29                  |
| CMK                  | 6958 | EW     | 634             | 790    | 8/5                   | -                     |
| DAISHINKU            | 6962 | UW     | 918             | 840    | 8/10                  | -                     |
| HAMAMATSU PHOTONICS  | 6965 | EW     | 2,590           | 3,000  | 8/6                   | 8/7                   |
| KYOCERA              | 6971 | EW     | 3,874           | 4,000  | 7/30                  | 7/30                  |
| TAIYO YUDEN          | 6976 | UW     | 18,385          | 12,500 | 8/5                   | 8/5                   |
| MURATA MANUFACTURING | 6981 | OW     | 10,250          | 12,500 | 7/31                  | 7/31                  |
| NICHICON             | 6996 | EW     | 4,010           | 4,700  | 8/5                   | -                     |
| NIPPON CHEMI-CON     | 6997 | UW     | 5,020           | 5,500  | 8/7                   | -                     |
| KOA                  | 6999 | EW     | 2,760           | 3,000  | 7/23                  | -                     |

## Electronic components coverage: OP forecasts

| (JPY bn)             |      | Next Q |       | F26e    |         | F27e    |         | F28e    |         |
|----------------------|------|--------|-------|---------|---------|---------|---------|---------|---------|
|                      |      | M\$e   | F\$e  | M\$e    | F\$e    | M\$e    | F\$e    | M\$e    | F\$e    |
| IBIDEN               | 4062 | 21.6   | 20.2  | 94.7    | 99.7    | 128.3   | 151.5   | 166.8   | 223.7   |
| NITERRA              | 5334 | 39.6   | 30.7  | 158.2   | 154.0   | 174.4   | 174.9   | 200.8   | 200.8   |
| MINEBEA MITSUMI      | 6479 | 26.0   | 26.3  | 121.5   | 121.3   | 137.8   | 136.0   | 144.4   | 144.4   |
| MABUCHI MOTOR        | 6592 | 7.1    | 6.8   | 27.2    | 24.7    | 29.9    | 28.8    | 32.4    | 32.4    |
| TDK                  | 6762 | 64.5   | 64.6  | 335.8   | 307.7   | 369.1   | 355.7   | 414.7   | 414.7   |
| ALPS ALPINE          | 6770 | 3.7    | 5.3   | 49.1    | 43.4    | 68.7    | 49.8    | 68.7    | 49.8    |
| NIPON DENPA KOGYO    | 6779 | 1.1    | 1.1   | 4.6     | 4.6     | 5.3     | 5.3     | 6.6     | 6.6     |
| MEIKO ELECTRONICS    | 6787 | 8.1    | 8.2   | 38.6    | 38.1    | 48.7    | 51.3    | 62.5    | 65.5    |
| HIROSE ELECTRIC      | 6806 | 11.3   | 11.5  | 47.3    | 49.8    | 53.4    | 58.1    | 59.9    | 69.9    |
| JAE                  | 6807 | 0.6    | 2.8   | 8.9     | 13.2    | 9.6     | 16.1    | 10.0    | 18.0    |
| CMK                  | 6958 | 0.7    | 0.3   | 3.2     | 3.5     | 3.9     | 5.0     | 4.5     | 5.5     |
| DAISHINKU            | 6962 | 0.3    | 0.3   | 1.0     | 1.4     | 1.5     | 2.0     | 2.3     | 2.3     |
| HAMAMATSU PHOTONICS  | 6965 | 4.9    | 5.3   | 22.5    | 20.1    | 25.4    | 24.4    | 28.4    | 28.4    |
| KYOCERA              | 6971 | 28.9   | 27.4  | 132.6   | 125.8   | 148.5   | 149.2   | 178.8   | 145.5   |
| TAIYO YUDEN          | 6976 | 7.0    | 7.3   | 45.2    | 40.2    | 70.2    | 67.2    | 80.2    | 99.2    |
| MURATA MANUFACTURING | 6981 | 90.4   | 86.6  | 431.9   | 423.5   | 624.0   | 579.3   | 754.3   | 631.9   |
| NICHICON             | 6996 | 1.7    | 1.5   | 9.4     | 9.8     | 12.4    | 12.5    | 15.5    | 14.4    |
| NIPPON CHEMI-CON     | 6997 | 1.2    | 1.2   | 7.8     | 7.4     | 8.1     | 10.0    | 11.2    | 12.0    |
| KOA                  | 6999 | 0.6    | 0.5   | 3.2     | 3.2     | 5.2     | 6.3     | 7.0     | 7.0     |
| Total                |      | 319.2  | 306.9 | 1,541.9 | 1,491.2 | 1,925.6 | 1,881.4 | 2,271.7 | 2,381.5 |
|                      |      |        |       |         |         |         |         | 2,271.7 | 2,381.5 |

Hamamatsu FY ends in Sep, Mabuchi in Dec,

MSe = Morgan Stanley Research estimates, FSe = FactSet Consensus; Source: FactSet, Morgan Stanley Research

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## Preview to earnings

| Focus KPI                                                                                                                                                                                                                  | Focus KPI Surprise            | Likely impact to consensus EPS* |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------|---------------------------------|
| <b>Ibiden</b> 4062.T                                                                                                                                                                                                       |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↑ Likely upside surprise      | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥21.6bn (FactSet consensus: ¥20.2bn)</li> <li>We forecast F3/27 OP of ¥94.7bn (company guidance: ¥90bn; FactSet consensus: ¥99.7bn)</li> </ul>           |                               |                                 |
| <b>Niterra</b> 5334.T                                                                                                                                                                                                      |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↑ Likely upside surprise      | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥39.6bn (FactSet consensus: ¥30.7bn)</li> <li>We forecast F3/27 OP of ¥158.2bn (company guidance: ¥150.0bn; FactSet consensus: ¥154.0bn)</li> </ul>      |                               |                                 |
| <b>Minebea Mitsumi</b> 6479.T                                                                                                                                                                                              |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | — In-line                     | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥26.0bn (FactSet consensus: ¥27.4bn)</li> <li>We forecast F3/27 OP of ¥121.5bn (company guidance: ¥120.0bn; FactSet consensus: ¥121.3bn)</li> </ul>      |                               |                                 |
| <b>Mabuchi Motor</b> 6592.T                                                                                                                                                                                                |                               |                                 |
| F12/26 2Q OP                                                                                                                                                                                                               | — In-line                     | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>We forecast F12/26 2Q OP of ¥7.1bn (FactSet consensus: ¥6.4bn)</li> <li>We forecast F12/26 OP of ¥27.2bn (company guidance: ¥26.0bn; FactSet consensus: ¥24.7bn)</li> </ul>         |                               |                                 |
| <b>TDK</b> 6762.T                                                                                                                                                                                                          |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | — In-line                     | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>For F3/27 1Q, we forecast OP of ¥64.5bn (FactSet consensus: ¥64.6bn)</li> <li>We forecast F3/27 OP of ¥335.8bn (company guidance: ¥295.0bn; FactSet consensus: ¥307.7bn)</li> </ul> |                               |                                 |
| <b>ALPS ALPINE</b> 6770.T                                                                                                                                                                                                  |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↓ Likely downside surprise    | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>For F3/27 1Q, we forecast OP of ¥3.7bn (FactSet consensus: ¥5.3bn)</li> <li>We forecast F3/27 OP of ¥49.1bn (company guidance: ¥48.5bn; FactSet consensus: ¥43.4bn)</li> </ul>      |                               |                                 |
| <b>Nihon Dempa Kogyo</b> 6779.T                                                                                                                                                                                            |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↑ Likely upside surprise      | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥1.1bn</li> <li>We forecast F3/27 OP of ¥4.6bn (company guidance: ¥4.0bn)</li> </ul>                                                                     |                               |                                 |
| <b>Meiko Electronics</b> 6787.T                                                                                                                                                                                            |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | — In-line                     | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥8.1bn (FactSet consensus: ¥8.2bn)</li> <li>We forecast F3/27 OP of ¥38.6bn (company guidance: ¥38.0bn; FactSet consensus: ¥38.1bn)</li> </ul>           |                               |                                 |
| <b>Hirose Electric</b> 6806.T                                                                                                                                                                                              |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↑ Very likely upside surprise | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥11.3bn (FactSet consensus: ¥11.5bn)</li> <li>We forecast F3/27 OP of ¥47.3bn (company guidance: ¥46.0bn; FactSet consensus: ¥49.8bn)</li> </ul>         |                               |                                 |
| <b>Japan Aviation Electronics Industry</b> 6807.T                                                                                                                                                                          |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | ↓ Likely downside surprise    | ↓ Modest revision lower         |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥0.6bn (FactSet consensus: ¥2.8bn)</li> <li>We forecast F3/27 OP of ¥8.9bn (company guidance: ¥9.5bn; FactSet consensus: ¥13.2bn)</li> </ul>             |                               |                                 |
| <b>CMK</b> 6958.T                                                                                                                                                                                                          |                               |                                 |
| F3/27 1Q OP                                                                                                                                                                                                                | — In-line                     | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>We forecast F3/27 1Q OP of ¥0.7bn (FactSet consensus: ¥0.3bn)</li> <li>We forecast F3/27 OP of ¥3.2bn (company guidance: ¥3.2bn; FactSet consensus: ¥3.5bn)</li> </ul>              |                               |                                 |
| <b>Daishinku</b> 6962.T                                                                                                                                                                                                    |                               |                                 |

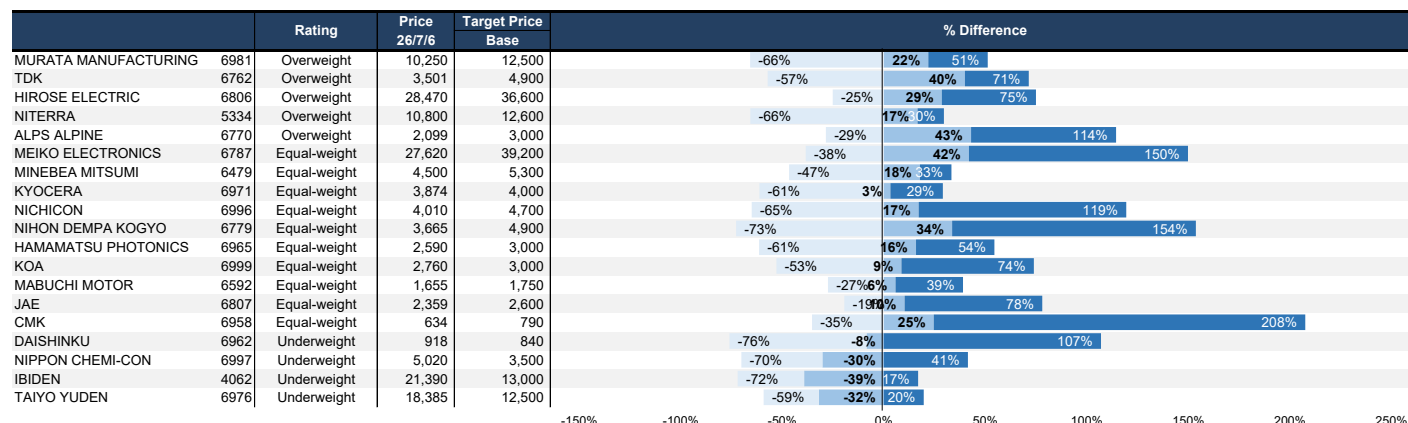
| Focus KPI                                                                                                                                                                                                                 | Focus KPI Surprise         | Likely impact to consensus EPS* |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|---------------------------------|
| F3/27 1Q OP                                                                                                                                                                                                               | ↓ Likely downside surprise | ↓ Modest revision lower         |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥0.3bn</li> <li>• We forecast F3/27 OP of ¥1.0bn (company guidance: ¥1.4bn; FactSet consensus: ¥1.4bn)</li> </ul>                                     |                            |                                 |
| <b>Hamamatsu Photonics</b> 6965.T                                                                                                                                                                                         |                            |                                 |
| F9/26 3Q OP                                                                                                                                                                                                               | — In-line                  | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>• We forecast F9/26 3Q OP of ¥4.9bn (FactSet consensus: ¥5.3bn)</li> <li>• We forecast F9/26 OP of ¥22.5bn (company guidance: ¥20.0bn; FactSet consensus: ¥20.1bn)</li> </ul>      |                            |                                 |
| <b>Kyocera</b> 6971.T                                                                                                                                                                                                     |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | — In-line                  | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥28.9bn (FactSet consensus: ¥27.4bn)</li> <li>• We forecast F3/27 OP of ¥132.6bn (company guidance: ¥130.0bn; FactSet consensus: ¥125.8bn)</li> </ul> |                            |                                 |
| <b>Taiyo Yuden</b> 6976.T                                                                                                                                                                                                 |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | — In-line                  | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥7.0bn (FactSet consensus: ¥7.3bn)</li> <li>• We forecast F3/27 OP of ¥45.2bn (company guidance: ¥30.0bn; FactSet consensus: ¥40.2bn)</li> </ul>      |                            |                                 |
| <b>Murata Manufacturing</b> 6981.T                                                                                                                                                                                        |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | ↑ Likely upside surprise   | ↑ Modest revision higher        |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥90.4bn (FactSet consensus: ¥85.6bn)</li> <li>• We forecast F3/27 OP of ¥431.9bn (company guidance: ¥380.0bn; FactSet consensus: ¥423.5bn)</li> </ul> |                            |                                 |
| <b>Nichicon</b> 6996.T                                                                                                                                                                                                    |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | — In-line                  | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥1.7bn (FactSet consensus: ¥1.5bn)</li> <li>• We forecast F3/27 OP of ¥9.4bn (company guidance: ¥8.7bn; FactSet consensus: ¥9.8bn)</li> </ul>         |                            |                                 |
| <b>Nippon Chemi-Con</b> 6997.T                                                                                                                                                                                            |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | — In-line                  | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q of ¥1.2bn</li> <li>• We forecast F3/27 OP of ¥7.0bn (company guidance: ¥8.0bn; FactSet consensus: ¥7.4bn)</li> </ul>                                        |                            |                                 |
| <b>KOA</b> 6999.T                                                                                                                                                                                                         |                            |                                 |
| F3/27 1Q OP                                                                                                                                                                                                               | ↑ Likely upside surprise   | — Largely unchanged             |
| <ul style="list-style-type: none"> <li>• We forecast F3/27 1Q OP of ¥0.6bn (FactSet consensus: ¥0.5bn)</li> <li>• We forecast F3/27 OP of ¥3.2bn (company guidance: ¥2.8bn; FactSet consensus: ¥3.2bn)</li> </ul>         |                            |                                 |

\*Likely impact to consensus EPS is for the next 12 months

Source: Company data, Morgan Stanley Research

## Risk-Reward, share price performance, Forecast ROE and P/B of 7 major electronic component companies

**Exhibit 1:** Electronic Components Industry: Gaps between recent share prices and PTs (base, bull, bear case fair value)



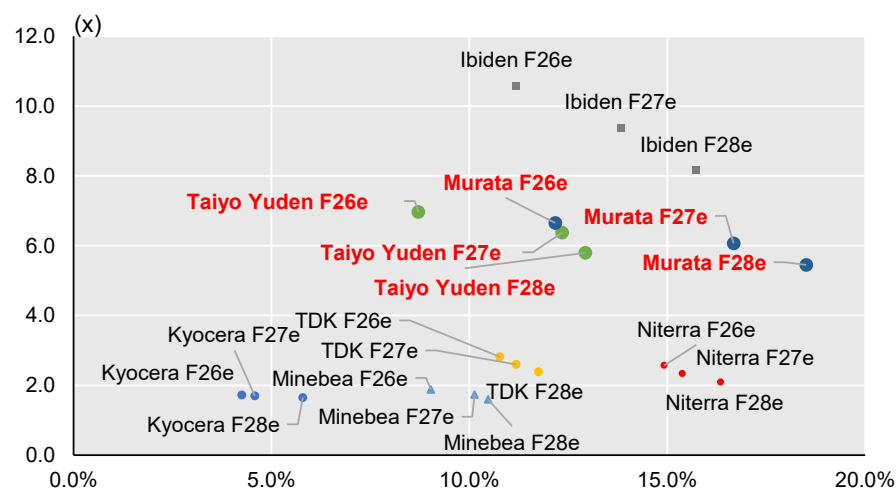
Source: FactSet, Morgan Stanley Research

**Exhibit 2:** Electronic component industry share price performance

| Rank | 2020                 |      |                      | 2021 |                      |      | 2022                 |      |                      | 2023 |                      |      | 2024                 |      |  | 2025 |  |  | 2026<br>Based on 7/6 Closing Price |  |  |
|------|----------------------|------|----------------------|------|----------------------|------|----------------------|------|----------------------|------|----------------------|------|----------------------|------|--|------|--|--|------------------------------------|--|--|
| 1    | IBIDEN               | 85%  | NIHON DEMP KOGYO     | 184% | NITERRA              | 22%  | CMK                  | 80%  | MEIKO ELECTRONICS    | 122% | IBIDEN               | 182% | TAIYO YUDEN          | 419% |  |      |  |  |                                    |  |  |
| 2    | NIDEC                | 73%  | MEIKO ELECTRONICS    | 147% | KOA                  | 17%  | MEIKO ELECTRONICS    | 73%  | TDK                  | 54%  | TAIYO YUDEN          | 56%  | NIHON DEMP KOGYO     | 259% |  |      |  |  |                                    |  |  |
| 3    | DAISHINKU            | 51%  | DAISHINKU            | 135% | ALPS ALPINE          | 10%  | IBIDEN               | 63%  | NITERRA              | 52%  | NICHICON             | 49%  | NIPPON CHEMI-CON     | 246% |  |      |  |  |                                    |  |  |
| 4    | TAIYO YUDEN          | 44%  | CMK                  | 72%  | JAE                  | 6%   | TDK                  | 55%  | ALPS ALPINE          | 31%  | NIPPON CHEMI-CON     | 49%  | IBIDEN               | 218% |  |      |  |  |                                    |  |  |
| 5    | MURATA MANUFACTURING | 38%  | MINEBEA MITSUMI      | 59%  | MABUCHI MOTOR        | -2%  | JAE                  | 53%  | TOPIX                | 18%  | KYOCERA              | 39%  | MURATA MANUFACTURING | 216% |  |      |  |  |                                    |  |  |
| 6    | HAMAMATSU PHOTONICS  | 31%  | IBIDEN               | 42%  | IRISO ELECTRONICS    | -2%  | MINEBEA MITSUMI      | 47%  | HIROSE ELECTRIC      | 17%  | KOA                  | 38%  | MEIKO ELECTRONICS    | 156% |  |      |  |  |                                    |  |  |
| 7    | TDK                  | 25%  | TAIYO YUDEN          | 37%  | NICHICON             | -3%  | NITERRA              | 37%  | NIDEC                | 0%   | NITERRA              | 36%  | NICHICON             | 145% |  |      |  |  |                                    |  |  |
| 8    | NIHON DEMP KOGYO     | 19%  | JAE                  | 26%  | TDK                  | -3%  | MURATA MANUFACTURING | 36%  | MABUCHI MOTOR        | -4%  | MABUCHI MOTOR        | 28%  | KOA                  | 101% |  |      |  |  |                                    |  |  |
| 9    | NICHICON             | 14%  | HAMAMATSU PHOTONICS  | 24%  | TOPIX                | -5%  | KYOCERA              | 26%  | JAE                  | -8%  | MURATA MANUFACTURING | 27%  | KYOCERA              | 76%  |  |      |  |  |                                    |  |  |
| 10   | HIROSE ELECTRIC      | 12%  | HIROSE ELECTRIC      | 24%  | KYOCERA              | -8%  | MABUCHI MOTOR        | 25%  | MINEBEA MITSUMI      | -11% | ALPS ALPINE          | 24%  | HIROSE ELECTRIC      | 65%  |  |      |  |  |                                    |  |  |
| 11   | MABUCHI MOTOR        | 8%   | NITERRA              | 14%  | NIPPON CHEMI-CON     | -13% | TOPIX                | 25%  | MURATA MANUFACTURING | -14% | TOPIX                | 22%  | TDK                  | 58%  |  |      |  |  |                                    |  |  |
| 12   | KOA                  | 8%   | KYOCERA              | 14%  | NIHON DEMP KOGYO     | -13% | DAISHINKU            | 24%  | NICHICON             | -15% | MINEBEA MITSUMI      | 22%  | DAISHINKU            | 58%  |  |      |  |  |                                    |  |  |
| 13   | TOPIX                | 5%   | TOPIX                | 10%  | HAMAMATSU PHOTONICS  | -14% | NICHICON             | 6%   | KYOCERA              | -23% | CMK                  | 21%  | NITERRA              | 57%  |  |      |  |  |                                    |  |  |
| 14   | IRISO ELECTRONICS    | -8%  | KOA                  | 9%   | HIROSE ELECTRIC      | -14% | ALPS ALPINE          | 3%   | NIPPON CHEMI-CON     | -26% | IRISO ELECTRONICS    | 19%  | HAMAMATSU PHOTONICS  | 56%  |  |      |  |  |                                    |  |  |
| 15   | MINEBEA MITSUMI      | -10% | NIDEC                | 4%   | MURATA MANUFACTURING | -28% | TAIYO YUDEN          | -3%  | IRISO ELECTRONICS    | -27% | NIHON DEMP KOGYO     | 17%  | MINEBEA MITSUMI      | 43%  |  |      |  |  |                                    |  |  |
| 16   | NIPPON CHEMI-CON     | -13% | MURATA MANUFACTURING | -2%  | IBIDEN               | -30% | IBIDEN               | -4%  | NIHON DEMP KOGYO     | -31% | MEIKO ELECTRONICS    | 16%  | NIDEC                | 27%  |  |      |  |  |                                    |  |  |
| 17   | KYOCERA              | -15% | NIPPON CHEMI-CON     | -2%  | CMK                  | -34% | HAMAMATSU PHOTONICS  | -8%  | DAISHINKU            | -35% | TDK                  | 7%   | CMK                  | 21%  |  |      |  |  |                                    |  |  |
| 18   | NITERRA              | -17% | IRISO ELECTRONICS    | -3%  | MINEBEA MITSUMI      | -40% | IRISO ELECTRONICS    | -13% | KOA                  | -36% | DAISHINKU            | 3%   | TOPIX                | 20%  |  |      |  |  |                                    |  |  |
| 19   | MEIKO ELECTRONICS    | -22% | NICHICON             | -3%  | TAIYO YUDEN          | -42% | NIPPON CHEMI-CON     | -16% | IBIDEN               | -39% | HAMAMATSU PHOTONICS  | -6%  | MABUCHI MOTOR        | 15%  |  |      |  |  |                                    |  |  |
| 20   | JAE                  | -29% | TDK                  | -13% | NIDEC                | -49% | NIDEC                | -17% | HAMAMATSU PHOTONICS  | -39% | HIROSE ELECTRIC      | -8%  | ALPS ALPINE          | 5%   |  |      |  |  |                                    |  |  |
| 21   | CMK                  | -40% | MABUCHI MOTOR        | -15% | MEIKO ELECTRONICS    | -49% | KOA                  | -18% | TAIYO YUDEN          | -39% | JAE                  | -16% | JAE                  | -6%  |  |      |  |  |                                    |  |  |
| 22   | ALPS ALPINE          | -46% | ALPS ALPINE          | -20% | DAISHINKU            | -55% | NIHON DEMP KOGYO     | -19% | CMK                  | -48% | NIDEC                | -25% | IRISO ELECTRONICS    | -11% |  |      |  |  |                                    |  |  |

Source: FactSet

**Exhibit 3:** Forecast ROE and P/B of 7 major electronic component companies



Note: e=Morgan Stanley Research  
Source: FacSet, Morgan Stanley Research

## Apr-Jun results preview

**Ibiden (4062.T):** We forecast F3/27 1Q OP of ¥21.6bn (FactSet consensus: ¥20.2bn). We anticipate +¥4.1bn QoQ growth, mainly because we expect Electronics sales to rise by +¥4.8bn, while we look for companywide depreciation to decline by -¥4.5bn.

**Niterra (5334.T):** We forecast F3/27 1Q OP of ¥39.6bn (FactSet consensus: ¥30.7bn), +¥12.3bn QoQ. Key factors include the non-recurrence of several items from 4Q, including ~¥12bn in inventory valuation losses and structural reform costs, ~¥3bn in PPA expenses related to silicon nitride, ~¥4bn in gains on the sale of land at the former headquarters, and ~¥1.5bn in fixed-asset tax in Japan.

**Minebea Mitsumi (6479.T):** We forecast F3/27 1Q OP of ¥26.0bn (FactSet consensus: ¥27.4bn), -¥2.3bn QoQ. While the MLS segment is likely to see profit growth driven by higher HDD spindle motor volumes, we expect slight profit declines in PT (mainly miniature ball bearings) and SE (mainly semiconductors, camera actuators, game assemblies), as well as a drop in Access Solutions (AS; mainly automotive components) due to factors such as rising material costs.

**Mabuchi Motor (6592.T):** We forecast F12/26 2Q OP of ¥7.1bn (FactSet consensus: ¥6.4bn), +¥1.7bn QoQ. We expect motor production volume to rise from 313mn units in 1Q to 330mn in 2Q. We also expect motor shipment volumes to increase QoQ in both the Automotive Products and Life & Industrial Products segments.

**TDK (6762.T):** For F3/27 1Q, we forecast OP +¥22.8bn QoQ to ¥64.5bn (FactSet consensus: ¥64.6bn) mainly due to the absence of ¥9.8bn in restructuring costs recorded in 4Q and sharp growth in sales of HDD heads for STX and WDC, which resumed in 4Q.

**Alps Alpine (6770.T):** For F3/27 1Q, we forecast OP -¥5.1bn QoQ to ¥3.7bn (FactSet consensus: ¥5.3bn), assuming Component OP increases on growth in sales of new high added-value smartphone camera actuators, but Mobility profit declines ¥9.4bn QoQ to a ¥3bn loss from a sharp decline in development fees collected from customers.

**Nippon Dempa Kogyo (6779.T):** For F3/27 1Q, we forecast OP to decrease slightly to ¥1.1bn. While we forecast modest QoQ growth in sales, we assume a hit of ~¥0.1bn from higher R&D costs.

**Meiko Electronics (6787.T):** We forecast F3/27 1Q OP +¥1bn QoQ to ¥8.1bn (FactSet consensus: ¥8.2bn). We assume profit gains will primarily be driven by growth in sales of build-up substrates for satellite communications, the pass-through of raw material cost increases last 4Q, and higher operating rates.

**Hirose Electric (6806.T):** Our F3/27 1Q OP forecast is ¥11.3bn (+¥0.8bn QoQ; FS consensus ¥11.5bn). Despite negative impact from rising precious metal prices QoQ, we expect profit growth due to increased sales centered on general industrial equipment and communications infrastructure, as well as the absence of approximately ¥0.5bn in one-off costs recorded in 4Q of the previous year.

**Japan Aviation Electronics (6807.T):** Our F3/27 1Q OP forecast is ¥0.6bn (-¥2.4bn QoQ; FS consensus ¥2.8bn). The main drivers of the significant QoQ decline are higher raw material costs due to surging gold prices, the absence of more than ¥1.0bn in positive effects from pricing optimization for specific customers recorded in 4Q of the previous

year, and seasonal declines in aerospace-related sales.

**CMK (6958.T):** Our F3/27 1Q OP forecast is ¥0.7bn (–¥0.8bn QoQ; FS consensus ¥0.3bn). We expect the main drivers of the QoQ decline to be seasonal reductions in sales to Japanese Tier 1 customers and impact from the Lunar New Year holiday at overseas plants operating on a different schedule.

**Daishinku (6962.T):** Our F3/27 1Q OP forecast is ¥0.3bn (–¥0.3bn QoQ). Despite QoQ revenue growth, we expect OP to decline sequentially due to higher depreciation and rising raw material costs.

**Hamamatsu Photonics (6965.T):** We forecast F9/26 3Q OP to decline ¥2.7bn QoQ, from ¥7.6bn to ¥4.9bn (consensus ¥5.3bn). Hamamatsu typically sees seasonal declines in 1Q and 3Q and increases in 2Q and 4Q, and so we expect a QoQ decline in 3Q. However, earnings are on a recovery trend, with OP expected to jump from ¥1.5bn in F9/25 3Q and ¥2.4bn in F9/26 1Q.

**Kyocera (6971.T):** We forecast F3/27 1Q OP down ¥18.6bn QoQ to ¥28.9bn (FS consensus ¥27.4bn). The sharp QoQ decline in Solutions reflects the absence of roughly ¥17.0bn in disposal gains in the prior quarter and seasonally weaker document-related sales, which typically peak in 4Q and decline in 1Q.

**Taiyo Yuden (6976.T):** We forecast F3/27 1Q OP at ¥7.0bn (consensus ¥7.3bn), up ¥3.5bn QoQ from ¥3.5bn last 4Q. MLCC utilization is likely to rise to 90% from just under 85% in 4Q, supporting top-line growth.

**Murata Manufacturing (6981.T):** We forecast F3/27 1Q OP of ¥90.4bn (FS: ¥85.6bn), up by ¥11.5bn QoQ with components profit increasing by ¥10.8bn QoQ to ¥91.9bn, and devices/modules up by ¥0.4bn QoQ to breakeven. We expect components to see continuing growth in sales of MLCCs for AI/data centers as well as ongoing improvement in the MLCC product mix and growth in capacity utilization, and devices/modules continuing improvement in battery earnings and bottoming out of sales for North American smartphones, despite non-reoccurrence of the ¥6.0bn gain on the sale of micro-battery business.

**Nichicon (6996.T):** For F3/27 1Q, we forecast OP down ¥0.9bn QoQ at ¥1.7bn (FS: ¥1.5bn), including falls each for capacitors and NECST owing to seasonally-driven sales contraction.

**Nippon Chemi-Con (6997.T):** We forecast F3/27 1Q of ¥1.2bn, down ¥0.2bn QoQ in a modest fall reflecting lower sales of all products apart from AECs and rising costs for raw materials such as aluminum foil.

**KOA (6999.T):** For F3/27 1Q we forecast OP +¥0.1bn QoQ to ¥0.6bn (FS: ¥0.5bn), on the view that sales will stay flat QoQ but positive effects of reduced depreciation should cancel out the negative of rising raw material costs.

# MLCCs: Expect differing product clout to produce longer-term earnings variations

## MLCCs are the most important products for Murata and Taiyo Yuden

In F3/26, MLCCs made up 51% of sales at Murata and 71% of sales at Taiyo Yuden, and we expect them to drive earnings growth at both companies from F3/27. Though earnings growth at both is outpacing the market consensus, of the two the shares of Taiyo Yuden have outperformed in 2026 YTD (up to July 6), advancing by 419% vs. Murata's +216%. This leaves Taiyo Yuden looking overvalued at P/E of 37.3x on our F3/31e diluted EPS, vs. Murata on 21.1x. While growth in sales of MLCCs for AI/data centers stands to lift earnings at both companies, we see limited benefits of product mix improvement due to MLCC miniaturization and capacitance increases for Taiyo Yuden, and downgraded the stock to UW on June 17 on the view that the gap between the share price and the earnings outlook up to F3/31 has widened ([report link](#)).

## Feedback from Top Pick on Murata, UW downgrade on Taiyo Yuden

Publication of our report on June 17 provided an opportunity to discuss the near- and longer-term outlook for the MLCC market with many market participants. Three key tenets of our report were that 1) among capacitors that are less likely to be integrated into semiconductor circuits, demand for MLCCs will increase in the longer term; 2) Murata will maintain its #1 position supported by its competitiveness not only in technology but also in costs; and 3) there is a lot of scope for downside in Taiyo Yuden shares, which have risen to trade on higher multiples than Murata, and look overvalued. Despite cyclical swings, we expect MLCC demand to continue expanding in the medium and longer term, and Murata to maintain the #1 position, and we found many who agreed with our view. This is also the case for our view that Taiyo Yuden is overvalued, but some investors have also opined that Murata shares could fall as well in a phase of decline in Taiyo Yuden's share price.

## Expect small, high-capacitance value-added MLCCs for AI/DCs to drive the MLCC market

We estimate global MLCC shipment value at US\$14.67bn (+10.3% YoY) in 2025, and that shares were 40.8% for Murata, 22.5% for SEMCO, 11.3% for Taiyo Yuden, 6.9% for TDK, 5.4% for Yageo, and 13.0% collectively for makers other than the top 5. This implies a 10-year CAGR of +6.5% for MLCC global shipment value, from \$7.8bn in 2025, but for the coming three years we foresee a faster CAGR of +18.2%, to \$24.25bn in 2028. We expect rising sales of small, high-capacitance value-added products for AI servers and data centers to have a considerable impact in expanding MLCC demand, and see Murata as the likely main beneficiary due to its ability to supply small, high-capacitance units in large quantities before competitors.

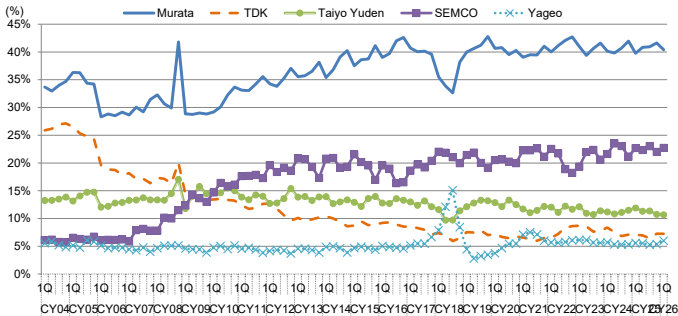


Exhibit 4: Global MLCC market forecasts

| Base Case                                   | 2007  | 2008   | 2009   | 2010  | 2011  | 2012  | 2013  | 2014   | 2015  | 2016  | 2017  | 2018   | 2019   | 2020  | 2021   | 2022   | 2023   | 2024  | 2025  | 2026w | 2027w | 2028w | 2029w | 2030w | 2031w |
|---------------------------------------------|-------|--------|--------|-------|-------|-------|-------|--------|-------|-------|-------|--------|--------|-------|--------|--------|--------|-------|-------|-------|-------|-------|-------|-------|-------|
| Total worldwide shipment quantity (Bil pcs) | 1,504 | 1,480  | 1,640  | 2,050 | 2,029 | 2,167 | 2,253 | 2,655  | 2,735 | 3,060 | 3,826 | 3,254  | 3,895  | 4,446 | 3,572  | 3,187  | 3,266  | 3,773 | 4,037 | 4,360 | 4,709 | 5,086 | 5,493 | 5,932 |       |
| YoY (%)                                     | 14.9% | -1.6%  | 10.8%  | 24.9% | -1.0% | 6.8%  | 5.8%  | 13.8%  | 5.0%  | 12.6% | 13.0% | -15.0% | 13.5%  | 20.3% | -19.7% | -10.8% | 9.2%   | 11.4% | 7.0%  | 9.0%  | 8.0%  | 8.0%  | 8.0%  | 8.0%  |       |
| CAGR (1991-)                                | 14.9% | 13.8%  | 13.7%  | 14.2% | 13.4% | 13.1% | 12.8% | 12.8%  | 12.5% | 12.5% | 12.4% | 11.3%  | 11.4%  | 11.6% | 10.5%  | 9.7%   | 9.6%   | 9.7%  | 9.6%  | 9.6%  | 9.5%  | 9.5%  | 9.4%  | 9.4%  |       |
| ASP in worldwide shipment (Cent)            | 0.47  | 0.42   | 0.36   | 0.38  | 0.39  | 0.36  | 0.33  | 0.30   | 0.29  | 0.26  | 0.27  | 0.37   | 0.39   | 0.38  | 0.39   | 0.40   | 0.40   | 0.39  | 0.39  | 0.43  | 0.48  | 0.52  | 0.54  | 0.55  | 0.57  |
| YoY (%)                                     | -0.2% | -10.1% | -14.0% | 6.8%  | 1.2%  | -7.7% | -7.2% | -10.8% | -4.1% | -7.2% | 3.8%  | 34.3%  | 4.6%   | -2.8% | 4.7%   | 2.0%   | -1.0%  | -1.0% | -1.0% | 11.0% | 11.0% | 7.5%  | 4.0%  | 3.0%  | 3.0%  |
| CAGR (1991-)                                | -6.5% | -8.7%  | -9.0%  | -8.2% | -7.8% | -7.8% | -7.7% | -7.7%  | -7.7% | -7.3% | -6.5% | -6.5%  | -6.5%  | -6.5% | -6.5%  | -6.5%  | -6.5%  | -6.5% | -6.5% | -6.5% | -6.5% | -6.5% | -6.5% | -6.5% | -6.5% |
| Total worldwide shipment value (\$Bil)      | 7.00  | 6.19   | 5.90   | 7.87  | 7.89  | 7.77  | 7.63  | 7.75   | 7.80  | 8.15  | 9.56  | 14.13  | 15.56  | 13.86 | 17.47  | 14.32  | 12.64  | 13.30 | 14.67 | 17.43 | 20.89 | 24.25 | 27.24 | 30.30 |       |
| YoY (%)                                     | 14.6% | -11.6% | -4.7%  | 33.4% | 0.2%  | -1.5% | -1.8% | 1.6%   | 0.7%  | 4.5%  | 17.3% | 47.7%  | -11.1% | 10.3% | 26.0%  | -18.1% | -11.7% | 5.2%  | 10.3% | 18.8% | 19.9% | 16.1% | 12.3% | 11.2% | 11.2% |
| CAGR (1991-)                                | 5.0%  | 4.0%   | 3.5%   | 4.8%  | 4.6%  | 4.3%  | 4.0%  | 3.9%   | 3.8%  | 3.8%  | 4.3%  | 5.7%   | 5.0%   | 5.2%  | 5.8%   | 5.0%   | 4.4%   | 4.4%  | 4.6%  | 5.0%  | 5.3%  | 5.6%  | 5.8%  | 5.9%  | 6.1%  |

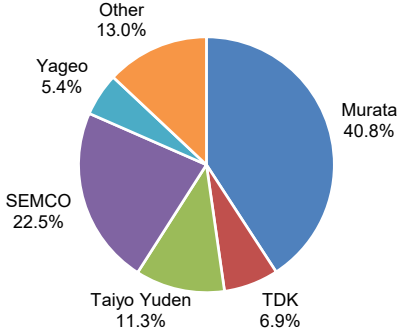
Note: e=Morgan Stanley Research estimates  
Source: Morgan Stanley Research

Exhibit 5: MLCC market share



Source: Company data, Morgan Stanley Research

Exhibit 6: MLCC market share (CY25)



Source: Company data, Morgan Stanley Research

Murata leads the way in small, high-capacitance MLCCs for AI servers

Murata has been a pioneer in MLCC miniaturization and higher capacitance, having started shipping mass-produced 1005-size 1μF MLCCs in 2000, and 0402-size 1μF units as well as 1005-size 22μF units in 2020, among other milestones. Demand for 1608-size 100 F, 1005-size 47μF and 0603-size 10μF MLCCs for AI servers is rising sharply, and Murata appears to be the only company capable of securing stable yields in mass production of all of these.

Exhibit 7: MLCC maximum capacitance by size (μF)

|            |      |      |      |      |      |      |
|------------|------|------|------|------|------|------|
| <=1000     | 220  |      |      |      |      |      |
| <=100      |      | 100  | 100  | 47   |      |      |
| <=10       |      |      |      |      | 10   |      |
| <=1        |      |      |      |      |      | 1    |
| (mm)       | 3216 | 2012 | 1608 | 1005 | 0603 | 0402 |
| Murata Mfg | o    | o    | o    | o    | o    | o    |

Note: O denotes products under mass production  
Source: Morgan Stanley Research based on Murata Mfg product catalog

Expect differences in MLCC product clout to open up mid/longer-term earnings gaps

There are many Japanese electronic component companies, such as Murata in MLCCs, with the ability to compete in both technology and costs. Many of them are not moving quickly to raise prices on the grounds of tight supply/demand, and many of the latter are enjoying high levels of profit backed by their strong technology competitiveness in cutting-edge components. At the same time they are also maintaining high cost competitiveness in general-purpose products. We believe the general-purposes space in MLCCs has many participants, including Chinese companies, and that distributors are often involved in transactions. We further infer that prices for MLCCs charged by distributors to customers



and by MLCCs makers to distributors are heavily influenced by the S/D situation at the time. We also think it likely that Murata adjusts its prices for general-purpose MLCCs to distributors flexibly, both upwards and downwards, in response to market prices. At the same time, while increases in general-purpose MLCC prices can help Murata too to maximize near-term profit, there is also a risk of them leading to a lower share for the company in the mid/longer term as entry barriers come down enabling more participation by companies from China, South Korea, Taiwan and elsewhere. For such companies, rising market prices for general-purpose products make it possible to book profit where this has not consistently been the case, positioning them better to develop and enter the markets of not just commodity but also middle- and high-end products. We understand that distributors and MLCC makers who mainly handle commodity products and are seeking to maximize near-term profit in the general-purposes MLCC market are currently warning customers about risks of future MLCC shortages and price increases in a bid to push up prices for general-purpose products. Nevertheless, we expect expansion of the scale of the MLCC market to be heavily influenced by rising average selling prices stemming from growth in volumes of value-added products, such as small, high-capacitance units for AI/DCs, and in other products with higher added-value. As such, taking a longer-term view of the MLCC market, we think companies such as Murata, with superior abilities to compete in both technology and costs, stand to see significantly more growth in corporate value than those who aim to maximize near-term profit via short-term increases in prices of general-purpose MLCCs.

## We forecast earnings assuming ¥155/\$ and ¥180/€

Our forecasts for Apr-Jun and beyond are based on our forex assumptions of ¥155/\$ and ¥180/€. Based on each company's briefing, we estimate that a ¥1/\$ fluctuation would result in an impact of ¥14.9bn (1.0% of FY26e OP) in the total annual OP of our coverage universe. For companies with fiscal years ending in March, the average ¥/\$ exchange rate was ¥112.3/\$ in FY21, ¥135.4/\$ in FY22, ¥144.5/\$ in FY23, ¥152.5/\$ in FY24, and ¥150.6/\$ in FY25. For companies such as Murata, Hirose, Niterra that produce a high percentage of their core products in Japan and have a high percentage of sales denominated in foreign currencies, we expect a weaker yen/stronger dollar to boost profits and a stronger yen/weaker dollar to depress profits. In our view, the impact of exchange rates on the earnings of companies with a high ratio of overseas sales of module components, motors, and others is often unknown until the earnings of overseas subsidiaries is consolidated with that of the Japanese headquarters.

**Exhibit 8:** Sensitivity of OP to forex for coverage electronic components companies

|                      |      | F26e           |  | FX assumption (by company) |         | FX sensitivity (JPY bn/year) | Assumption:¥150/USD |            | Assumption:¥160/USD |            |
|----------------------|------|----------------|--|----------------------------|---------|------------------------------|---------------------|------------|---------------------|------------|
|                      |      | OP (JPY bn)    |  | USD/JPY                    | USD/JPY |                              | OP (JPY bn)         | Change (%) | OP (JPY bn)         | Change (%) |
| IBIDEN               | 4062 | 94.7           |  | 155.0                      | 150.0   | 0.8                          | 90.7                | -4%        | 98.7                | 4%         |
| NITERRA              | 5334 | 158.2          |  | 155.0                      | 150.0   | 1.0                          | 153.2               | -3%        | 163.2               | 3%         |
| MINEBEA MITSUMI      | 6479 | 121.5          |  | 155.0                      | 155.0   | 1.5                          | 114.0               | -6%        | 129.0               | 6%         |
| MABUCHI MOTOR        | 6592 | 27.2           |  | 155.0                      | 150.0   | 0.3                          | 25.7                | -6%        | 28.7                | 6%         |
| TDK                  | 6762 | 335.8          |  | 155.0                      | 150.0   | 2.0                          | 325.8               | -3%        | 345.8               | 3%         |
| ALPS ALPINE          | 6770 | 49.1           |  | 155.0                      | 150.0   | 1.2                          | 43.1                | -12%       | 55.1                | 12%        |
| NIHON DEMPA KOGYO    | 6779 | 4.6            |  | 155.0                      | 150.0   | 0.1                          | 4.2                 | -9%        | 5.0                 | 9%         |
| MEIKO ELECTRONICS    | 6787 | 38.6           |  | 155.0                      | 150.0   | 0.1                          | 38.1                | -1%        | 39.1                | 1%         |
| HIROSE ELECTRIC      | 6806 | 47.3           |  | 155.0                      | 150.0   | 0.3                          | 45.7                | -3%        | 49.0                | 3%         |
| JAE                  | 6807 | 8.9            |  | 155.0                      | 153.0   | 0.3                          | 7.4                 | -17%       | 10.4                | 17%        |
| CMK                  | 6958 | 3.2            |  | 155.0                      | 150.0   | 0.0                          | 3.2                 | 0%         | 3.2                 | 0%         |
| DAISHINKU            | 6962 | 1.0            |  | 155.0                      | 150.0   | 0.1                          | 0.8                 | -25%       | 1.3                 | 25%        |
| HAMAMATSU PHOTONICS  | 6965 | 22.5           |  | 155.0                      | 151.7   | 0.3                          | 21.0                | -7%        | 24.0                | 7%         |
| KYOCERA              | 6971 | 132.6          |  | 155.0                      | 150.0   | 1.0                          | 127.6               | -4%        | 137.6               | 4%         |
| TAIYO YUDEN          | 6976 | 45.2           |  | 155.0                      | 149.8   | 0.9                          | 40.7                | -10%       | 49.7                | 10%        |
| MURATA MANUFACTURING | 6981 | 431.9          |  | 155.0                      | 149.1   | 4.5                          | 409.4               | -5%        | 454.4               | 5%         |
| NICHICON             | 6996 | 9.4            |  | 155.0                      | 145.0   | 0.1                          | 8.9                 | -6%        | 10.0                | 6%         |
| NIPPON CHEMI-CON     | 6997 | 7.0            |  | 155.0                      | 153.0   | 0.3                          | 5.7                 | -19%       | 8.3                 | 19%        |
| KOA                  | 6999 | 3.2            |  | 150.0                      | 157.0   | 0.1                          | 3.2                 | 0%         | 4.4                 | 38%        |
| <b>Total</b>         |      | <b>1,541.9</b> |  |                            |         | <b>14.9</b>                  | <b>1,468.3</b>      | <b>-5%</b> | <b>1,616.8</b>      | <b>5%</b>  |

Note: e=Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

## We expect combined OP for our coverage universe to rise 31% YoY in FY26 and rise 34% in Apr-Jun 2026

We forecast combined OP for our coverage universe to reach ¥1.5419trn in FY26 (FactSet consensus: ¥1.4912trn), up ¥365.7bn/31.1% from ¥1.1762trn in FY25. After OP declined for two consecutive years, from ¥1,261.5bn in FY21 (+58.0% YoY) to ¥1,098.2bn in FY22 (-12.9%) and ¥879.5bn in FY23 (-19.9%), it turned to growth in FY24 at ¥984.5bn (+11.9%) and ¥1,176.2bn in FY25 (+18.2%), and we expect the pace of earnings growth to accelerate in FY26.

We forecast combined OP for our coverage companies in Apr-Jun at ¥319.2bn, up 33.6% from ¥238.9bn in Apr-Jun 2025 and up 8.3% from ¥294.8bn in Jan-Mar 2026. OP at major electronic component companies typically peaks in Jul-Sep, declines in Oct-Dec, and declines further in Jan-Mar. However, we believe the QoQ decline in Jan-Mar 2026 will be smaller than usual, reflecting strong demand related to AI servers and data centers, as well as one-off expenses of ¥49.8bn by Murata in Oct-Dec, including goodwill impairment related to Resonant.



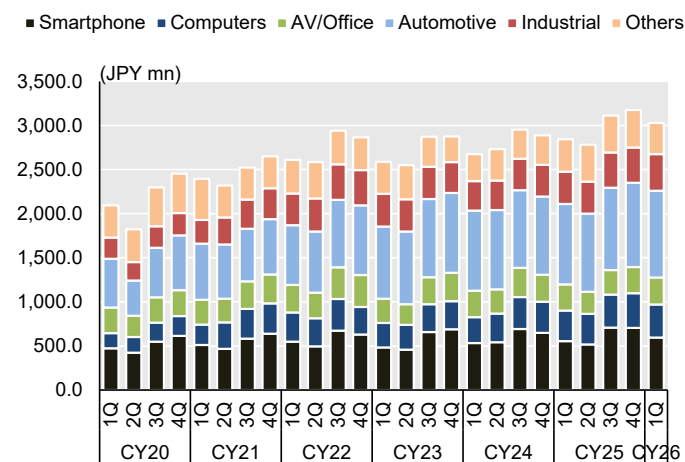
# Trends by application and summary of forecasts

**Exhibit 12:** End-product market and major components market (calendar year)

| (mn units)                        | 2012  | 2013    | 2014    | 2015    | 2016    | 2017    | 2018    | 2019    | 2020    | 2021    | 2022    | 2023    | 2024    | 2025    | 2026e   | 2027e   |
|-----------------------------------|-------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| <b>Server</b>                     | 8.7   | 9.0     | 9.2     | 9.7     | 9.6     | 10.2    | 11.8    | 11.8    | 12.7    | 13.5    | 14.9    | 12.4    | 14.5    | 16.4    | 16.7    | 16.8    |
| YoY % Change                      | 0%    | 3%      | 3%      | 5%      | -2%     | 7%      | 16%     | 0%      | 7%      | 7%      | 10%     | -17%    | 17%     | 13%     | 1%      | 1%      |
| <b>PC</b>                         | 346.1 | 311.8   | 304.7   | 272.1   | 256.2   | 261.3   | 260.2   | 267.5   | 306.6   | 353.6   | 293.8   | 253.2   | 261.6   | 288.5   | 250.2   | 241.5   |
| YoY % Change                      | -4%   | -10%    | -2%     | -11%    | -6%     | 2%      | 0%      | 3%      | 15%     | 15%     | -17%    | -14%    | 3%      | 10%     | -13%    | -3%     |
| <b>Desktop</b>                    | 146.0 | 134.2   | 131.3   | 110.7   | 100.8   | 100.8   | 96.0    | 95.9    | 85.8    | 95.8    | 85.7    | 72.2    | 73.0    | 83.6    | 73.2    | 71.5    |
| YoY % Change                      | -4%   | -8%     | -2%     | -16%    | -9%     | 0%      | -5%     | 0%      | -11%    | 12%     | -11%    | -16%    | 1%      | 15%     | -12%    | -2%     |
| <b>Notebook</b>                   | 200.1 | 177.5   | 173.4   | 161.4   | 155.4   | 160.5   | 164.1   | 171.6   | 220.8   | 257.7   | 208.1   | 181.0   | 188.6   | 204.9   | 176.9   | 170.0   |
| YoY % Change                      | -4%   | -11%    | -2%     | -7%     | -4%     | 3%      | 2%      | 5%      | 29%     | 17%     | -19%    | -13%    | 4%      | 9%      | -14%    | -4%     |
| <b>Smartphone</b>                 | 726.7 | 1,018.7 | 1,301.5 | 1,437.6 | 1,469.5 | 1,465.3 | 1,402.5 | 1,372.6 | 1,281.2 | 1,359.8 | 1,206.2 | 1,165.5 | 1,237.5 | 1,264.0 | 1,094.0 | 1,132.6 |
| YoY % Change                      | 47%   | 40%     | 28%     | 10%     | 2%      | 0%      | -4%     | -2%     | -7%     | 6%      | -11%    | -3%     | 6%      | 2%      | -13%    | 4%      |
| <b>5G smartphone</b>              | 0.0   | 0.0     | 0.0     | 0.0     | 0.0     | 0.0     | 0.0     | 16.1    | 255.3   | 559.5   | 636.8   | 703.4   | 814.6   | 893.1   | 829.6   | 901.3   |
| YoY % Change                      | -     | -       | -       | -       | -       | -       | -       | -       | 1485%   | 119%    | 14%     | 10%     | 16%     | 10%     | -5%     | 9%      |
| <b>iPhone</b>                     | 135.9 | 153.5   | 192.7   | 231.5   | 215.4   | 215.8   | 204.9   | 199.3   | 203.4   | 235.8   | 226.7   | 235.6   | 234.3   | 251.7   | 252.8   | 267.0   |
| YoY % Change                      | 46%   | 13%     | 26%     | 20%     | -7%     | 0%      | -5%     | -3%     | 2%      | 16%     | -4%     | 4%      | -1%     | 7%      | 0%      | 6%      |
| <b>HDD</b>                        | 578.0 | 551.9   | 564.1   | 468.8   | 423.9   | 403.1   | 375.4   | 317.7   | 260.0   | 259.3   | 172.2   | 122.3   | 123.9   | 123.8   | 126.8   | 125.7   |
| YoY % Change                      | -7%   | -5%     | 2%      | -17%    | -10%    | -5%     | -7%     | -15%    | -18%    | 0%      | -34%    | -29%    | 1%      | 0%      | 2%      | -1%     |
| <b>Enterprise</b>                 | 33.2  | 31.8    | 32.4    | 32.1    | 24.8    | 22.6    | 21.5    | 17.4    | 12.9    | 13.4    | 8.6     | 5.8     | 4.4     | 3.2     | 2.3     | 1.5     |
| <b>NL</b>                         | 28.1  | 35.5    | 36.9    | 37.2    | 41.0    | 42.4    | 51.3    | 52.7    | 59.1    | 73.5    | 61.5    | 39.4    | 58.6    | 67.6    | 75.5    | 79.6    |
| <b>3.5"ATA</b>                    | 216.2 | 203.2   | 202.6   | 161.0   | 142.9   | 135.4   | 120.5   | 103.9   | 87.0    | 89.9    | 55.0    | 45.2    | 35.6    | 30.9    | 28.8    | 27.6    |
| <b>2.5"</b>                       | 298.7 | 280.7   | 291.7   | 238.6   | 215.1   | 202.7   | 182.0   | 143.6   | 101.0   | 82.5    | 46.3    | 32.0    | 25.3    | 22.0    | 20.3    | 17.1    |
| <b>Global Light vehicle sales</b> | 75.0  | 78.2    | 81.4    | 83.5    | 92.3    | 94.4    | 93.9    | 89.9    | 77.2    | 80.3    | 79.0    | 86.7    | 88.7    | 91.1    | 91.4    | 93.2    |
| YoY % Change                      | 5%    | 4%      | 4%      | 3%      | 11%     | 2%      | -1%     | -4%     | -14%    | 4%      | -2%     | 10%     | 2%      | 3%      | 0%      | 2%      |
| <b>ICE</b>                        |       |         |         | 83.5    | 91.8    | 93.7    | 92.6    | 88.5    | 75.1    | 75.2    | 71.0    | 76.2    | 77.0    | 76.2    | 75.4    | 75.0    |
| YoY % Change                      |       |         |         |         | 10%     | 2%      | -1%     | -4%     | -15%    | 0%      | -6%     | 7%      | 1%      | -1%     | -1%     | -1%     |
| <b>EV</b>                         |       |         |         | -       | 0.5     | 0.7     | 1.3     | 1.4     | 2.1     | 5.1     | 8.0     | 10.5    | 11.7    | 14.9    | 16.0    | 18.2    |
| YoY % Change                      |       |         |         |         |         | 40%     | 86%     | 8%      | 50%     | 143%    | 57%     | 31%     | 11%     | 27%     | 7%      | 14%     |

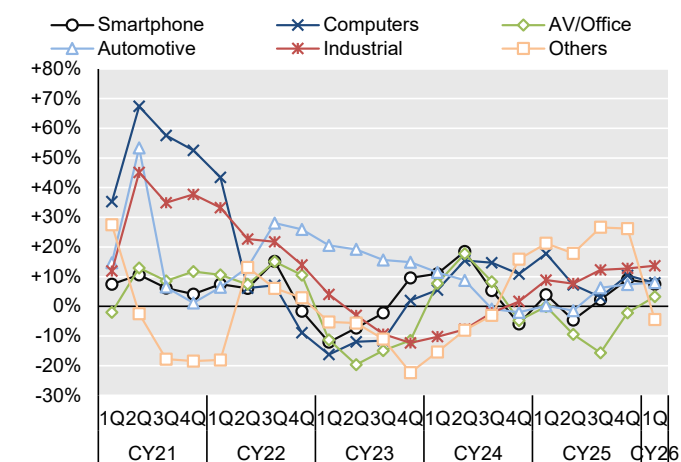
Note: e=Morgan Stanley Research estimates  
Source: Morgan Stanley Research

**Exhibit 13:** Total sales by major applications for our coverage



Note: Apps classification is based on our assumption  
Source: Company data, Morgan Stanley Research

**Exhibit 14:** Total sales YoY by major applications for our coverage



Note: Apps classification is based on our assumption  
Source: Company data, Morgan Stanley Research

**Exhibit 15:**

Our OP forecasts vs. FactSet consensus

| (JPY bn)             |      | Next Q       |              | F26e           |                | F27e           |                | F28e           |                |
|----------------------|------|--------------|--------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                      |      | MSe          | FSe          | MSe            | FSe            | MSe            | FSe            | MSe            | FSe            |
| IBIDEN               | 4062 | 21.6         | 20.2         | 94.7           | 99.7           | 128.5          | 151.5          | 166.6          | 223.7          |
| NITERRA              | 5334 | 39.6         | 30.7         | 158.2          | 154.0          | 174.4          | 174.9          | 200.8          | 206.8          |
| MINEBEA MITSUMI      | 6479 | 26.0         | 26.3         | 121.5          | 121.3          | 137.8          | 136.0          | 154.3          | 149.3          |
| MABUCHI MOTOR        | 6592 | 7.1          | 6.8          | 27.2           | 24.7           | 29.9           | 26.8           | 32.4           | 28.8           |
| TDK                  | 6762 | 64.5         | 64.6         | 335.8          | 307.7          | 369.1          | 355.7          | 414.7          | 414.3          |
| ALPS ALPINE          | 6770 | 3.7          | 5.3          | 49.1           | 43.4           | 68.7           | 49.8           | 79.7           | 51.4           |
| NIHON DEMPA KOGYO    | 6779 | 1.1          | 1.1          | 4.6            | 4.6            | 5.3            | 5.3            | 6.6            | 6.6            |
| MEIKO ELECTRONICS    | 6787 | 8.1          | 8.2          | 38.6           | 38.1           | 48.7           | 51.3           | 62.5           | 65.3           |
| HIROSE ELECTRIC      | 6806 | 11.3         | 11.5         | 47.3           | 49.8           | 53.4           | 58.1           | 59.9           | 66.9           |
| JAE                  | 6807 | 0.6          | 2.8          | 8.9            | 13.2           | 9.6            | 16.1           | 10.1           | 18.8           |
| CMK                  | 6958 | 0.7          | 0.3          | 3.2            | 3.5            | 3.9            | 5.0            | 4.5            | 7.5            |
| DAISHINKU            | 6962 | 0.3          | 0.3          | 1.0            | 1.4            | 1.5            | 2.0            | 2.3            | 2.3            |
| HAMAMATSU PHOTONICS  | 6965 | 4.9          | 5.3          | 22.5           | 20.1           | 25.4           | 24.4           | 30.7           | 30.4           |
| KYOCERA              | 6971 | 28.9         | 27.4         | 132.6          | 125.8          | 148.5          | 149.2          | 178.8          | 145.5          |
| TAIYO YUDEN          | 6976 | 7.0          | 7.3          | 45.2           | 40.2           | 70.2           | 67.2           | 80.2           | 99.7           |
| MURATA MANUFACTURING | 6981 | 90.4         | 85.6         | 431.9          | 423.5          | 624.0          | 579.3          | 754.3          | 831.2          |
| NICHICON             | 6996 | 1.7          | 1.5          | 9.4            | 9.8            | 12.4           | 12.5           | 15.1           | 14.1           |
| NIPPON CHEMI-CON     | 6997 | 1.2          | 1.2          | 7.0            | 7.4            | 9.1            | 10.0           | 11.2           | 12.0           |
| KOA                  | 6999 | 0.6          | 0.5          | 3.2            | 3.2            | 5.2            | 6.3            | 7.0            | 7.0            |
| <b>Total</b>         |      | <b>319.2</b> | <b>306.9</b> | <b>1,541.9</b> | <b>1,491.2</b> | <b>1,925.6</b> | <b>1,881.4</b> | <b>2,271.7</b> | <b>2,381.5</b> |

Note: Fiscal year for Hamamatsu ends in Sep, Mabuchi ends in Dec, e=Morgan Stanley Research estimates, FSe = FactSet consensus; Showing MSe for coverages with missing consensus data  
Source: Company data, FactSet, Morgan Stanley Research

# Key points underlying our earnings outlook

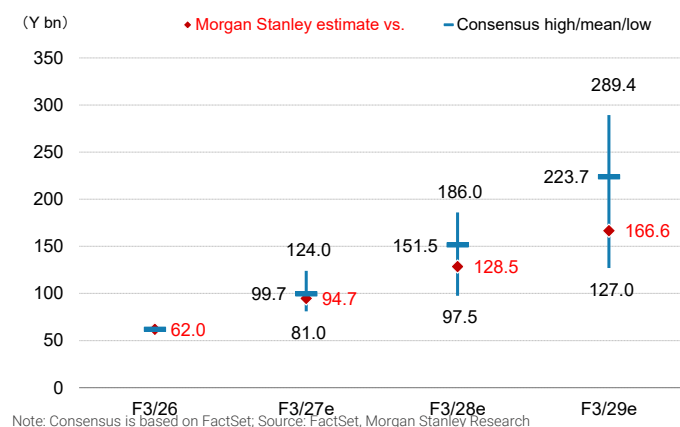
## Ibiden (4062, UW, PT ¥13,000)

We forecast Ibiden's F3/27 OP at ¥94.7bn (.6 FactSet consensus: ¥99.7bn). Our estimate of +¥32.7bn YoY growth mainly reflects an expected +¥32.7bn increase in earnings from the Electronics business. We expect this sharp increase in Electronics earnings to be driven primarily by higher sales of ABF package substrates for NVIDIA, as NVIDIA's flagship products shift from Blackwell to Rubin, with an accompanying rise in unit prices. We estimate that the unit price of ABF package substrates for Rubin will be roughly twice that of Blackwell.

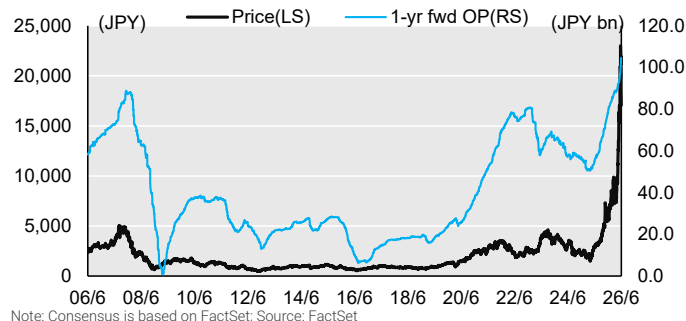
We forecast F3/28 OP of ¥128.5bn (company guidance: ¥150bn; FactSet consensus: ¥151.5bn). The implied ¥33.7bn YoY increase is again mainly due to an expected ¥32.1bn increase in earnings from Electronics. In Electronics, we expect NVIDIA's AI server GPUs to shift from Rubin to Rubin Ultra, supporting a continued rise in the average selling price of ABF package substrates. In addition, against the backdrop of increased procurement of T-Glass/CCL and higher production volumes at the Ohno Plant, we forecast that ABF package substrates sales will rise +31% YoY, or ¥100.8bn. Although we expect depreciation to increase by +¥15bn, from ¥71bn in FY3/27 to ¥86bn in F3/28, we believe Ibiden can still secure profit growth, although we do not expect OP to reach company guidance.

We forecast F3/27 1Q OP of ¥21.6bn (FactSet consensus: ¥20.2bn). We anticipate +¥4.1bn QoQ growth, mainly because we expect Electronics sales to rise by +¥4.8bn, while we look for companywide depreciation to decline by -¥4.5bn.

**Exhibit 16:** OP forecast comparison



**Exhibit 17:** 1-year forward consensus OP and share price



## Niterra (5334, OW, PT ¥12,600)

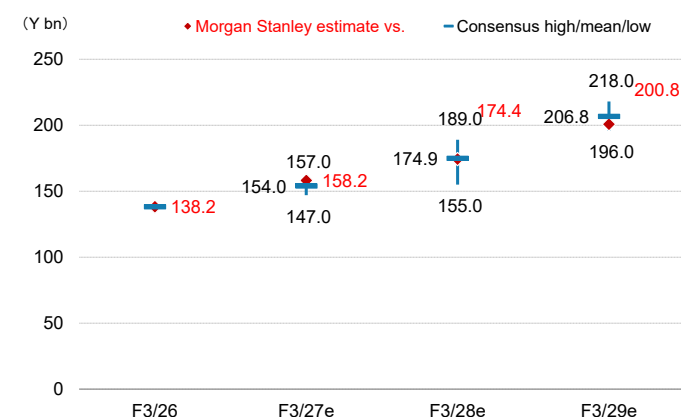
For Niterra, we forecast F3/27 OP of ¥158.2bn (company guidance: ¥150bn; FactSet consensus: ¥154.0bn). The breakdown of our projected +¥20bn YoY increase includes +¥13.8bn Automotive Components earnings and +¥13.5bn in Component Solutions earnings. In Automotive Components, we expect profits to increase as the benefit of higher prices for plugs sold in the replacement market continues. We also expect profit growth for exhaust gas sensors driven by higher sales of oxygen sensors for motorcycles.

For Component Solutions, we look for growth not only from increased earnings in electrostatic chucks for semiconductor production equipment (SPE), but also from reduced in losses in medical business.

We forecast F3/28 OP of ¥174.4bn (FactSet consensus: ¥174.9bn), implying +¥16.2bn YoY growth. This consists mainly of a +¥12.3bn increase in Automotive Components earnings and a +¥3.9bn increase in Component Solutions. We expect not only continued earnings growth from replacement market plugs, but also gradual increases in sales of plugs for new vehicles and exhaust gas sensors. While we believe the transfer of spark plug and exhaust oxygen sensor businesses from Denso will take time, we expect Niterra will continue gradually gaining market share in both of these product areas.

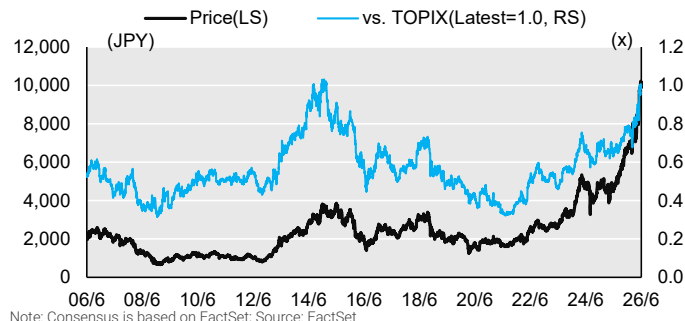
We forecast F3/27 1Q OP of ¥39.6bn (FactSet consensus: ¥30.7bn), +¥12.3bn QoQ. Key factors include the non-recurrence of several items from 4Q, including ~¥12bn in inventory valuation losses and structural reform costs, ~¥3bn in PPA expenses related to silicon nitride, ~¥4bn in gains on the sale of land at the former headquarters, and ~¥1.5bn in fixed-asset tax in Japan.

**Exhibit 18:** OP forecast comparison



Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 19:** 1-year Forward consensus OP and share price



Note: Consensus is based on FactSet; Source: FactSet

## Minebea Mitsumi (6479, EW, PT ¥5,300)

We forecast F3/27 OP of ¥121.5bn for Minebea Mitsumi (company guidance: ¥120bn; FactSet consensus: ¥121.3bn), +¥17.5bn YoY on expected profit growth across all four segments. In Precision Technologies (PT), where the core products are miniature ball bearings, strong demand for these products is likely to continue, including for DC fan motors. In Motor, Lighting & Sensing (MLS), which is centered on motors, we expect solid sales of spindle motors for HDDs along with higher sales of automotive motors.

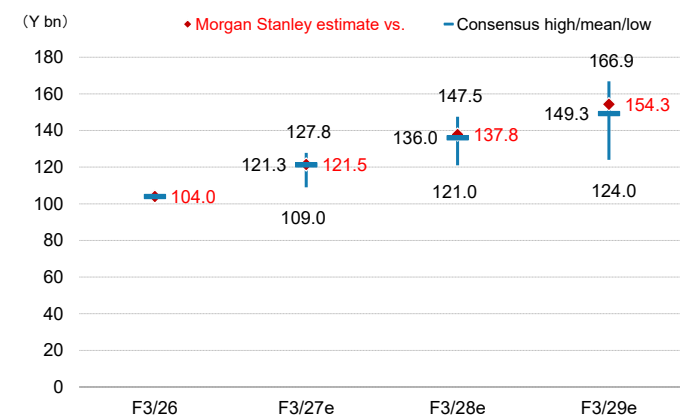
We forecast F3/28 OP of ¥137.8bn (FactSet consensus: ¥136.0bn), +¥16.3bn YoY. In addition to continued growth in ball bearing and motor sales, we expect profit growth to be supported by rising sales of high-value-added smartphone camera actuators in the Semiconductor & Electronics (SE) segment, as production ramps up smoothly. That said, we expect competitor Alps Alpine to be the principal vendor for smartphone camera actuators in North America, so the extent of the benefit from higher-value-added products at Minebea Mitsumi uncertain.

We forecast F3/27 1Q OP of ¥26.0bn (FactSet consensus: ¥26.3bn), -¥2.3bn QoQ. While the MLS segment is likely to see profit growth driven by higher HDD spindle motor



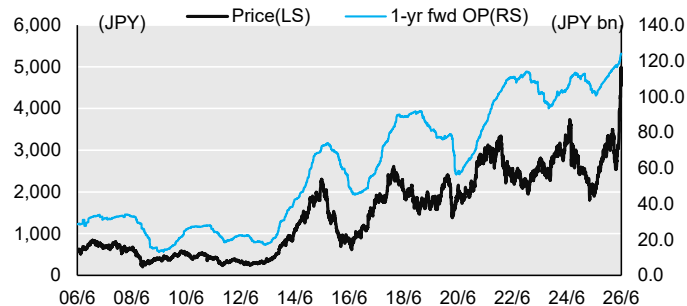
volumes, we expect slight profit declines in PT (mainly miniature ball bearings) and SE (mainly semiconductors, camera actuators, game assemblies), as well as a drop in Access Solutions (AS; mainly automotive components) due to factors such as rising material costs.

**Exhibit 20:** OP forecast comparison



Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 21:** 1-year forward consensus OP and share price



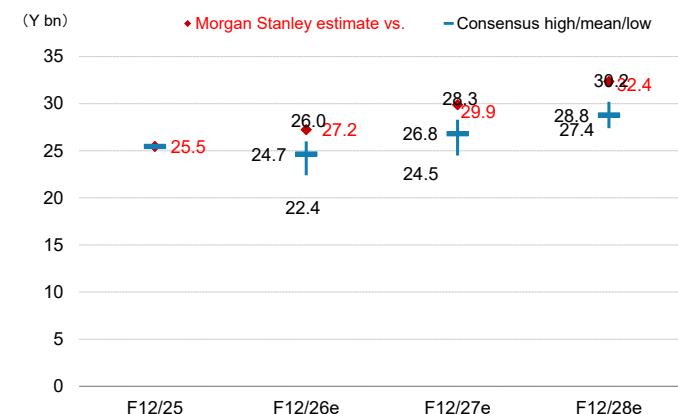
Note: Consensus is based on FactSet; Source: FactSet

## Mabuchi Motor (6592, EW, PT ¥1,750)

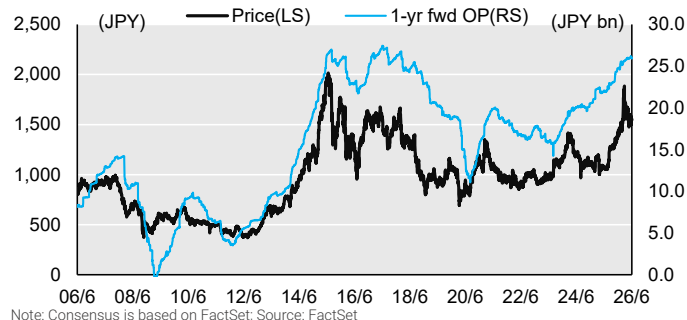
For Mabuchi Motor, we forecast F12/26 OP of ¥27.2bn (company guidance: ¥26bn; FactSet consensus: ¥24.7bn). Although we expect labour costs will continue to rise, we do not anticipate a major change in total personnel expenses due to labour-saving measures. Comparing the earnings improvement from structural reforms in Poland and elsewhere, we believe enhanced productivity from automation efforts and other measures and restructuring benefits will outweigh the impact of rising costs such as wages, leading us to forecast +¥1.8bn YoY growth in OP.

We forecast F12/27 OP of ¥29.9bn (FactSet consensus: ¥26.8bn). We expect profit growth to continue, supported by higher production and shipment volumes of automotive motors, market share gains in motors for power windows and power seats, and productivity improvements at acquired companies.

We forecast F12/26 2Q OP of ¥7.1bn (FactSet consensus: ¥6.8bn), +¥1.7bn QoQ. We expect motor production volume to rise from 313mn units in 1Q to 330mn in 2Q. We also expect motor shipment volumes to increase QoQ in both the Automotive Products and Life & Industrial Products segments.

**Exhibit 22:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

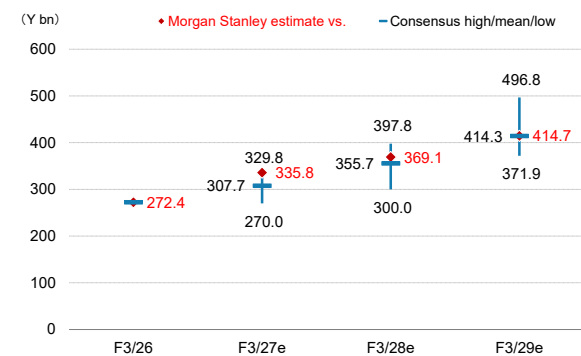
**Exhibit 23:** 1-year forward consensus OP and share price

Note: Consensus is based on FactSet; Source: FactSet

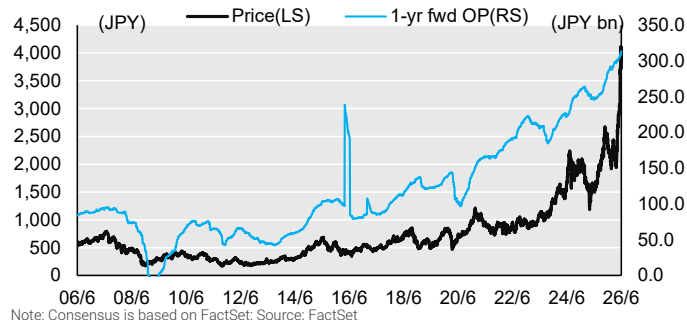
## TDK (6762, OW, PT ¥4,900)

We forecast F3/27 OP +¥63.3bn YoY to ¥335.8bn (guidance: ¥295bn, FactSet consensus: ¥307.7bn). By segment, we forecast OP +¥12.2bn to ¥54bn in Passive Components, with growth in sales of core products, including MLCCs, aluminum electrolytic capacitors and inductors, for not only automotive, but also AI/DC applications; +¥1.5bn to ¥22.2bn for Sensor Application Products, on sustained profitability in MEMS sensors and improved profitability in temperature and pressure sensors; +¥34.5bn to ¥61.5bn in Magnetic Application Products, driven mainly by increased sales of HDD heads and suspensions; and +¥9.4bn to ¥256.1bn in Energy Application Products, with growth in sales of high added-value rechargeable batteries and the drop-out of ¥7.4bn in power supply restructuring costs. For F3/28, we forecast OP +¥33.4bn YoY to ¥369.1bn (FactSet consensus: ¥355.7bn), assuming growth across all four segments, with the largest drivers as increased sales and productivity for MLCCs, aluminum electrolytic capacitors and inductors in Passive Components, and continued profitability gains on MEMS sensors in Sensor Application Products.

For F3/27 1Q, we forecast OP +¥22.8bn QoQ to ¥64.5bn (FactSet consensus: ¥64.6bn) mainly due to the absence of ¥9.8bn in restructuring costs recorded in 4Q and sharp growth in sales of HDD heads for STX and WDC, which resumed in 4Q.

**Exhibit 24:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 25:** 1-year forward consensus OP and share price

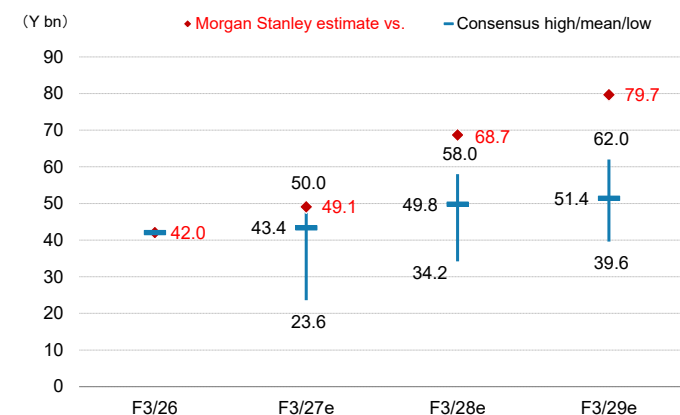
Note: Consensus is based on FactSet; Source: FactSet

## Alps Alpine (6770, OW, PT ¥3,000)

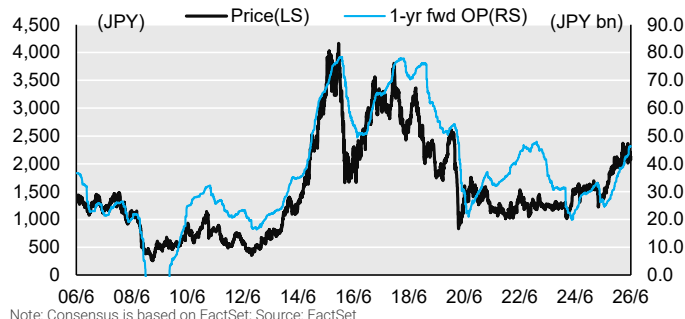
We forecast F3/27 OP +¥7.1bn YoY to ¥49.1bn (guidance: ¥48.5bn, FactSet consensus: ¥43.4bn). By segment, we forecast OP +¥6.9bn to ¥37.1bn in Component, with sharp profit gains in smartphone camera actuators making up for lower profit in smartphone and game switches; at -¥1.2bn in Sensor & Communication, assuming the booking of sales on digital keys and lower development costs serve to narrow losses, but that a turn to profit remains out of grasp; and -¥2bn to ¥12.2bn in Mobility, with lower sales due to new project delays and other factors outweighing the continued receipt of development fees from customers. For F3/28, we forecast OP +¥19.6bn YoY to ¥68.7bn (FactSet consensus: ¥49.8bn), assuming Component OP grows ¥14.6bn with the stabilized production of high added-value camera actuators for North American smartphones, Sensor & Communication losses turn to a ¥2bn profit, and Mobility OP increases ¥1.8bn due to the effect of consolidating development and production sites.

For F3/27 1Q, we forecast OP -¥5.1bn QoQ to ¥3.7bn (FactSet consensus: ¥5.3bn), assuming Component OP increases on growth in sales of new high added-value smartphone camera actuators, but Mobility profit declines ¥9.4bn QoQ to a ¥3bn loss from a sharp decline in development fees collected from customers.

**Exhibit 26:** OP forecast comparison



**Exhibit 27:** 1-year forward consensus OP and share price



## Nihon Dempa Kogyo (6779, EW, PT ¥4,900)

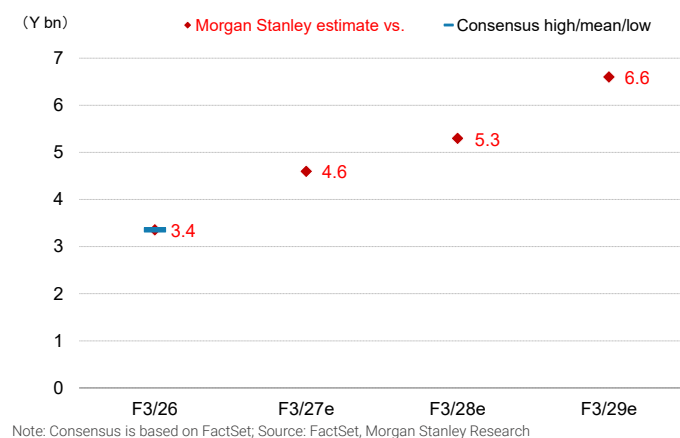
We forecast F3/27 OP +¥1.2bn YoY to ¥4.6bn (guidance: ¥4bn), assuming sales growth momentum picks up to +13% YoY for sales to hit ¥61.9bn (guidance ¥60.6bn). By application, we expect sales for Industrial Equipment to rise 1.9x on increased demand for optical transceiver and AI/DC internal products and drive overall earnings. We also expect a contribution from growth in sales for Automotive applications through 1H, backed by moves to secure safety stock amid the soaring cost of memory and other components. While we assume in-house IC development costs and costs associated with proactive upfront investments (DX, labor, etc.) will increase, we believe marginal profit growth will exceed this, resulting in YoY profit gains that exceed guidance.

For F3/28, we forecast OP +¥0.7bn YoY to ¥5.3bn (company forecast in current mid-term plan: ¥7bn). While the bar to achieving the mid-term plan remains high, we maintain the view for sustained growth in sales of crystal oscillators for optical transceivers and continued earnings growth in products linked to business portfolio diversification, such as optical components for SPE and communication equipment for defense. If utilization of highly efficient production lines ramps up fully, we would expect the company to enter a

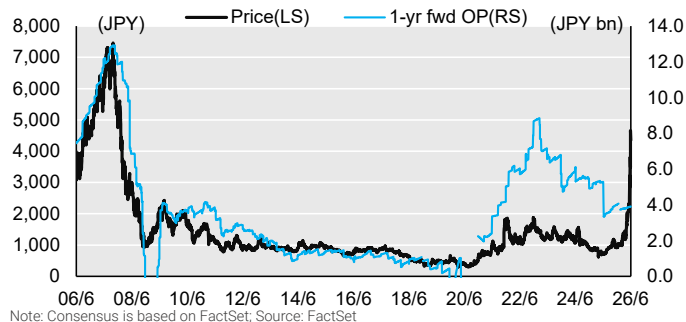
recovery phase for ongoing upfront investment costs. We also eye the launch timing of MEMS substitutes for North American high-end smartphones and the possibility of recapturing market share.

For F3/27 1Q, we forecast OP to decrease slightly to ¥1.1bn. While we forecast modest QoQ growth in sales, we assume a hit of ~¥0.1bn from higher R&D costs.

**Exhibit 28:** OP forecast comparison



**Exhibit 29:** 1-year forward consensus OP and share price

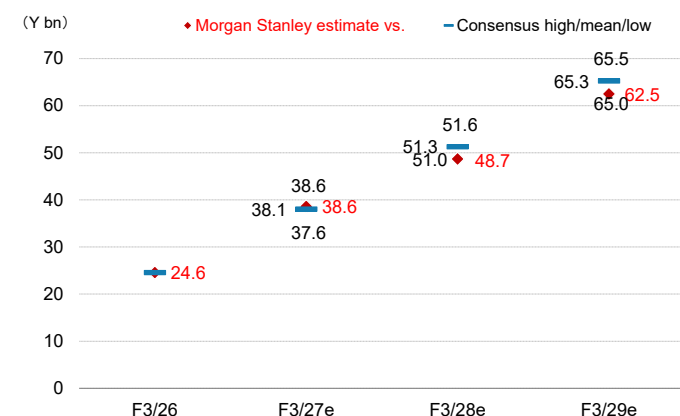


## Meiko (6787, EW, PT ¥39,200)

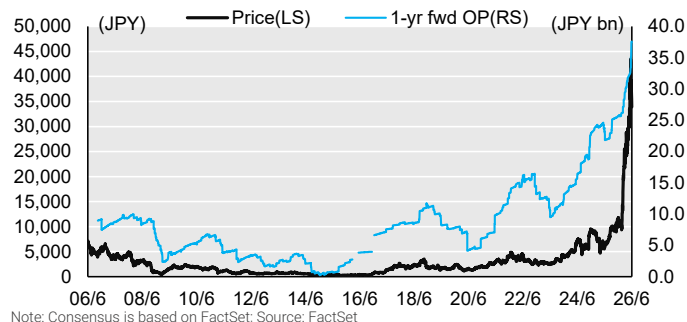
We forecast F3/27 OP +¥14bn YoY to ¥38.6bn (guidance: ¥38bn, FactSet consensus: ¥38.1bn). We assume upside to guidance will be driven by sales for AI server applications growing +¥12.7bn to ¥20bn (guidance: ¥17bn) on increased sales mainly of eSSD module substrates to existing customers and the start of mass production for new customers. Mass production of AI accelerator boards is due to commence from 2H, and we assume this will contribute sales of ~¥7bn. In satellite communication applications, we forecast sales to rise a sharp 2.0x to ¥56bn (guidance: ¥55bn) on rapid growth in demand for receiving antenna substrates owing to service expansion to other regions. We also expect OPM to widen to 11.9%, level with guidance, on a better mix resulting from an increased sales contribution from high-layer count, high-density build-up substrates and progress in passing through CCL and other raw material costs.

For F3/28, we forecast OP +¥10.1bn YoY to ¥48.7bn (guidance: ¥51bn; FactSet consensus: ¥51.3bn), assuming build-up substrate sales grow a strong +45%, backed by the start of mass production of satellite main body substrates, expansion of the customer base for AI accelerator boards, and the ramp up of mass production of products for North American high-end smartphones. On the other hand, we expect depreciation and amortization expenses to rise a sharp +¥17.3bn to ¥34.8bn based on the company's plans to sustain annual capex of ¥70bn over F3/27-29. Key in our view will be whether a better mix and further top-line growth can offset the continued rise in raw material costs and higher fixed costs associated with the start-up of new plants.

We forecast F3/27 1Q OP +¥1bn QoQ to ¥8.1bn (FactSet consensus: ¥8.2bn). We assume profit gains will primarily be driven by growth in sales of build-up substrates for satellite communications, the pass-through of raw material cost increases last 4Q, and higher operating rates.

**Exhibit 30:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 31:** 1-year forward consensus OP and share price

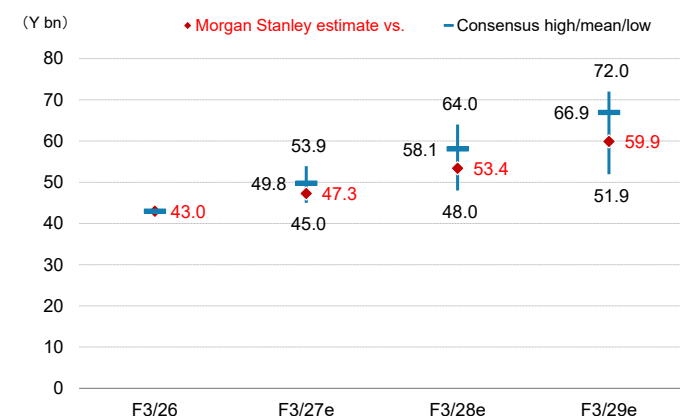
Note: Consensus is based on FactSet; Source: FactSet

## Hirose Electric (6806, OW, PT ¥36,600)

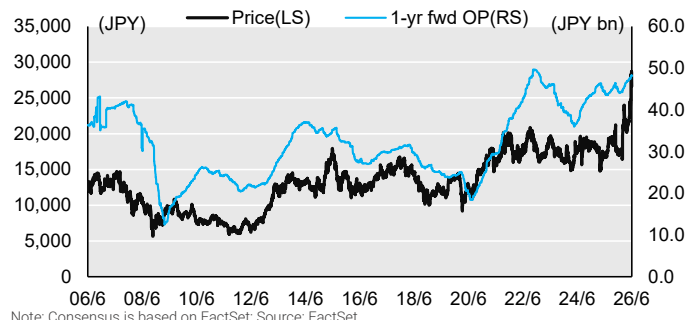
Our F3/27 OP forecast is ¥47.3bn (+¥4.3bn YoY; company forecast ¥46.0bn, FS consensus ¥49.8bn). We forecast sales for general industrial equipment applications at ¥73.9bn (+¥11.9bn YoY; company forecast ¥71.0bn), exceeding the company plan and maintaining a high pace of revenue growth. We expect Hirose to benefit from increased investment in production equipment, particularly for SPE-related applications. For communications infrastructure, where demand for mezzanine connectors for AI servers is expanding rapidly, we forecast sales of ¥10.7bn (company forecast ¥9.0bn). Revenue growth from SER (acquired in F3/26; main products are probes and probe-applied products for SPE) should also contribute. While we expect the impact of higher raw material costs due to rising precious metal prices to expand YoY, we believe profit growth exceeding guidance is achievable, driven by higher marginal profit and progress in price pass-through, particularly for smartphones and industrial equipment. We also expect that the significant price reductions for high-end smartphones in North America seen in the previous year will not recur in F3/27.

Our F3/28 OP forecast is ¥53.4bn (+¥6.1bn YoY; FS consensus ¥58.1bn). Our view remains unchanged that historically high revenue growth will continue, and we expect further growth in B-to-B connector sales for AI servers. Price pass-through for rising precious metal prices should also progress gradually. The company has announced a midterm management plan with F3/30 as the final year, and we view all company KPIs (revenue ¥290bn, OP ¥66.7bn, ROE 12%) as achievable.

Our F3/27 1Q OP forecast is ¥11.3bn (+¥0.8bn QoQ; FS consensus ¥11.5bn). Despite negative impact from rising precious metal prices QoQ, we expect profit growth due to increased sales centered on general industrial equipment and communications infrastructure, as well as the absence of approximately ¥0.5bn in one-off costs recorded in 4Q of the previous year.

**Exhibit 32:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 33:** 1-year forward consensus OP and share price

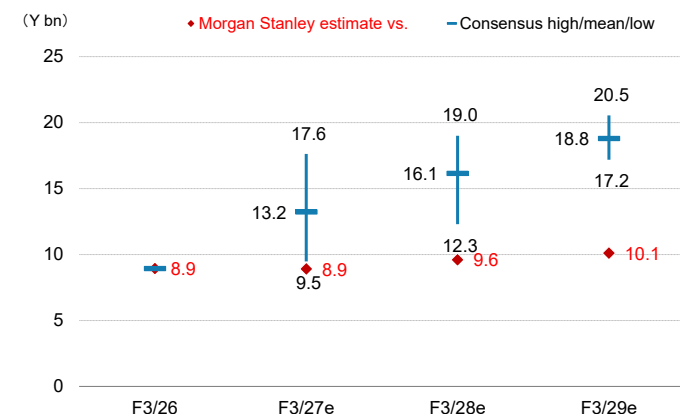
Note: Consensus is based on FactSet; Source: FactSet

## Japan Aviation Electronics Industry (6807, EW, PT ¥2,600)

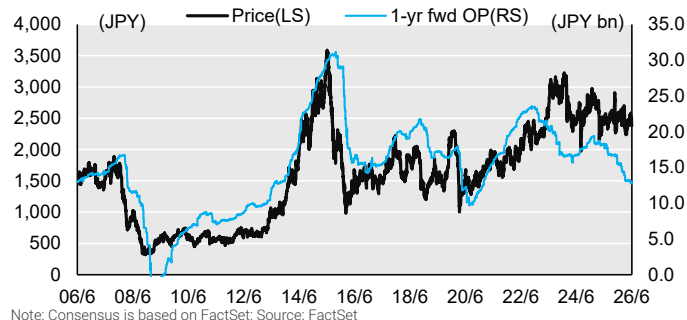
Our F3/27 OP forecast is ¥8.9bn (flat YoY; company forecast ¥9.5bn, FS consensus ¥13.2bn). We forecast connector sales at ¥212.1bn (+¥5.2bn YoY; company forecast ¥215.0bn), implying a slight increase YoY but somewhat below the company plan. For automotive, we expect solid demand growth for ADAS-related wire harnesses, but we forecast a YoY decline in mobile device-related sales, including Type-C connectors and connectors for Chinese smartphones. For aerospace, we forecast sales of ¥22.5bn (+¥2.0bn YoY; company forecast ¥24.5bn), also below the company plan as with connectors, although we expect recovery in high-margin commercial demand such as sensors for oil drilling and SPE applications. We forecast OP to remain flat YoY due to higher raw material costs from rising precious metal prices and increased depreciation.

Our F3/28 OP forecast is ¥9.6bn (+¥0.7bn YoY; FS consensus ¥16.1bn). Our view remains that the pace of earnings recovery will be moderate relative to market consensus and the current midterm plan targets. In addition, Kyocera announced on Oct 30, 2025, that it had acquired a 33.0% stake in JAE held by NEC (6701.T, covered by Tetsuro Tsusaka). Through this capital alliance with Kyocera, JAE expects specific synergies such as market share gains via joint development of smartphone connectors and cross-selling of connectors for automotive and industrial equipment. However, the possibility of additional share acquisition by Kyocera remains a key point to watch. Kyocera's acquisition price of ¥3,630 per share on Oct 30, 2025 exceeded the Oct 29 closing price of ¥2,779 by 30.6% and is 39.6% higher than our price target (base case fair value) of ¥2,600.

Our F3/27 1Q OP forecast is ¥0.6bn (-¥2.4bn QoQ; FS consensus ¥2.8bn). The main drivers of the significant QoQ decline are higher raw material costs due to surging gold prices, the absence of more than ¥1.0bn in positive effects from pricing optimization for specific customers recorded in 4Q of the previous year, and seasonal declines in aerospace-related sales.

**Exhibit 34:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 35:** 1-year forward consensus OP and share price

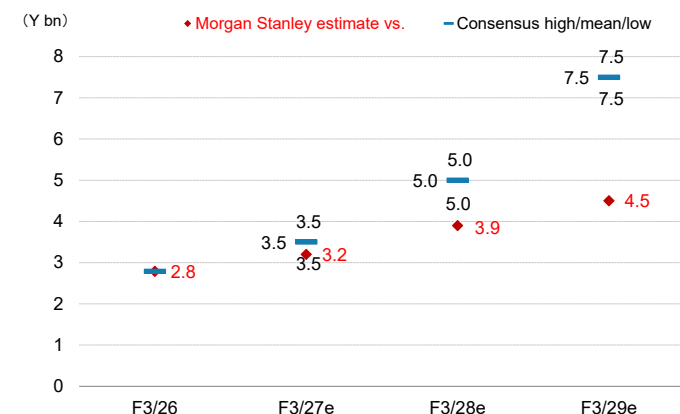
Note: Consensus is based on FactSet; Source: FactSet

### CMK (6958, EW, PT ¥790)

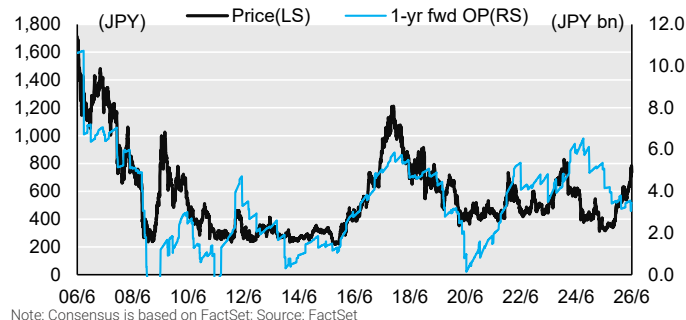
Our F3/27 OP forecast is ¥3.2bn (+¥0.4bn YoY; company forecast ¥3.2bn, FS consensus ¥3.5bn). We forecast build-up PCB sales at ¥37.2bn (+¥4.2bn YoY; company forecast ¥37.3bn). For Japanese Tier 1 customers, we expect performance to remain firm supported by continued demand growth in integrated ECU applications, while for European Tier 1 customers, we assume a gradual demand recovery with F3/26 as the bottom. On the other hand, we forecast double-sided and multilayer through-hole PCB sales at ¥62.7bn (–¥0.7bn YoY; company forecast ¥62.9bn). Our outlook reflects accelerated customer shifts away from Greater China supply chains and tight supply–demand conditions for raw materials such as CCL. For OP, we expect profit growth broadly in line with the company's guidance, as improvements in product mix and positive effects from resolving production system issues at the new Thailand plant last year more than offset rising raw material costs and increased depreciation.

Our F3/28 OP forecast is ¥3.9bn (+¥0.7bn YoY; FS consensus ¥5.0bn). We expect gradual earnings expansion relative to the 3-year mid-term plan KPIs announced at F3/26 full-year results (F3/29 revenue ¥120bn, OP ¥7.5bn). Key focus areas will continue to be the outlook for build-up PCB sales for integrated ECUs, project wins in non-automotive areas such as SPE and infrastructure, and the pace of profitability improvement at the new Thailand plant.

Our F3/27 1Q OP forecast is ¥0.7bn (–¥0.8bn QoQ; FS consensus ¥0.3bn). We expect the main drivers of the QoQ decline to be seasonal reductions in sales to Japanese Tier 1 customers and impact from the Lunar New Year holiday at overseas plants operating on a different schedule.

**Exhibit 36:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 37:** 1-year forward consensus OP and share price

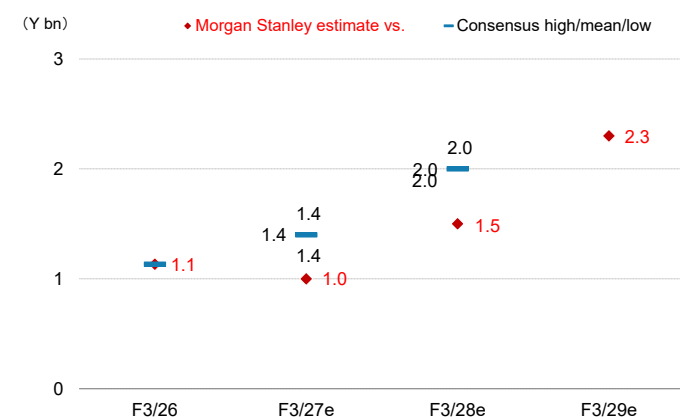
Note: Consensus is based on FactSet; Source: FactSet

### Daishinku (6962, UW, PT ¥840)

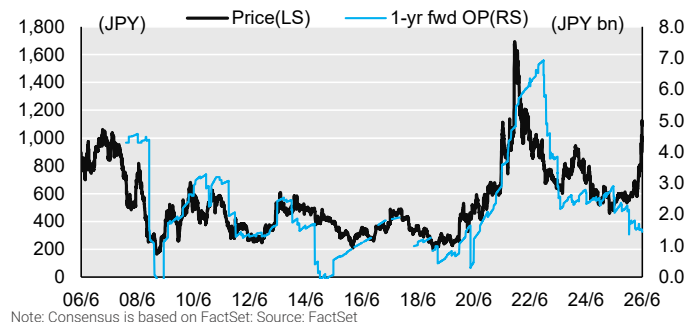
Our F3/27 OP forecast is ¥1.0bn (–¥0.1bn YoY; company forecast ¥1.4bn, FS consensus ¥1.4bn). We forecast communications sales at ¥10.7bn (+¥0.5bn YoY; company forecast ¥11.1bn), falling short of the company plan due to reduced shipments of mid- to low-end Chinese smartphones. We expect OP to decline YoY as the positive effects of revenue growth and price pass-through are offset by approximately ¥1.0bn in higher raw material costs from rising gold prices, as well as increases in fixed costs such as depreciation and R&D.

Our F3/28 OP forecast is ¥1.5bn (+¥0.5bn YoY; FS consensus ¥2.0bn). It is difficult to forecast the contribution from sales expansion into 1.6T optical transceivers via the company's proprietary Arkh. series, and we think it will take time for earnings contributions to fully materialize. While the share price has recently risen significantly on expectations of rapid demand growth for AI/data center timing devices, including optical transceivers, we assume the company's market share gains will be limited in the short term. Labor shortages at production sites could also become a bottleneck in scaling up capacity during periods of increasing demand.

Our F3/27 1Q OP forecast is ¥0.3bn (–¥0.3bn QoQ). Despite QoQ revenue growth, we expect OP to decline sequentially due to higher depreciation and rising raw material costs.

**Exhibit 38:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 39:** 1-year forward consensus OP and share price

Note: Consensus is based on FactSet; Source: FactSet

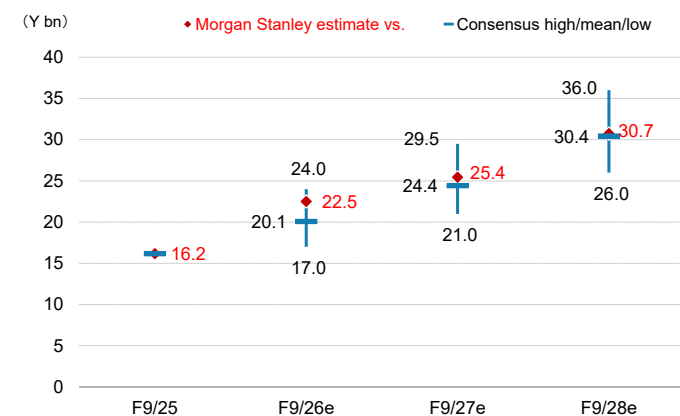


## Hamamatsu Photonics (6965, EW, PT ¥3,000)

We forecast F9/26 OP up ¥6.3bn YoY to ¥22.5bn (company guidance ¥20.0bn, FactSet consensus ¥20.1bn). This reflects a recovery in industrial equipment sales, including semiconductor manufacturing equipment, which started to turn up in F9/25, as well as a likely recovery in non-industrial applications such as medical & bio, as customer inventory adjustments conclude. However, continued increases in depreciation and R&D expenses, as well as the time required for NKTP (acquired in 2024) to turn profitable, suggest it will take considerable time to exceed F9/22's peak OP of ¥57.0bn. We forecast F9/27 OP up ¥2.9bn YoY to ¥25.4bn (consensus ¥24.4bn), driven by top-line growth not only in semiconductor equipment but also in medical & bio, and a ¥1.0bn reduction in laser-related losses. Meanwhile, we also expect higher fixed costs, including depreciation from new plant operations. Although inventory reductions are set to continue, we believe sales have bottomed and are starting to recover, which should enable utilization rates to press higher and provide underlying support for profits.

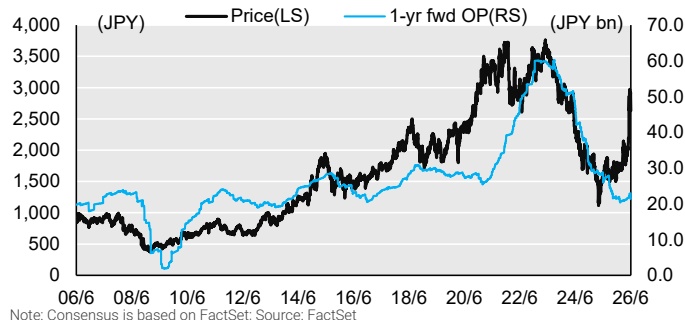
We forecast F9/26 3Q OP to decline ¥2.7bn QoQ, from ¥7.6bn to ¥4.9bn (consensus ¥5.3bn). Hamamatsu typically sees seasonal declines in 1Q and 3Q and increases in 2Q and 4Q, and so we expect a QoQ decline in 3Q. However, earnings are on a recovery trend, with OP expected to jump from ¥1.5bn in F9/25 3Q and ¥2.4bn in F9/26 1Q.

**Exhibit 40:** OP forecast comparison



Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 41:** 1-year forward consensus OP and share price



Note: Consensus is based on FactSet; Source: FactSet

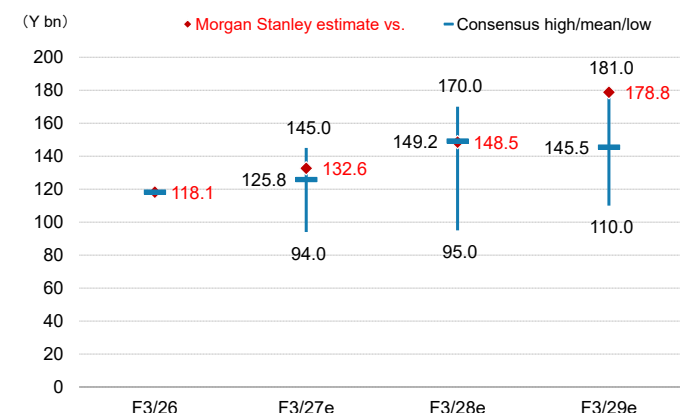
## Kyocera (6971, EW, PT ¥4,000)

We forecast F3/27 OP up ¥14.5bn YoY to ¥132.6bn (guidance ¥130.0bn, FactSet consensus ¥125.8bn). By segment, we forecast Core Components OP at ¥82.6bn (up ¥19.5bn YoY from ¥63.1bn), Electronic Components at ¥22.0bn (up ¥14.7bn from ¥7.3bn), and Solutions ¥86.0bn (down ¥17.9bn from ¥103.9bn). The decline in Solutions mainly reflects the absence of profits and gains from the divestment of SouthernCarlson (machine tools) in the prior year. We forecast F3/28 OP up ¥15.9bn YoY to ¥148.5bn (consensus ¥149.2bn), with gradual improvement across all segments. Price pass-throughs on products that could not fully reflect higher raw material costs in the prior year should also support earnings growth.

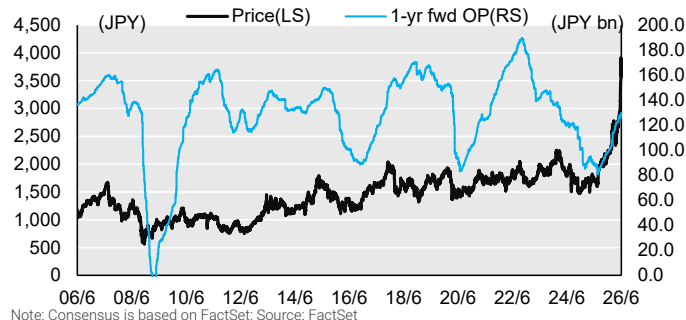
We forecast F3/27 1Q OP down ¥18.6bn QoQ to ¥28.9bn (FS consensus ¥27.4bn). The sharp QoQ decline in Solutions reflects the absence of roughly ¥17.0bn in disposal gains in the prior quarter and seasonally weaker document-related sales, which typically peak in

4-Q and decline in 1Q.

**Exhibit 42:** OP forecast comparison



**Exhibit 43:** 1-year forward consensus OP and share price

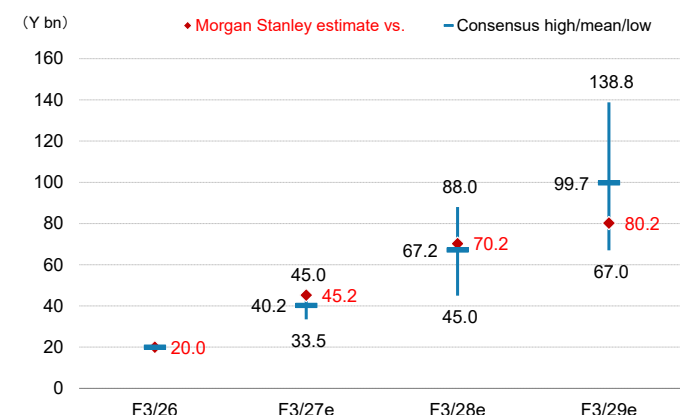


## Taiyo Yuden (6976, UW, PT ¥12,500)

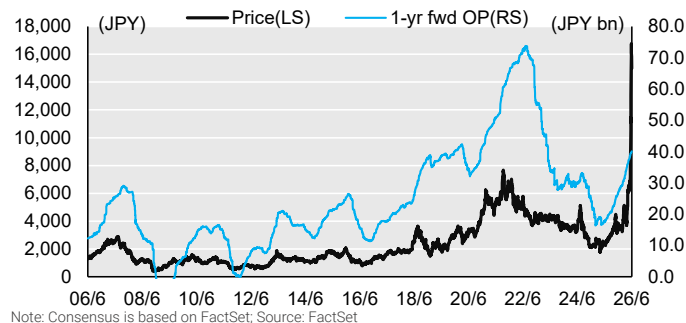
We forecast F3/27 OP up ¥25.2bn YoY to ¥45.2bn (guidance ¥30.0bn, FactSet consensus ¥40.2bn). In MLCCs, we look for sales (on a USD basis) growth of 17.1% YoY (21.0% on JPY basis), accelerating from 10.4% growth in F3/26 (8.5% in JPY), with higher utilization absorbing increases in fixed costs such as depreciation. We forecast F3/28 OP up ¥25.0bn YoY to ¥70.2bn (consensus ¥67.2bn), supported by 19.0% YoY growth in MLCC sales (both on USD and JPY basis) and continued absorption of fixed cost increases (depreciation, etc).

We forecast F3/27 1Q OP at ¥7.0bn (consensus ¥7.3bn), up ¥3.5bn QoQ from ¥3.5bn last 4-Q. MLCC utilization is likely to rise to 90% from just under 85% in 4-Q, supporting top-line growth.

**Exhibit 44:** OP forecast comparison



**Exhibit 45:** 1-year forward consensus OP and share price



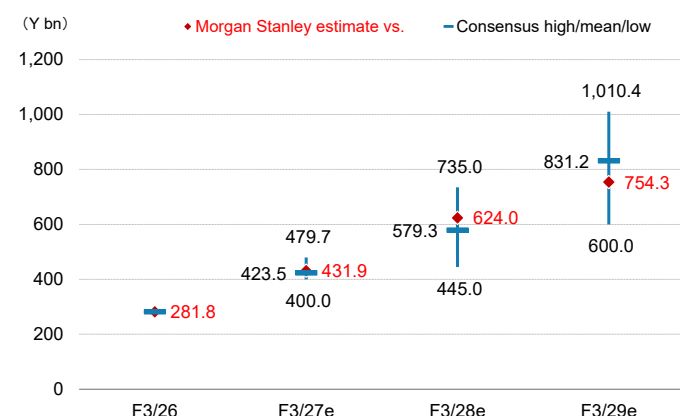
## Murata Mfg (6981, OW, PT ¥12,500)

We expect OP to increase by ¥150bn YoY, to ¥431.9bn, in F3/27 (guidance: ¥380.0bn, FS consensus: ¥423.5bn), assuming growth of ¥111.3bn to ¥426.4bn for components and ¥38.0bn, to ¥11.5bn profit, in devices/modules. We foresee growth for components as higher depreciation and other fixed costs are absorbed by positives including ongoing

acceleration of YoY growth in MLCC sales on a US dollar basis, from +13.8% in F3/26 (+12.6% in yen) to +18.8% (+22.2% in yen), improvement in the product mix, and rising line operating rates. The growth that we foresee for devices/modules profit mainly rests with non-reoccurrence of ¥43.8bn in Resonant goodwill impairment though the business will also lack a ¥6.0bn gain on the transfer of micro-battery business. Our overall OP forecast for F3/28 is ¥624.0bn (FS: ¥579.3bn), up by ¥192.1bn YoY on gains of ¥152.9bn in components and ¥39.2bn in devices/modules. We foresee profit growth for components as a 24.0% YoY rise in sales of capacitors (MLCCs) when converted into US\$ (also +24.0% on a yen basis) and ongoing improvement in the product mix continue to absorb growth in fixed costs including depreciation; and for devices/modules with help from rising sales of high-frequency modules among other factors.

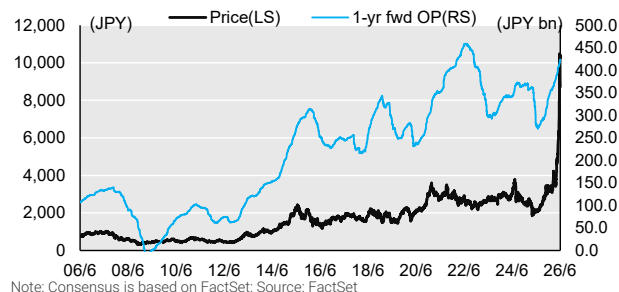
We forecast F3/27 1Q OP of ¥90.4bn (FS: ¥85.6bn), up by ¥11.5bn QoQ with components profit increasing by ¥10.8bn QoQ to ¥91.9bn, and devices/modules up by ¥0.4bn QoQ to breakeven. We expect components to see continuing growth in sales of MLCCs for AI/data centers as well as ongoing improvement in the MLCC product mix and growth in capacity utilization, and devices modules continuing improvement in battery earnings and bottoming out of sales for North American smartphones, despite non-reoccurrence of the ¥6.0bn gain on the sale of micro-battery business.

**Exhibit 46:** OP forecast comparison



Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 47:** 1-year forward consensus OP and share price



Note: Consensus is based on FactSet; Source: FactSet

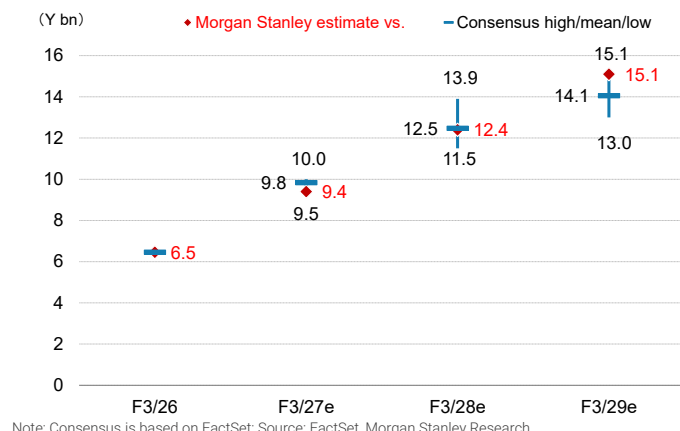
## Nichicon (6996, EW, PT ¥4,700)

We forecast OP +¥2.9bn YoY to ¥9.4bn in F3/27 (guidance: ¥8.7bn, FS consensus: ¥9.8bn), with capacitor sales advancing ¥14.6bn YoY to ¥117.3bn (guidance: ¥112.0bn) on rising demand for use in GPU servers and recovery in demand for aluminum electrolytic capacitors for autos and industrial equipment. The ¥2.6bn YoY rise that we foresee for capacitor profit to ¥7.2bn assumes positives including reviving operating rates on AEC lines and fewer losses on film capacitors for xEV use. We forecast NECST profit +¥0.3bn YoY at ¥2.2bn.

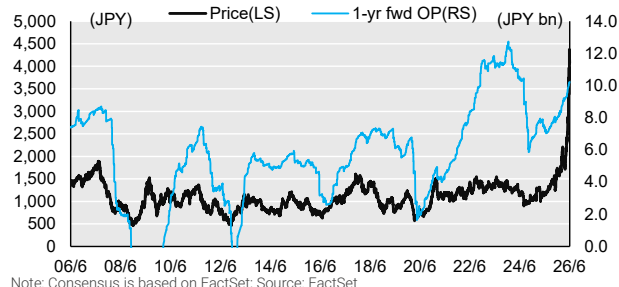
Our F3/28 OP forecast is ¥12.4bn (FS consensus: ¥12.5bn), up ¥3.0bn YoY mainly supported by continuing sales growth for large AECs for the next generation of AI GPU servers, and for conductive polymer capacitors. With added help from price-passthrough of raw material cost growth seen in F3/27, we see capacitor profit increasing ¥2.4bn YoY to ¥9.6bn.

For F3/27 1Q, we forecast OP down ¥0.9bn QoQ at ¥1.7bn (FS: ¥1.5bn), including falls each for capacitors and NECST owing to seasonally-driven sales contraction.

**Exhibit 48:** OP forecast comparison



**Exhibit 49:** 1-year forward consensus OP and share price

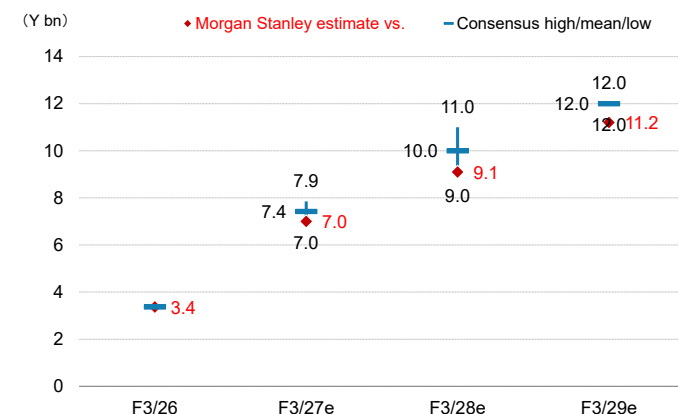


### Nippon Chemi-Con (6997, UW, PT ¥3,500)

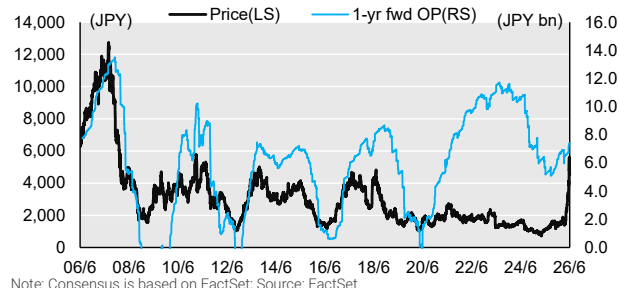
Our F3/27 OP forecast of ¥7.0bn (guidance: ¥8.0bn, FS: ¥7.4bn) looks to a YoY rise of ¥3.6bn. Aluminum electrolytic capacitors made up 88% of sales in F3/26, and in F3/27 we expect a large YoY rise of ¥18.3bn in related sales as, besides benefiting from a jump in demand for large units for primary power sources with generational transition in GPU servers, we foresee steady growth in demand for automotive use and recovery in demand relating to industrial equipment. Even so, we think profit will come in short of guidance which we view as aggressive. While anticipating YoY growth in OP on factors including effects of higher sales and a better mix with gains in value-added products for servers and autos, we think profit will be below the market consensus as well as the company plan.

For F3/28, we forecast OP +¥2.1bn YoY at ¥9.1bn (FS: ¥10.0bn) as an ongoing uptrend in sales, mainly for GPU server power source and automotive applications, continues to support earnings expansion. At the same time, amid continuing severe competition with China region rivals, as with the current mid-term plan we too expect sales growth to level off in the market for commodity products for consumer applications such as PCs and household electricals. A key question will be whether effects of self-help efforts such as optimization of production locations and local sourcing of materials materialize in terms of reducing costs. In addition, the firm issued Class C/D shares on June 29 2026, and risk of added dilution, combined with the obligation to pay preferred dividends of ¥540mn/year (up to June 29 2029) and then ¥720mn/year (from June 30 2029), in our view constitute further grounds for maintaining our rating at UW.

We forecast F3/27 1Q of ¥1.2bn, down ¥0.2bn QoQ in a modest fall reflecting lower sales of all products apart from AECs and rising costs for raw materials such as aluminum foil.

**Exhibit 50:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

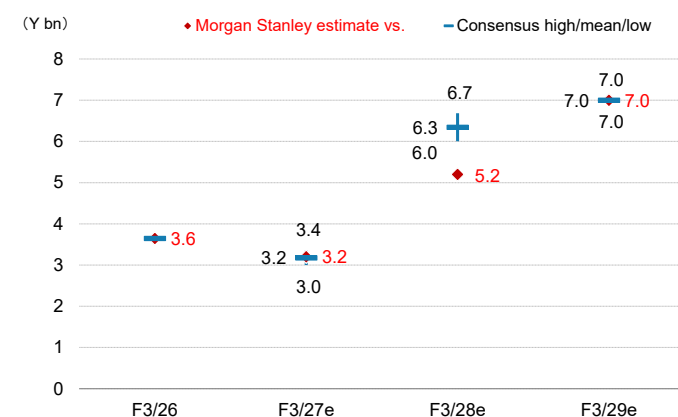
**Exhibit 51:** 1-year forward consensus OP and share price

## KOA (6999, EW, PT ¥3,000)

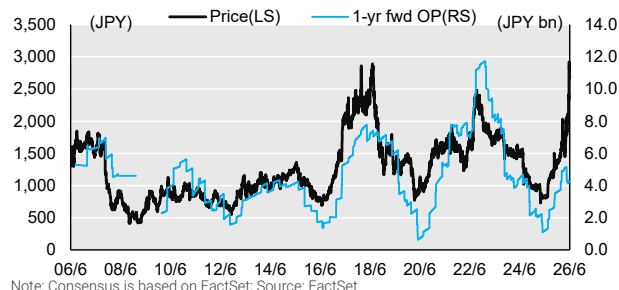
Our F3/27 OP forecast of ¥3.2bn looks to a YoY fall of ¥0.4bn (guidance: ¥2.8bn, FS consensus: ¥3.2bn). Our forecast of a YoY rise of ¥6.6bn in full-year sales, to ¥78.9bn, is higher than the company's (guidance: ¥77.4bn) with our outlook including widening demand for resistors for AI servers and reviving demand for use in autos and industrial equipment. We expect OP as well, though edging down YoY, to come in a little above guidance thanks to mild progress with passing on costs in prices and overshooting sales.

We forecast OP of ¥5.2bn for F3/28 (current mid-term plan target: ¥7.4bn, FS: ¥6.3bn). We continue to see high hurdles to achieving current MTP targets, and expect the pace of sales growth to slow in the mainstay automotive resistor market amid softness for BEVs and stiffer competition with Taiwanese and Chinese rivals. On the other hand we think it likely that the breadth of opportunities for the firm's business relating to AI servers – encompassing power sources, optical transceivers and SPE to name just some of its offerings – should ensure continuing expansion of AI server-related demand for value-added resistor devices, including thin-film chips and shunts, in and after F3/28.

For F3/27 1Q we forecast OP +¥0.1bn QoQ to ¥0.6bn (FS: ¥0.5bn), on the view that sales will stay flat QoQ but positive effects of reduced depreciation should cancel out the negative of rising raw material costs.

**Exhibit 52:** OP forecast comparison

Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit 53:** 1-year Forward consensus OP and share price

# Ibiden: Key Financial Data

## Exhibit 54:

| Income Statement                                    |                |               |                |                |                |
|-----------------------------------------------------|----------------|---------------|----------------|----------------|----------------|
| (Y bn)                                              | F3/25          | F3/26         | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                                    | <b>369.4</b>   | <b>416.2</b>  | <b>509.8</b>   | <b>614.5</b>   | <b>730.2</b>   |
| COGS                                                | 256.1          | 284.5         | 297.8          | 358.0          | 419.9          |
| <b>Gross profit</b>                                 | <b>113.3</b>   | <b>131.7</b>  | <b>212.0</b>   | <b>256.5</b>   | <b>310.2</b>   |
| SG&A                                                | 65.7           | 69.6          | 117.2          | 128.0          | 143.6          |
| <b>Operating Profit</b>                             | <b>47.6</b>    | <b>62.0</b>   | <b>94.7</b>    | <b>128.5</b>   | <b>166.6</b>   |
| OP incl. depreciation of inactive noncurrent assets | 45.9           | 58.2          | 93.7           | 128.5          | 166.6          |
| Non-operating Income/Loss                           | 0.3            | -1.2          | 0.2            | 1.2            | 1.2            |
| <b>Recurring Profit</b>                             | <b>47.9</b>    | <b>60.8</b>   | <b>94.9</b>    | <b>129.7</b>   | <b>167.8</b>   |
| Extraordinary Income/Loss                           | 3.6            | 30.3          | -2.0           | -2.0           | -2.0           |
| <b>Pretax Profit</b>                                | <b>51.5</b>    | <b>91.1</b>   | <b>92.9</b>    | <b>127.7</b>   | <b>165.8</b>   |
| Income Tax                                          | 17.4           | 26.9          | 27.9           | 38.3           | 49.7           |
| (Effective Tax Rate)                                | 34%            | 30%           | 30%            | 30%            | 30%            |
| Minority Interest                                   | 0.3            | 0.4           | 0.4            | 0.2            | 0.2            |
| <b>Net Profit</b>                                   | <b>33.7</b>    | <b>63.7</b>   | <b>64.7</b>    | <b>89.2</b>    | <b>115.9</b>   |
| Capex                                               | 157.3          | 64.3          | 210.0          | 158.0          | 208.0          |
| Depreciation and Amortization                       | 54.2           | 66.2          | 81.0           | 95.5           | 110.5          |
| R&D Expenses                                        | 27.5           | 29.9          | 36.5           | 39.9           | 47.5           |
| EBITDA                                              | 101.8          | 128.3         | 175.7          | 224.0          | 277.1          |
| <b>ROE</b>                                          | <b>6.8%</b>    | <b>12.2%</b>  | <b>11.2%</b>   | <b>13.8%</b>   | <b>15.7%</b>   |
| Average Share Outstanding (Diluted)                 | 279.4          | 279.3         | 303.4          | 303.4          | 303.4          |
| EPS (Diluted, Yen)                                  | 120.7          | 214.9         | 213.1          | 293.9          | 381.9          |
| BPS (Yen)                                           | 1,780.0        | 1,855.4       | 2,020.4        | 2,279.8        | 2,622.6        |
| DPS (Yen)                                           | 20.0           | 30.0          | 35.0           | 40.0           | 45.0           |
| USD/JPY: Average Exchange Rate                      | 152.0          | 149.0         | 155.0          | 155.0          | 155.0          |
| EUR/JPY: Average Exchange Rate                      | 162.0          | 172.0         | 180.0          | 180.0          | 180.0          |
| <b>YoY % Change</b>                                 |                |               |                |                |                |
| Net Sales                                           | 0%             | 13%           | 22%            | 21%            | 19%            |
| Operating Profit                                    | 0%             | 30%           | 53%            | 36%            | 30%            |
| Net Profit                                          | 7%             | 89%           | 1%             | 38%            | 30%            |
| <b>As % of Sales</b>                                |                |               |                |                |                |
| Gross profit                                        | 30.7%          | 31.6%         | 41.6%          | 41.7%          | 42.5%          |
| Operating Profit                                    | 12.9%          | 14.9%         | 18.6%          | 20.9%          | 22.8%          |
| Net Profit                                          | 9.1%           | 15.3%         | 12.7%          | 14.5%          | 15.9%          |
| Capex                                               | 42.6%          | 15.4%         | 41.2%          | 25.7%          | 28.5%          |
| Depreciation and Amortization                       | 14.7%          | 15.9%         | 15.9%          | 15.5%          | 15.1%          |
| <b>Balance Sheet</b>                                |                |               |                |                |                |
| (Y bn)                                              | F3/25          | F3/26         | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                                 | <b>1,081.7</b> | <b>960.4</b>  | <b>1,031.1</b> | <b>1,119.6</b> | <b>1,233.8</b> |
| <b>Total Current Assets</b>                         | <b>549.6</b>   | <b>465.5</b>  | <b>407.2</b>   | <b>433.2</b>   | <b>449.9</b>   |
| Cash and Cash Equivalents                           | 390.7          | 295.7         | 232.7          | 228.6          | 213.4          |
| Marketable Securities                               | 0.0            | 0.0           | 0.0            | 0.0            | 0.0            |
| Account Receivables                                 | 68.2           | 82.1          | 90.0           | 108.5          | 128.9          |
| Inventory                                           | 67.2           | 71.0          | 67.7           | 79.4           | 90.8           |
| Other Current Assets                                | 23.5           | 16.8          | 16.8           | 16.8           | 16.8           |
| <b>Total Long Term Assets</b>                       | <b>532.1</b>   | <b>494.9</b>  | <b>623.9</b>   | <b>686.4</b>   | <b>783.9</b>   |
| Net PP&E                                            | 460.1          | 437.7         | 566.7          | 629.2          | 726.7          |
| Investments in Securities                           | 58.8           | 32.3          | 32.3           | 32.3           | 32.3           |
| Other Assets                                        | 13.3           | 24.9          | 24.9           | 24.9           | 24.9           |
| <b>Total Current Liabilities</b>                    | <b>327.7</b>   | <b>221.6</b>  | <b>236.7</b>   | <b>246.5</b>   | <b>256.7</b>   |
| ST Debt & Current Portion of LT Debt                | 90.0           | 15.0          | 15.0           | 15.0           | 15.0           |
| Accounts Payable                                    | 38.8           | 33.7          | 48.7           | 58.6           | 68.7           |
| Other Current Liabilities                           | 106.9          | 92.0          | 92.0           | 92.0           | 92.0           |
| <b>Total Long Term Liabilities</b>                  | <b>256.7</b>   | <b>181.4</b>  | <b>181.4</b>   | <b>181.4</b>   | <b>181.4</b>   |
| Long Term Debt                                      | 253.0          | 177.5         | 177.5          | 177.5          | 177.5          |
| Other Long Term Liabilities                         | 3.7            | 3.9           | 3.9            | 3.9            | 3.9            |
| <b>Net Assets</b>                                   | <b>497.3</b>   | <b>557.4</b>  | <b>613.0</b>   | <b>691.7</b>   | <b>795.7</b>   |
| Minority Interests                                  | 6.8            | 7.3           | 7.3            | 7.3            | 7.3            |
| Stock Acquisition Rights                            | 0.0            | 0.0           | 0.0            | 0.0            | 0.0            |
| <b>Net Debt</b>                                     | <b>-106.5</b>  | <b>-135.5</b> | <b>-72.5</b>   | <b>-68.4</b>   | <b>-53.2</b>   |

| Cash Flow Statement                       |               |               |               |               |               |
|-------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| (Y bn)                                    | F3/25         | F3/26         | F3/27e        | F3/28e        | F3/29e        |
| <b>Net Cash from Operations</b>           | <b>118.9</b>  | <b>106.4</b>  | <b>156.1</b>  | <b>164.3</b>  | <b>204.6</b>  |
| Net Income                                | 33.7          | 63.7          | 64.7          | 89.2          | 115.9         |
| Depreciation and Amortization             | 54.2          | 66.2          | 81.0          | 95.5          | 110.5         |
| Changes in Working Capital                | -9.8          | -7.1          | 10.4          | -20.3         | -21.7         |
| Other-net                                 | 40.7          | -16.4         | 0.0           | 0.0           | 0.0           |
| <b>Net Cash from Investing Activities</b> | <b>-164.2</b> | <b>-52.4</b>  | <b>-210.0</b> | <b>-158.0</b> | <b>-208.0</b> |
| Purchase of PP&E                          | -197.5        | -106.1        | -210.0        | -158.0        | -208.0        |
| Sale/Purchase of Investments              | 34.6          | 57.1          | 0.0           | 0.0           | 0.0           |
| Other-net                                 | -1.3          | -3.4          | 0.0           | 0.0           | 0.0           |
| <b>Free Cash Flow</b>                     | <b>-45.3</b>  | <b>54.0</b>   | <b>-53.9</b>  | <b>6.3</b>    | <b>-3.4</b>   |
| <b>Net Cash from Financing Activities</b> | <b>-7.1</b>   | <b>-157.5</b> | <b>-9.1</b>   | <b>-10.5</b>  | <b>-11.9</b>  |
| Change in Interest-bearing Debt           | 0.0           | -150.0        | 0.0           | 0.0           | 0.0           |
| Change in Treasury Stock                  | -0.5          | 0.0           | 0.0           | 0.0           | 0.0           |
| Payment of Cash Dividends                 | -5.6          | -7.0          | -9.1          | -10.5         | -11.9         |
| Other-net                                 | -1.0          | -0.6          | 0.0           | 0.0           | 0.0           |
| Net Effect of Exchange Rate Changes       | -0.5          | 5.8           | 0.0           | 0.0           | 0.0           |
| <b>Net Change in Cash</b>                 | <b>-52.9</b>  | <b>-97.7</b>  | <b>-63.0</b>  | <b>-4.1</b>   | <b>-15.2</b>  |
| <b>Cash at End of Period</b>              | <b>390.7</b>  | <b>292.9</b>  | <b>229.9</b>  | <b>225.8</b>  | <b>210.6</b>  |

| Segment Information            |              |              |              |              |              |
|--------------------------------|--------------|--------------|--------------|--------------|--------------|
| (Y bn)                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Net Sales</b>               | <b>369.4</b> | <b>416.2</b> | <b>509.8</b> | <b>614.5</b> | <b>730.2</b> |
| <b>Electronics</b>             | <b>197.2</b> | <b>243.3</b> | <b>338.0</b> | <b>438.8</b> | <b>546.2</b> |
| FC Package                     | 186.9        | 219.2        | 329.0        | 429.8        | 537.2        |
| Print Circuit Board            | 10.3         | 10.0         | 9.0          | 9.0          | 9.0          |
| FC CSP                         | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Ceramics</b>                | <b>84.1</b>  | <b>82.6</b>  | <b>80.8</b>  | <b>81.5</b>  | <b>87.0</b>  |
| DPF                            | 34.6         | 32.5         | 31.2         | 30.0         | 30.0         |
| Sealing Materials              | 30.4         | 29.3         | 28.9         | 30.0         | 30.0         |
| Graphite Specialty Products    | 16.2         | 13.2         | 16.8         | 16.5         | 16.7         |
| Others                         | 3.0          | 5.7          | 3.9          | 5.0          | 10.3         |
| <b>Others</b>                  | <b>88.1</b>  | <b>90.3</b>  | <b>91.0</b>  | <b>94.2</b>  | <b>97.0</b>  |
| <b>Total Operating Profit</b>  | <b>47.6</b>  | <b>62.0</b>  | <b>94.7</b>  | <b>128.5</b> | <b>166.6</b> |
| Electronics                    | 26.8         | 45.2         | 77.9         | 110.0        | 146.6        |
| Ceramics                       | 12.2         | 7.6          | 7.5          | 8.5          | 9.5          |
| Others                         | 8.6          | 9.1          | 9.3          | 9.9          | 10.5         |
| <b>Operating Profit Margin</b> | <b>12.9%</b> | <b>14.9%</b> | <b>18.6%</b> | <b>20.9%</b> | <b>22.8%</b> |
| Electronics                    | 13.6%        | 18.6%        | 23.1%        | 25.1%        | 26.8%        |
| Ceramics                       | 14.5%        | 9.3%         | 9.3%         | 10.4%        | 10.9%        |
| Others                         | 9.7%         | 10.1%        | 10.2%        | 10.6%        | 10.8%        |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Niterra: Key Financial Data

## Exhibit 55:

| Income Statement                     |               |                |                |                |                |
|--------------------------------------|---------------|----------------|----------------|----------------|----------------|
| (Y bn)                               | F3/25         | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Sales</b>                         | <b>653.0</b>  | <b>731.2</b>   | <b>813.2</b>   | <b>854.8</b>   | <b>919.7</b>   |
| COGS                                 | 394.9         | 450.3          | 509.7          | 532.6          | 568.8          |
| <b>Gross profit</b>                  | <b>258.1</b>  | <b>280.9</b>   | <b>303.6</b>   | <b>322.2</b>   | <b>350.9</b>   |
| SG&A                                 | 128.4         | 142.7          | 145.4          | 147.9          | 150.1          |
| <b>Operating Profit</b>              | <b>129.7</b>  | <b>138.2</b>   | <b>158.2</b>   | <b>174.4</b>   | <b>200.8</b>   |
| Non-operating Income/Loss            | 3.7           | 27.3           | 7.0            | 7.0            | 7.0            |
| <b>Recurring Profit</b>              | <b>133.3</b>  | <b>165.5</b>   | <b>165.2</b>   | <b>181.4</b>   | <b>207.8</b>   |
| Extraordinary Income/Loss            | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Pretax Profit</b>                 | <b>133.3</b>  | <b>165.5</b>   | <b>165.2</b>   | <b>181.4</b>   | <b>207.8</b>   |
| Income Tax                           | 40.5          | 49.0           | 46.2           | 50.8           | 58.2           |
| (Effective Tax Rate)                 | 30%           | 30%            | 28%            | 28%            | 28%            |
| Minority Interest                    | 0.2           | 3.6            | 1.0            | 1.0            | 1.0            |
| <b>Net Profit</b>                    | <b>92.6</b>   | <b>112.9</b>   | <b>117.9</b>   | <b>129.6</b>   | <b>148.6</b>   |
| Capex                                | 37.5          | 49.0           | 47.4           | 45.0           | 45.0           |
| Depreciation and Amortization        | 39.7          | 45.0           | 42.1           | 43.0           | 43.0           |
| R&D                                  | 0.0           | 0.0            | 30.0           | 31.0           | 31.0           |
| EBITDA                               | 169.4         | 183.2          | 200.3          | 217.4          | 243.8          |
| ROE                                  | 14.1%         | 15.7%          | 14.9%          | 15.4%          | 16.3%          |
| Average Share Outstanding (Diluted)  | 198.6         | 197.9          | 193.4          | 188.4          | 183.4          |
| EPS (Diluted, Yen)                   | 466.3         | 570.4          | 609.6          | 687.7          | 810.0          |
| BPS (Yen)                            | 3,399.4       | 3,910.2        | 4,203.2        | 4,625.4        | 5,159.9        |
| DPS (Yen)                            | 178.0         | 205.0          | 210.0          | 220.0          | 250.0          |
| USD/JPY: Average Exchange Rate       | 153.0         | 151.0          | 155.0          | 155.0          | 155.0          |
| EUR/JPY: Average Exchange Rate       | 164.0         | 175.0          | 180.0          | 180.0          | 180.0          |
| <b>YoY % Change</b>                  |               |                |                |                |                |
| Sales                                | 6%            | 12%            | 11%            | 5%             | 8%             |
| Operating Profit                     | 21%           | 7%             | 14%            | 10%            | 15%            |
| Net Profit                           | 12%           | 22%            | 4%             | 10%            | 15%            |
| <b>As % of Sales</b>                 |               |                |                |                |                |
| Gross profit                         | 39.5%         | 38.4%          | 37.3%          | 37.7%          | 38.2%          |
| Operating Profit                     | 19.9%         | 18.9%          | 19.5%          | 20.4%          | 21.8%          |
| Net Profit                           | 14.2%         | 15.4%          | 14.5%          | 15.2%          | 16.2%          |
| Capex                                | 5.7%          | 6.7%           | 5.8%           | 5.3%           | 4.9%           |
| Depreciation and Amortization        | 6.1%          | 6.2%           | 5.2%           | 5.0%           | 4.7%           |
| <b>Balance Sheet</b>                 |               |                |                |                |                |
| (Y bn)                               | F3/25         | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                  | <b>991.0</b>  | <b>1,221.1</b> | <b>1,245.9</b> | <b>1,278.0</b> | <b>1,328.6</b> |
| <b>Total Current Assets</b>          | <b>588.5</b>  | <b>658.2</b>   | <b>677.8</b>   | <b>707.9</b>   | <b>756.4</b>   |
| Cash and Cash Equivalents            | 208.2         | 187.7          | 173.2          | 197.7          | 223.2          |
| Marketable Securities                | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                  | 147.6         | 172.2          | 191.5          | 201.3          | 216.5          |
| Inventory                            | 183.9         | 217.7          | 232.5          | 228.3          | 236.1          |
| Other Current Assets                 | 48.8          | 80.6           | 80.6           | 80.6           | 80.6           |
| <b>Total Long Term Assets</b>        | <b>402.4</b>  | <b>562.9</b>   | <b>568.2</b>   | <b>570.2</b>   | <b>572.2</b>   |
| Net PP&E                             | 220.0         | 265.7          | 271.0          | 273.0          | 275.0          |
| Investments in Securities            | 93.1          | 81.6           | 81.6           | 81.6           | 81.6           |
| Other Assets                         | 89.4          | 215.7          | 215.7          | 215.7          | 215.7          |
| <b>Total Current Liabilities</b>     | <b>153.6</b>  | <b>195.8</b>   | <b>204.9</b>   | <b>208.5</b>   | <b>214.1</b>   |
| ST Debt & Current Portion of LT Debt | 16.7          | 31.4           | 31.4           | 31.4           | 31.4           |
| Accounts Payable                     | 57.7          | 69.7           | 78.9           | 82.5           | 88.1           |
| Other Current Liabilities            | 79.3          | 94.6           | 94.6           | 94.6           | 94.6           |
| <b>Total Long Term Liabilities</b>   | <b>162.6</b>  | <b>254.1</b>   | <b>224.1</b>   | <b>194.1</b>   | <b>164.1</b>   |
| Long Term Debt                       | 140.0         | 211.0          | 181.0          | 151.0          | 121.0          |
| Other Long Term Liabilities          | 22.6          | 43.1           | 43.1           | 43.1           | 43.1           |
| <b>Net Assets</b>                    | <b>674.7</b>  | <b>771.3</b>   | <b>816.9</b>   | <b>875.4</b>   | <b>950.4</b>   |
| Minority Interests                   | 0.1           | 3.8            | 3.8            | 3.8            | 3.8            |
| <b>Net Debt</b>                      | <b>-144.6</b> | <b>-26.8</b>   | <b>-42.3</b>   | <b>-96.7</b>   | <b>-152.3</b>  |

| Cash Flow Statement                       |              |               |               |               |               |
|-------------------------------------------|--------------|---------------|---------------|---------------|---------------|
| (Y bn)                                    | F3/25        | F3/26         | F3/27e        | F3/28e        | F3/29e        |
| <b>Net Cash from Operations</b>           | <b>132.9</b> | <b>109.4</b>  | <b>135.2</b>  | <b>170.5</b>  | <b>174.2</b>  |
| Net Income                                | 92.6         | 112.9         | 117.9         | 129.6         | 148.6         |
| Depreciation and Amortization             | 39.7         | 45.0          | 42.1          | 43.0          | 43.0          |
| Changes in Working Capital                | -6.2         | -27.3         | -24.8         | -2.1          | -17.4         |
| Other-net                                 | 6.8          | -21.2         | 0.0           | 0.0           | 0.0           |
| <b>Net Cash from Investing Activities</b> | <b>-34.2</b> | <b>-165.5</b> | <b>-47.4</b>  | <b>-45.0</b>  | <b>-45.0</b>  |
| Purchase of PP&E                          | -27.8        | -32.3         | -47.4         | -45.0         | -45.0         |
| Sale/Purchase of Investments              | -3.4         | 7.7           | 0.0           | 0.0           | 0.0           |
| Other-net                                 | -3.0         | -140.9        | 0.0           | 0.0           | 0.0           |
| <b>Free Cash Flow</b>                     | <b>98.7</b>  | <b>-56.1</b>  | <b>87.8</b>   | <b>125.5</b>  | <b>129.2</b>  |
| <b>Net Cash from Financing Activities</b> | <b>-71.0</b> | <b>28.6</b>   | <b>-102.3</b> | <b>-101.0</b> | <b>-103.7</b> |
| Change in Interest-bearing Debt           | -25.9        | 86.4          | -30.0         | -30.0         | -30.0         |
| Change in Treasury Stock                  | -10.0        | -16.8         | -30.0         | -30.0         | -30.0         |
| Payment of Cash Dividends                 | -34.4        | -36.4         | -42.3         | -41.0         | -43.7         |
| Other-net                                 | -0.7         | -4.6          | 0.0           | 0.0           | 0.0           |
| Net Effect of Exchange Rate Changes       | -0.2         | 7.1           | 0.0           | 0.0           | 0.0           |
| <b>Net Change in Cash</b>                 | <b>27.5</b>  | <b>-20.4</b>  | <b>-14.5</b>  | <b>24.4</b>   | <b>25.5</b>   |
| <b>Cash at End of Period</b>              | <b>208.2</b> | <b>187.7</b>  | <b>173.2</b>  | <b>197.7</b>  | <b>223.2</b>  |
| <b>Segment Information</b>                |              |               |               |               |               |
| (Y bn)                                    | F3/25        | F3/26         | F3/27e        | F3/28e        | F3/29e        |
| <b>Net sales</b>                          | <b>653.0</b> | <b>731.2</b>  | <b>813.2</b>  | <b>854.8</b>  | <b>919.7</b>  |
| <b>Automotive Components</b>              | <b>542.8</b> | <b>587.5</b>  | <b>648.6</b>  | <b>685.2</b>  | <b>735.6</b>  |
| Spark & Glow Plugs                        | 362.6        | 390.7         | 426.2         | 458.4         | 501.9         |
| Automotive Sensors                        | 180.2        | 196.8         | 222.4         | 226.9         | 233.7         |
| <b>Ceramics</b>                           | <b>103.1</b> | <b>130.7</b>  | <b>154.6</b>  | <b>163.6</b>  | <b>178.1</b>  |
| <b>New Business</b>                       | <b>0.0</b>   | <b>0.0</b>    | <b>0.0</b>    | <b>0.0</b>    | <b>0.0</b>    |
| <b>Others/Elimination</b>                 | <b>7.1</b>   | <b>13.0</b>   | <b>10.0</b>   | <b>6.0</b>    | <b>6.0</b>    |
| <b>Total Operating Profit</b>             | <b>129.7</b> | <b>138.2</b>  | <b>158.2</b>  | <b>174.4</b>  | <b>200.8</b>  |
| <b>Automotive Components</b>              | <b>134.2</b> | <b>135.3</b>  | <b>149.2</b>  | <b>161.5</b>  | <b>180.0</b>  |
| <b>Ceramics</b>                           | <b>-6.3</b>  | <b>-4.6</b>   | <b>9.0</b>    | <b>12.9</b>   | <b>20.4</b>   |
| <b>New Business</b>                       | <b>0.0</b>   | <b>0.0</b>    | <b>0.0</b>    | <b>0.0</b>    | <b>0.0</b>    |
| <b>Others/Elimination</b>                 | <b>1.8</b>   | <b>7.4</b>    | <b>0.0</b>    | <b>0.0</b>    | <b>0.4</b>    |
| <b>Operating Profit Margin</b>            | <b>19.9%</b> | <b>18.9%</b>  | <b>19.5%</b>  | <b>20.4%</b>  | <b>21.8%</b>  |
| <b>Automotive Components</b>              | <b>24.7%</b> | <b>23.0%</b>  | <b>23.0%</b>  | <b>23.6%</b>  | <b>24.5%</b>  |
| <b>Ceramics</b>                           | <b>-6.1%</b> | <b>-3.5%</b>  | <b>5.8%</b>   | <b>7.9%</b>   | <b>11.5%</b>  |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research



# Minebea Mitsumi: Key Financial Data

## Exhibit 56:

### Income Statement

| (Y bil)                         | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
|---------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b>Net Sales</b>                | <b>1,522.7</b> | <b>1,664.4</b> | <b>1,711.2</b> | <b>1,766.0</b> | <b>1,839.2</b> |
| Cost of Goods Sold              | 1,252.3        | 1,371.4        | 1,393.9        | 1,429.4        | 1,482.4        |
| <b>Gross Profit</b>             | <b>270.4</b>   | <b>293.0</b>   | <b>317.3</b>   | <b>336.6</b>   | <b>356.8</b>   |
| SG&A Expenses                   | 175.9          | 189.0          | 195.8          | 198.9          | 202.5          |
| <b>Operating Profit</b>         | <b>94.5</b>    | <b>104.0</b>   | <b>121.5</b>   | <b>137.8</b>   | <b>154.3</b>   |
| Interest/Dividend income        | 6.9            | 40.9           | 4.0            | 1.8            | 1.8            |
| Interest Expense                | 18.8           | 11.1           | 12.0           | 2.5            | 2.5            |
| Other Non-Operating Income/Loss | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Recurring Profit</b>         | <b>82.6</b>    | <b>133.8</b>   | <b>113.5</b>   | <b>137.1</b>   | <b>153.6</b>   |
| Extraordinary Income/Loss       | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Pretax profit</b>            | <b>82.6</b>    | <b>133.8</b>   | <b>113.5</b>   | <b>137.1</b>   | <b>153.6</b>   |
| Income Tax                      | 22.8           | 34.5           | 29.5           | 35.6           | 39.9           |
| (Effective Tax Rate)            | 28%            | 26%            | 26%            | 26%            | 26%            |
| Minority Interest               | 0.4            | 0.2            | 0.0            | 0.0            | 0.0            |
| <b>Net Profit</b>               | <b>59.5</b>    | <b>99.0</b>    | <b>84.0</b>    | <b>101.4</b>   | <b>113.7</b>   |
| Capex                           | 94.8           | 96.5           | 105.0          | 106.0          | 110.4          |
| Depreciation and Amortization   | 66.2           | 70.4           | 75.0           | 77.4           | 80.6           |
| R&D                             | 45.5           | 49.8           | 51.0           | 53.0           | 55.2           |
| EBITDA                          | 160.7          | 174.4          | 196.5          | 215.2          | 234.9          |
| ROE                             | 8.2%           | 12.1%          | 9.0%           | 10.1%          | 10.5%          |

|                                          |         |         |         |         |         |
|------------------------------------------|---------|---------|---------|---------|---------|
| Average Share Outstanding (mil, Diluted) | 406.3   | 401.6   | 401.6   | 401.6   | 401.6   |
| EPS (Diluted, Yen)                       | 147.7   | 246.6   | 209.1   | 252.6   | 283.1   |
| BPS (Yen)                                | 1,830.0 | 2,238.6 | 2,394.6 | 2,591.2 | 2,815.3 |
| DPS (Yen)                                | 45.0    | 50.0    | 53.0    | 56.0    | 59.0    |

|                                |       |       |       |       |       |
|--------------------------------|-------|-------|-------|-------|-------|
| USD/JPY: Average Exchange Rate | 152.6 | 150.0 | 155.0 | 155.0 | 155.0 |
|--------------------------------|-------|-------|-------|-------|-------|

|                      |       |       |       |       |       |
|----------------------|-------|-------|-------|-------|-------|
| <b>YoY % Change</b>  |       |       |       |       |       |
| Net Sales            | 9%    | 9%    | 3%    | 3%    | 4%    |
| Operating Profit     | 28%   | 10%   | 17%   | 13%   | 12%   |
| Net Profit           | 10%   | 67%   | -15%  | 21%   | 12%   |
| <b>As % of Sales</b> |       |       |       |       |       |
| Gross Profit         | 17.8% | 17.6% | 18.5% | 19.1% | 19.4% |
| Operating Profit     | 6.2%  | 6.2%  | 7.1%  | 7.8%  | 8.4%  |
| Net Profit           | 3.9%  | 6.0%  | 4.9%  | 5.7%  | 6.2%  |

### Balance Sheet

| (Y bil)                              | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
|--------------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b>Total Assets</b>                  | <b>1,584.8</b> | <b>1,814.8</b> | <b>1,874.9</b> | <b>1,962.3</b> | <b>2,064.8</b> |
| <b>Total Current Assets</b>          | <b>904.1</b>   | <b>1,028.7</b> | <b>1,058.8</b> | <b>1,117.7</b> | <b>1,190.4</b> |
| Cash and Cash Equivalents            | 214.3          | 227.5          | 227.2          | 263.6          | 305.0          |
| Marketable Securities                | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                  | 293.3          | 356.5          | 380.5          | 392.8          | 409.0          |
| Inventory                            | 350.9          | 391.3          | 397.7          | 407.9          | 423.0          |
| Other Current Assets                 | 170.3          | 220.9          | 220.9          | 220.9          | 220.9          |
| <b>Total Long Term Assets</b>        | <b>680.7</b>   | <b>786.1</b>   | <b>816.1</b>   | <b>844.7</b>   | <b>874.4</b>   |
| Net PP&E                             | 529.0          | 585.3          | 615.3          | 643.9          | 673.6          |
| Investments in Securities            | 27.1           | 33.3           | 33.3           | 33.3           | 33.3           |
| Other assets                         | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Total Current Liabilities</b>     | <b>477.2</b>   | <b>602.2</b>   | <b>599.6</b>   | <b>608.0</b>   | <b>620.5</b>   |
| ST Debt & Current Portion of LT Debt | 175.1          | 264.1          | 264.1          | 264.1          | 264.1          |
| Accounts Payable                     | 213.6          | 235.6          | 223.7          | 229.4          | 237.9          |
| Other Current Liabilities            | 88.5           | 102.5          | 111.8          | 114.5          | 118.4          |
| <b>Total Long Term Liabilities</b>   | <b>353.0</b>   | <b>301.6</b>   | <b>301.6</b>   | <b>301.6</b>   | <b>301.6</b>   |
| Long Term Debt                       | 288.5          | 218.4          | 218.4          | 218.4          | 218.4          |
| Other Long Term Liabilities          | 64.4           | 83.2           | 83.2           | 83.2           | 83.2           |
| Accrued pension cost                 | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Minority Interests                   | 11.2           | 12.1           | 12.1           | 12.1           | 12.1           |
| <b>Total Equity</b>                  | <b>754.6</b>   | <b>911.0</b>   | <b>973.7</b>   | <b>1,052.7</b> | <b>1,142.7</b> |
| <b>Net Debt</b>                      | <b>249.3</b>   | <b>255.0</b>   | <b>255.3</b>   | <b>218.8</b>   | <b>177.5</b>   |

### Cash Flow Statement

| (Y bil)                                   | F3/25         | F3/26        | F3/27e       | F3/28e        | F3/29e        |
|-------------------------------------------|---------------|--------------|--------------|---------------|---------------|
| <b>Net Cash from Operations</b>           | <b>133.7</b>  | <b>94.9</b>  | <b>116.7</b> | <b>162.2</b>  | <b>171.4</b>  |
| Net Income After Tax                      | 59.5          | 99.0         | 84.0         | 101.4         | 113.7         |
| Depreciation and Amortization             | 66.2          | 70.4         | 75.0         | 77.4          | 80.6          |
| Changes in Working Capital:               | 9.7           | -53.9        | -42.3        | -16.6         | -22.9         |
| Other-net                                 | -1.7          | -20.7        | 0.0          | 0.0           | 0.0           |
| <b>Net Cash from Investing Activities</b> | <b>-125.8</b> | <b>-82.8</b> | <b>-95.7</b> | <b>-103.2</b> | <b>-106.4</b> |
| Purchase of PP&E                          | -77.4         | -77.1        | -105.0       | -106.0        | -110.4        |
| Sale/Purchase of Investments              | -0.4          | -0.2         | 0.0          | 0.0           | 0.0           |
| Other-net                                 | -48.0         | -5.5         | 9.3          | 2.7           | 4.0           |
| <b>Free cash flow</b>                     | <b>7.9</b>    | <b>12.1</b>  | <b>20.9</b>  | <b>59.0</b>   | <b>65.0</b>   |
| <b>Net Cash from Financing Activities</b> | <b>64.0</b>   | <b>-16.1</b> | <b>-21.3</b> | <b>-22.5</b>  | <b>-23.7</b>  |
| Change in Interest-bearing Debt           | 96.4          | 13.0         | 0.0          | 0.0           | 0.0           |
| Change in Treasury Stock                  | -8.7          | 0.0          | 0.0          | 0.0           | 0.0           |
| Payment of Cash Dividends                 | -16.1         | -20.1        | -21.3        | -22.5         | -23.7         |
| Other-net                                 | -7.6          | -9.1         | 0.0          | 0.0           | 0.0           |
| Net Effect of Exchange Rate Changes       | -4.3          | 17.3         | 0.0          | 0.0           | 0.0           |
| <b>Cash at End of Period</b>              | <b>214.3</b>  | <b>227.5</b> | <b>227.2</b> | <b>263.6</b>  | <b>305.0</b>  |

### Segment Information

| (Y bil)                      | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
|------------------------------|----------------|----------------|----------------|----------------|----------------|
| <b>Sales by Segment</b>      |                |                |                |                |                |
| <b>Total Sales</b>           | <b>1,522.7</b> | <b>1,664.4</b> | <b>1,711.2</b> | <b>1,766.0</b> | <b>1,839.2</b> |
| Precision Technologies       | 255.7          | 281.2          | 323.2          | 336.0          | 356.2          |
| Ball bearings                | 171.8          | 186.4          | 207.9          | 215.0          | 229.4          |
| Rod-ends/Fasteners           | 59.1           | 66.0           | 83.0           | 88.0           | 93.3           |
| Pivot assemblies             | 24.8           | 28.7           | 32.3           | 32.9           | 33.6           |
| Motor, Lighting & Sensing    | 407.7          | 456.5          | 490.0          | 509.9          | 530.8          |
| Motors                       | 322.4          | 340.3          | 375.0          | 393.8          | 413.4          |
| Electronic devices           | 41.1           | 68.0           | 76.0           | 76.0           | 76.0           |
| Measuring components         | 36.9           | 38.5           | 39.0           | 40.2           | 41.4           |
| Other                        | 7.4            | 9.8            | 0.0            | 0.0            | 0.0            |
| Semiconductors & Electronics | 527.6          | 590.3          | 541.0          | 549.6          | 563.1          |
| Access Solutions             | 328.1          | 332.2          | 352.0          | 369.6          | 388.1          |
| Others                       | 3.5            | 4.2            | 5.0            | 1.0            | 1.0            |

### Operating Profit by Segment

| (Y bil)                                  | F3/25       | F3/26        | F3/27e       | F3/28e       | F3/29e       |
|------------------------------------------|-------------|--------------|--------------|--------------|--------------|
| <b>Total Operating Profit</b>            | <b>94.5</b> | <b>104.0</b> | <b>121.5</b> | <b>137.8</b> | <b>154.3</b> |
| Machined Components Business             | 55.7        | 62.2         | 71.0         | 75.4         | 83.5         |
| Electronic Devices & Components Business | 23.0        | 26.9         | 31.5         | 35.5         | 39.7         |
| Semiconductors & Electronics             | 22.0        | 26.7         | 28.5         | 34.1         | 37.2         |
| Access Solutions                         | 15.9        | 17.1         | 19.0         | 20.3         | 21.3         |
| Others                                   | -1.2        | -2.7         | -2.0         | -1.0         | -1.0         |
| Adjustments                              | -20.9       | -26.3        | -26.5        | -26.5        | -26.5        |
| <b>Operating Profit Margin</b>           | <b>6.2%</b> | <b>6.2%</b>  | <b>7.1%</b>  | <b>7.8%</b>  | <b>8.4%</b>  |
| Machined Components Business             | 21.8%       | 22.1%        | 22.0%        | 22.4%        | 23.5%        |
| Electronic Devices & Components Business | 5.6%        | 5.9%         | 6.4%         | 7.0%         | 7.5%         |
| Semiconductors & Electronics             | 4.2%        | 4.5%         | 5.3%         | 6.2%         | 6.6%         |
| Access Solutions                         | 4.9%        | 5.1%         | 5.4%         | 5.5%         | 5.5%         |
| Others                                   | -33.8%      | -63.2%       | -40.0%       | -100.0%      | -100.0%      |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research



# Mabuchi Motor: Key Financial Data

## Exhibit 57:

### Income Statement

| (Y bn)                        | F12/24       | F12/25       | F12/26e      | F12/27e      | F12/28e      |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>              | <b>196.2</b> | <b>200.4</b> | <b>218.8</b> | <b>233.7</b> | <b>249.0</b> |
| COGS                          | 143.3        | 140.6        | 154.1        | 166.0        | 178.3        |
| <b>Gross Profit</b>           | <b>52.9</b>  | <b>59.8</b>  | <b>64.7</b>  | <b>67.7</b>  | <b>70.8</b>  |
| SG&A Expenses                 | 31.2         | 34.3         | 37.5         | 37.8         | 38.4         |
| <b>Operating Profit</b>       | <b>21.6</b>  | <b>25.5</b>  | <b>27.2</b>  | <b>29.9</b>  | <b>32.4</b>  |
| Non-operating Income/Loss     | 10.8         | 9.6          | 5.8          | 5.8          | 4.4          |
| <b>Recurring Profit</b>       | <b>32.4</b>  | <b>35.1</b>  | <b>33.1</b>  | <b>35.7</b>  | <b>36.8</b>  |
| Extraordinary Income/Loss     | -8.7         | -0.1         | -0.2         | -0.2         | -0.2         |
| <b>Pretax Profit</b>          | <b>23.7</b>  | <b>35.0</b>  | <b>32.8</b>  | <b>35.5</b>  | <b>36.6</b>  |
| Income Tax                    | 10.9         | 8.7          | 9.3          | 10.3         | 10.6         |
| (Effective Tax Rate)          | 46%          | 25%          | 28%          | 29%          | 29%          |
| Minority Interest             | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Net Profit</b>             | <b>12.8</b>  | <b>26.3</b>  | <b>23.5</b>  | <b>25.2</b>  | <b>26.0</b>  |
| Capex                         | 14.1         | 10.3         | 12.6         | 15.0         | 15.0         |
| Depreciation and Amortization | 14.2         | 13.3         | 13.9         | 14.0         | 14.0         |
| R&D Expenses                  | 7.0          | 7.8          | 8.8          | 9.0          | 9.0          |
| EBITDA                        | 35.8         | 38.8         | 41.1         | 43.9         | 46.4         |
| <b>ROE</b>                    | <b>4.1%</b>  | <b>8.0%</b>  | <b>7.2%</b>  | <b>7.9%</b>  | <b>8.4%</b>  |

|                                     |         |         |         |         |         |
|-------------------------------------|---------|---------|---------|---------|---------|
| Average Share Outstanding (Diluted) | 254.1   | 248.1   | 234.1   | 234.1   | 234.1   |
| EPS (Diluted, Yen)                  | 50.5    | 105.9   | 95.8    | 107.7   | 110.9   |
| BPS (Yen)                           | 1,257.7 | 1,347.0 | 1,381.8 | 1,344.1 | 1,303.5 |
| DPS (Yen)                           | 38.0    | 53.0    | 56.0    | 64.0    | 68.0    |

|                                |       |       |       |       |       |
|--------------------------------|-------|-------|-------|-------|-------|
| USD/JPY: Average Exchange Rate | 151.6 | 149.7 | 155.5 | 155.0 | 155.0 |
|--------------------------------|-------|-------|-------|-------|-------|

### YoY % Change

|                  |      |      |      |     |    |
|------------------|------|------|------|-----|----|
| Net Sales        | 10%  | 2%   | 9%   | 7%  | 7% |
| Operating Profit | 39%  | 18%  | 7%   | 10% | 8% |
| Net Profit       | -34% | 105% | -10% | 7%  | 3% |

### As % of Sales

|                               |       |       |       |       |       |
|-------------------------------|-------|-------|-------|-------|-------|
| Gross Profit                  | 26.9% | 29.8% | 29.6% | 29.0% | 28.4% |
| Operating Profit              | 11.0% | 12.7% | 12.4% | 12.8% | 13.0% |
| Net Profit                    | 6.5%  | 13.1% | 10.8% | 10.8% | 10.4% |
| Capex                         | 7.2%  | 5.1%  | 5.8%  | 6.4%  | 6.0%  |
| Depreciation and Amortization | 7.2%  | 6.6%  | 6.4%  | 6.0%  | 5.6%  |

### Balance Sheet

| (Y bn)                                 | F12/24        | F12/25        | F12/26e       | F12/27e       | F12/28e       |
|----------------------------------------|---------------|---------------|---------------|---------------|---------------|
| <b>Total Assets</b>                    | <b>355.0</b>  | <b>370.2</b>  | <b>359.4</b>  | <b>351.3</b>  | <b>342.7</b>  |
| <b>Total Current Assets</b>            | <b>238.5</b>  | <b>247.7</b>  | <b>238.2</b>  | <b>229.2</b>  | <b>219.5</b>  |
| Cash and Cash Equivalents              | 134.9         | 143.4         | 130.0         | 118.7         | 107.4         |
| Marketable Securities                  | 0.0           | 0.0           | 0.0           | 0.0           | 0.0           |
| Account Receivables                    | 37.3          | 38.7          | 38.0          | 40.0          | 41.9          |
| Inventory                              | 59.8          | 57.8          | 62.4          | 62.7          | 62.5          |
| Other Current Assets                   | 6.4           | 7.8           | 7.8           | 7.8           | 7.8           |
| <b>Total Long Term Assets</b>          | <b>116.5</b>  | <b>122.4</b>  | <b>121.1</b>  | <b>122.1</b>  | <b>123.1</b>  |
| Net PP&E                               | 95.5          | 95.9          | 94.6          | 95.6          | 96.6          |
| Investments in Securities              | 12.4          | 16.4          | 16.4          | 16.4          | 16.4          |
| Other Assets                           | 8.6           | 10.2          | 10.2          | 10.2          | 10.2          |
| <b>Total Current Liabilities</b>       | <b>28.8</b>   | <b>28.3</b>   | <b>28.3</b>   | <b>29.1</b>   | <b>29.9</b>   |
| ST Debt and Current Portion of LT Debt | 0.0           | 0.0           | 0.0           | 0.0           | 0.0           |
| Accounts Payable                       | 7.7           | 10.4          | 10.3          | 11.1          | 11.9          |
| Other Current Liabilities              | 21.1          | 17.9          | 17.9          | 17.9          | 17.9          |
| <b>Total Long Term Liabilities</b>     | <b>6.5</b>    | <b>7.6</b>    | <b>7.6</b>    | <b>7.6</b>    | <b>7.6</b>    |
| Long Term Debt                         | 0.5           | 1.3           | 1.3           | 1.3           | 1.3           |
| Other Long Term Liabilities            | 6.0           | 6.3           | 6.3           | 6.3           | 6.3           |
| <b>Net Assets</b>                      | <b>319.6</b>  | <b>334.2</b>  | <b>323.4</b>  | <b>314.6</b>  | <b>305.1</b>  |
| Minority Interests                     | 0.0           | 0.0           | 0.0           | 0.0           | 0.0           |
| <b>Net Debt</b>                        | <b>-146.8</b> | <b>-158.5</b> | <b>-145.0</b> | <b>-133.8</b> | <b>-122.4</b> |

### Cash Flow Statement

| (Y bn)                                    | F12/24       | F12/25       | F12/26e      | F12/27e      | F12/28e      |
|-------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Cash from Operations</b>           | <b>40.1</b>  | <b>35.4</b>  | <b>33.5</b>  | <b>37.8</b>  | <b>39.1</b>  |
| Net Income                                | 12.8         | 26.3         | 23.5         | 25.2         | 26.0         |
| Depreciation and Amortization             | 14.2         | 13.5         | 13.9         | 14.0         | 14.0         |
| Changes in Working Capital                | 2.2          | 8.1          | -4.0         | -1.4         | -0.9         |
| Other-net                                 | 10.9         | -12.5        | 0.0          | 0.0          | 0.0          |
| <b>Net Cash from Investing Activities</b> | <b>-15.8</b> | <b>-10.5</b> | <b>-12.6</b> | <b>-15.0</b> | <b>-15.0</b> |
| Purchase of PP&E                          | -14.0        | -10.2        | -12.6        | -15.0        | -15.0        |
| Other-net                                 | -0.5         | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Free Cash Flow</b>                     | <b>24.4</b>  | <b>24.8</b>  | <b>20.9</b>  | <b>22.8</b>  | <b>24.1</b>  |
| <b>Net Cash from Financing Activities</b> | <b>-16.2</b> | <b>-17.4</b> | <b>-34.3</b> | <b>-34.0</b> | <b>-35.4</b> |
| Change in Interest-bearing Debt           | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Change in Treasury Stock                  | -5.7         | -6.7         | -19.0        | -20.0        | -20.0        |
| Payment of Cash Dividends                 | -10.2        | -9.7         | -15.3        | -14.0        | -15.4        |
| Other-net                                 | -0.3         | -1.0         | 0.0          | 0.0          | 0.0          |
| Net Effect of Exchange Rate Changes       | 10.1         | 1.9          | 0.0          | 0.0          | 0.0          |
| <b>Net Change in Cash</b>                 | <b>18.3</b>  | <b>9.4</b>   | <b>-13.4</b> | <b>-11.3</b> | <b>-11.4</b> |
| <b>Cash at End of Period</b>              | <b>130.6</b> | <b>139.9</b> | <b>126.5</b> | <b>115.2</b> | <b>103.9</b> |

### Sales by Application

| (Y bn)                     | F12/24       | F12/25       | F12/26e      | F12/27e      | F12/28e      |
|----------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>           | <b>196.2</b> | <b>200.4</b> | <b>218.8</b> | <b>233.7</b> | <b>249.0</b> |
| Automotive Products        | 152.5        | 154.5        | 166.3        | 178.1        | 190.6        |
| Life & Industrial Products | 43.7         | 45.9         | 52.5         | 55.6         | 58.4         |

### YoY % Change

|                            |            |           |           |           |           |
|----------------------------|------------|-----------|-----------|-----------|-----------|
| <b>Net Sales</b>           | <b>10%</b> | <b>2%</b> | <b>9%</b> | <b>7%</b> | <b>7%</b> |
| Automotive Products        | 9%         | 1%        | 8%        | 7%        | 7%        |
| Life & Industrial Products | 13%        | 5%        | 15%       | 6%        | 5%        |

### As % of Sales

|                            |     |     |     |     |     |
|----------------------------|-----|-----|-----|-----|-----|
| Automotive Products        | 78% | 77% | 76% | 76% | 77% |
| Life & Industrial Products | 22% | 23% | 24% | 24% | 23% |

### Shipment Volume by Application

| (mn units)                  | F12/24       | F12/25       | F12/26e      | F12/27e      | F12/28e      |
|-----------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Total Sales Quantity</b> | <b>1,348</b> | <b>1,340</b> | <b>1,336</b> | <b>1,414</b> | <b>1,496</b> |
| Automotive Products         | 1,055        | 1,071        | 1,073        | 1,137        | 1,206        |
| Life & Industrial Products  | 293          | 269          | 263          | 276          | 290          |

### Precision & Office Equipment

|                             |           |            |           |           |           |
|-----------------------------|-----------|------------|-----------|-----------|-----------|
| <b>Total Sales Quantity</b> | <b>2%</b> | <b>-1%</b> | <b>0%</b> | <b>6%</b> | <b>6%</b> |
| Automotive Products         | 2%        | 2%         | 0%        | 6%        | 6%        |
| Life & Industrial Products  | -1%       | -8%        | -2%       | 5%        | 5%        |

### As % of Sales

|                            |     |     |     |     |     |
|----------------------------|-----|-----|-----|-----|-----|
| Automotive Products        | 78% | 80% | 80% | 80% | 81% |
| Life & Industrial Products | 22% | 20% | 20% | 20% | 19% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# TDK: Key Financial Data

## Exhibit 58:

| Income Statement                       |                |                |                |                |                |
|----------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                                 | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                       | <b>2,204.8</b> | <b>2,504.8</b> | <b>2,768.0</b> | <b>3,020.6</b> | <b>3,295.6</b> |
| Cost of Goods Sold                     | 1,516.8        | 1,721.4        | 1,879.0        | 2,075.6        | 2,281.3        |
| <b>Gross Profit</b>                    | <b>688.0</b>   | <b>783.4</b>   | <b>889.0</b>   | <b>945.0</b>   | <b>1,014.3</b> |
| SG&A Expenses                          | 494.0          | 544.0          | 553.2          | 575.8          | 599.6          |
| Others*                                | 30.2           | 33.0           | 0.0            | 0.0            | 0.0            |
| <b>Operating Profit</b>                | <b>224.2</b>   | <b>272.4</b>   | <b>335.8</b>   | <b>369.1</b>   | <b>414.7</b>   |
| Non-operating Income/Loss              | 13.6           | 4.4            | 4.0            | 7.6            | 8.7            |
| <b>Pretax Profit</b>                   | <b>237.8</b>   | <b>276.8</b>   | <b>339.8</b>   | <b>376.7</b>   | <b>423.4</b>   |
| Income Tax                             | 67.4           | 77.6           | 91.7           | 98.0           | 105.9          |
| (Effective Tax Rate)                   | 28%            | 28%            | 27%            | 26%            | 25%            |
| Minority Interest                      | 3.2            | 3.5            | 3.0            | 4.0            | 4.0            |
| <b>Net Profit</b>                      | <b>167.2</b>   | <b>195.7</b>   | <b>245.0</b>   | <b>274.8</b>   | <b>313.6</b>   |
| Capex                                  | 225.3          | 298.6          | 370.0          | 350.0          | 350.0          |
| Depreciation and Amortization          | 196.2          | 204.2          | 240.0          | 260.0          | 280.0          |
| R&D Expenses                           | 253.6          | 289.7          | 310.0          | 320.0          | 330.0          |
| EBITDA                                 | 420.4          | 476.6          | 575.8          | 629.1          | 694.7          |
| <b>ROE</b>                             | <b>9.5%</b>    | <b>9.7%</b>    | <b>10.7%</b>   | <b>11.2%</b>   | <b>11.8%</b>   |
| Average Share Outstanding (Diluted)    | 1,900.0        | 1,900.2        | 1,896.7        | 1,898.2        | 1,898.2        |
| EPS (Diluted, Yen)                     | 88.0           | 103.0          | 129.1          | 144.8          | 165.2          |
| BPS (Yen)                              | 953.3          | 1,159.6        | 1,244.4        | 1,346.2        | 1,465.4        |
| DPS (Yen)                              | 30.0           | 36.0           | 40.0           | 44.0           | 48.0           |
| USD/JPY: Average Exchange Rate         | 152.7          | 150.8          | 155.0          | 155.0          | 155.0          |
| EUR/JPY: Average Exchange Rate         | 163.9          | 174.8          | 180.0          | 180.0          | 180.0          |
| <b>YoY % Change</b>                    |                |                |                |                |                |
| Net Sales                              | 5%             | 14%            | 11%            | 9%             | 9%             |
| Operating Profit                       | 30%            | 22%            | 23%            | 10%            | 12%            |
| Net Profit                             | 34%            | 17%            | 25%            | 12%            | 14%            |
| <b>As % of Sales</b>                   |                |                |                |                |                |
| Gross Profit                           | 31.2%          | 31.3%          | 32.1%          | 31.3%          | 30.8%          |
| Operating Profit                       | 10.2%          | 10.9%          | 12.1%          | 12.2%          | 12.6%          |
| Net Profit                             | 7.6%           | 7.8%           | 8.9%           | 9.1%           | 9.5%           |
| Capex                                  | 10.2%          | 11.9%          | 13.4%          | 11.6%          | 10.6%          |
| Depreciation and Amortization          | 8.9%           | 8.2%           | 8.7%           | 8.6%           | 8.5%           |
| <b>Balance Sheet</b>                   |                |                |                |                |                |
| (Y bn)                                 | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                    | <b>3,541.4</b> | <b>4,415.2</b> | <b>4,298.1</b> | <b>4,540.4</b> | <b>4,816.0</b> |
| <b>Total Current Assets</b>            | <b>1,836.9</b> | <b>2,455.2</b> | <b>2,208.1</b> | <b>2,360.5</b> | <b>2,566.0</b> |
| Cash and Cash Equivalents              | 697.3          | 842.8          | 894.4          | 996.4          | 1,154.6        |
| Marketable Securities                  | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                    | 583.1          | 780.6          | 602.5          | 632.6          | 663.2          |
| Inventory                              | 410.0          | 585.4          | 464.8          | 485.0          | 501.9          |
| Other Current Assets                   | 146.4          | 246.4          | 246.4          | 246.4          | 246.4          |
| <b>Total Long Term Assets</b>          | <b>1,704.6</b> | <b>1,959.9</b> | <b>2,089.9</b> | <b>2,179.9</b> | <b>2,249.9</b> |
| Net PP&E                               | 1,030.1        | 1,225.8        | 1,355.8        | 1,445.8        | 1,515.8        |
| Investments in Securities              | 183.8          | 226.8          | 226.8          | 226.8          | 226.8          |
| Other Assets                           | 276.6          | 269.2          | 269.2          | 269.2          | 269.2          |
| <b>Total Current Liabilities</b>       | <b>1,098.5</b> | <b>1,574.5</b> | <b>1,281.5</b> | <b>1,324.8</b> | <b>1,370.1</b> |
| ST Debt and Current Portion of LT Debt | 187.1          | 211.0          | 211.0          | 211.0          | 211.0          |
| Accounts Payable                       | 392.5          | 706.7          | 413.7          | 457.0          | 502.3          |
| Other Current Liabilities              | 518.8          | 656.9          | 656.9          | 656.9          | 656.9          |
| <b>Total Long Term Liabilities</b>     | <b>631.7</b>   | <b>637.1</b>   | <b>637.1</b>   | <b>637.1</b>   | <b>637.1</b>   |
| Long Term Debt                         | 346.0          | 332.7          | 332.7          | 332.7          | 332.7          |
| Other Long Term Liabilities            | 285.7          | 304.4          | 304.4          | 304.4          | 304.4          |
| Minority Interests                     | 11.2           | 16.3           | 19.3           | 23.3           | 27.3           |
| <b>Total Equity</b>                    | <b>1,811.3</b> | <b>2,203.5</b> | <b>2,360.2</b> | <b>2,555.3</b> | <b>2,781.5</b> |
| <b>Net Debt</b>                        | <b>-348.0</b>  | <b>-525.9</b>  | <b>-577.5</b>  | <b>-679.6</b>  | <b>-837.8</b>  |

| Cash Flow Statement                       |               |               |               |               |                |
|-------------------------------------------|---------------|---------------|---------------|---------------|----------------|
| (Y bn)                                    | F3/25         | F3/26         | F3/27e        | F3/28e        | F3/29e         |
| <b>Net Cash from Operations</b>           | <b>445.8</b>  | <b>507.7</b>  | <b>493.7</b>  | <b>531.7</b>  | <b>595.5</b>   |
| Net Income                                | 167.2         | 195.7         | 245.0         | 274.8         | 313.6          |
| Depreciation and Amortization             | 196.2         | 204.2         | 240.0         | 260.0         | 280.0          |
| Changes in Working Capital                | 2.5           | -8.9          | 5.7           | -7.1          | -2.1           |
| Other-net                                 | 80.0          | 116.7         | 3.0           | 4.0           | 4.0            |
| <b>Net Cash from Investing Activities</b> | <b>-244.8</b> | <b>-377.8</b> | <b>-370.0</b> | <b>-350.0</b> | <b>-350.0</b>  |
| Purchase of PP&E                          | -225.3        | -298.6        | -370.0        | -350.0        | -350.0         |
| Sale/Purchase of Investments              | 9.9           | -4.3          | 0.0           | 0.0           | 0.0            |
| Other-net                                 | -29.5         | -74.9         | 0.0           | 0.0           | 0.0            |
| <b>Free Cash Flow</b>                     | <b>201.0</b>  | <b>129.9</b>  | <b>123.7</b>  | <b>181.7</b>  | <b>245.5</b>   |
| <b>Net Cash from Financing Activities</b> | <b>-143.3</b> | <b>-64.7</b>  | <b>-72.1</b>  | <b>-79.7</b>  | <b>-87.3</b>   |
| Change in Interest-bearing Debt           | -81.3         | 9.9           | 0.0           | 0.0           | 0.0            |
| Change in Treasury Stock                  | 0.0           | 0.0           | 0.0           | 0.0           | 0.0            |
| Payment of Cash Dividends                 | -48.5         | -60.7         | -72.1         | -79.7         | -87.3          |
| Other-net                                 | -13.5         | -13.9         | 0.0           | 0.0           | 0.0            |
| Net Effect of Exchange Rate Changes       | -10.4         | 80.3          | 0.0           | 0.0           | 0.0            |
| <b>Net Change in Cash</b>                 | <b>47.3</b>   | <b>145.5</b>  | <b>51.6</b>   | <b>102.0</b>  | <b>158.2</b>   |
| <b>Cash at End of Period</b>              | <b>697.3</b>  | <b>842.8</b>  | <b>894.4</b>  | <b>996.4</b>  | <b>1,154.6</b> |

| Segment Information           |                |                |                |                |                |
|-------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                        | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>              | <b>2,204.8</b> | <b>2,504.8</b> | <b>2,768.0</b> | <b>3,020.6</b> | <b>3,295.6</b> |
| Passive Components            | 559.6          | 593.2          | 647.4          | 674.9          | 704.0          |
| Capacitors                    | 234.3          | 257.5          | 280.9          | 294.9          | 309.6          |
| Inductive Devices             | 204.3          | 216.2          | 244.9          | 254.7          | 264.9          |
| Other Passive Components      | 121.1          | 119.5          | 121.6          | 125.3          | 129.4          |
| Sensor Application Products   | 189.5          | 224.6          | 233.5          | 249.4          | 266.5          |
| Magnetic Application Products | 223.6          | 262.9          | 370.8          | 404.1          | 436.0          |
| Energy Application Products   | 1,176.5        | 1,370.3        | 1,466.2        | 1,642.1        | 1,839.2        |
| Other                         | 55.6           | 53.8           | 50.0           | 50.0           | 50.0           |
| <b>Total Operating Profit</b> | <b>224.2</b>   | <b>272.4</b>   | <b>335.8</b>   | <b>369.1</b>   | <b>414.7</b>   |
| Passive Components            | 34.1           | 41.8           | 54.0           | 66.3           | 75.0           |
| Sensor Application Products   | 5.0            | 20.7           | 22.2           | 30.2           | 35.8           |
| Magnetic Application Products | 3.4            | 27.0           | 61.5           | 68.2           | 74.4           |
| Energy Application Products   | 234.4          | 246.7          | 256.1          | 262.3          | 287.6          |
| Other                         | -4.4           | -10.2          | -6.0           | -6.0           | -6.0           |
| Corporate and Eliminations    | -48.3          | -53.6          | -52.0          | -52.0          | -52.0          |
| <b>Profit Margin</b>          | <b>10.2%</b>   | <b>10.9%</b>   | <b>12.1%</b>   | <b>12.2%</b>   | <b>12.6%</b>   |
| Passive Components            | 6.1%           | 7.1%           | 8.3%           | 9.8%           | 10.6%          |
| Sensor Application Products   | 2.6%           | 9.2%           | 9.5%           | 12.1%          | 13.4%          |
| Magnetic Application Products | 1.5%           | 10.3%          | 16.6%          | 16.9%          | 17.1%          |
| Energy Application Products   | 19.9%          | 18.0%          | 17.5%          | 16.0%          | 15.6%          |
| Other                         | -8.0%          | -19.0%         | -12.0%         | -12.0%         | -12.0%         |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Alps Alpine: Key Financial Data

## Exhibit 59:

| Income Statement                          |               |                |                |                |                |
|-------------------------------------------|---------------|----------------|----------------|----------------|----------------|
| (Y bn)                                    | F3/25         | F3/26e         | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                          | <b>990.4</b>  | <b>1,019.5</b> | <b>1,064.5</b> | <b>1,157.6</b> | <b>1,222.2</b> |
| Cost of Goods Sold                        | 815.2         | 837.6          | 859.9          | 923.3          | 967.7          |
| <b>Gross Profit</b>                       | <b>175.2</b>  | <b>181.9</b>   | <b>204.6</b>   | <b>234.2</b>   | <b>254.5</b>   |
| SG&A Expenses                             | 141.1         | 139.8          | 155.5          | 165.5          | 174.8          |
| <b>Operating Profit</b>                   | <b>34.1</b>   | <b>42.0</b>    | <b>49.1</b>    | <b>68.7</b>    | <b>79.7</b>    |
| Non-Operating Income/Loss                 | -3.6          | 7.1            | -2.8           | 2.2            | 2.2            |
| <b>Pretax profit</b>                      | <b>57.9</b>   | <b>43.9</b>    | <b>44.3</b>    | <b>68.9</b>    | <b>79.9</b>    |
| Income Tax                                | 19.8          | 16.7           | 12.8           | 20.0           | 23.2           |
| (Effective Tax Rate)                      | 34%           | 38%            | 29%            | 29%            | 29%            |
| Minority Interest                         | 0.2           | 0.4            | 0.4            | 0.0            | 0.0            |
| <b>Net Profit</b>                         | <b>37.8</b>   | <b>26.9</b>    | <b>31.1</b>    | <b>48.9</b>    | <b>56.7</b>    |
| Capex                                     | 51.8          | 61.6           | 75.2           | 60.0           | 60.0           |
| Depreciation and Amortization             | 35.1          | 34.0           | 44.8           | 42.0           | 42.0           |
| R&D                                       | 24.3          | 21.9           | 28.0           | 33.0           | 35.0           |
| EBITDA                                    | 69.2          | 76.0           | 93.9           | 110.7          | 121.7          |
| <b>ROE</b>                                | <b>9.4%</b>   | <b>6.2%</b>    | <b>6.8%</b>    | <b>10.1%</b>   | <b>10.9%</b>   |
| Average Share Outstanding (Diluted)       | 205.6         | 199.4          | 195.1          | 195.1          | 195.1          |
| EPS (Diluted, Yen)                        | 184.0         | 134.8          | 159.2          | 250.7          | 290.7          |
| BPS (Yen)                                 | 2,013.1       | 2,293.7        | 2,388.8        | 2,569.6        | 2,785.3        |
| DPS (Yen)                                 | 60.0          | 62.0           | 64.0           | 70.0           | 75.0           |
| USD/JPY: Average Exchange Rate            | 151.3         | 150.8          | 155.0          | 155.0          | 155.0          |
| <b>YoY % Change</b>                       |               |                |                |                |                |
| Net Sales                                 | 3%            | 3%             | 4%             | 9%             | 6%             |
| Operating Profit                          | 73%           | 23%            | 17%            | 40%            | 16%            |
| Net Profit                                | -             | -29%           | 16%            | 58%            | 16%            |
| <b>As % of Sales</b>                      |               |                |                |                |                |
| Gross Profit                              | 17.7%         | 17.8%          | 19.2%          | 20.2%          | 20.8%          |
| Operating Profit                          | 3.4%          | 4.1%           | 4.6%           | 5.9%           | 6.5%           |
| Net Profit                                | 3.8%          | 2.6%           | 2.9%           | 4.2%           | 4.6%           |
| Capex                                     | 5.2%          | 6.0%           | 7.1%           | 5.2%           | 4.9%           |
| Depreciation and Amortization             | 3.5%          | 3.3%           | 4.2%           | 3.6%           | 3.4%           |
| Balance Sheet                             |               |                |                |                |                |
| (Y bn)                                    | F3/25         | F3/26e         | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                       | <b>740.7</b>  | <b>783.2</b>   | <b>802.8</b>   | <b>845.0</b>   | <b>891.9</b>   |
| <b>Total Current Assets</b>               | <b>494.9</b>  | <b>500.7</b>   | <b>489.9</b>   | <b>514.1</b>   | <b>543.1</b>   |
| Cash and Cash Equivalents                 | 147.9         | 153.6          | 150.0          | 148.4          | 159.4          |
| Marketable Securities                     | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                       | 166.8         | 169.4          | 175.5          | 190.9          | 201.5          |
| Inventory                                 | 138.6         | 138.3          | 142.2          | 152.6          | 160.0          |
| Other Current Assets                      | 41.5          | 39.4           | 22.2           | 22.2           | 22.2           |
| <b>Total Long Term Assets</b>             | <b>245.8</b>  | <b>282.4</b>   | <b>312.8</b>   | <b>330.8</b>   | <b>348.8</b>   |
| Net PP&E                                  | 136.7         | 158.0          | 188.4          | 206.4          | 224.4          |
| Investments in Securities                 | 60.0          | 67.7           | 67.7           | 67.7           | 67.7           |
| Other assets                              | 49.1          | 56.8           | 56.8           | 56.8           | 56.8           |
| <b>Total Current Liabilities</b>          | <b>226.9</b>  | <b>240.7</b>   | <b>241.8</b>   | <b>248.7</b>   | <b>253.6</b>   |
| ST Debt & Current Portion of LT Debt      | 44.3          | 37.1           | 37.1           | 37.1           | 37.1           |
| Accounts Payable                          | 90.4          | 93.2           | 94.2           | 101.2          | 106.0          |
| Other Current Liabilities                 | 92.2          | 110.5          | 110.5          | 110.5          | 110.5          |
| <b>Total Long Term Liabilities</b>        | <b>98.3</b>   | <b>93.0</b>    | <b>93.0</b>    | <b>93.0</b>    | <b>93.0</b>    |
| Long Term Debt                            | 56.5          | 55.2           | 55.2           | 55.2           | 55.2           |
| Other Long Term Liabilities               | 41.8          | 37.8           | 37.8           | 37.8           | 37.8           |
| Minority Interests                        | 1.5           | 1.9            | 1.9            | 1.9            | 1.9            |
| <b>Total Equity</b>                       | <b>415.5</b>  | <b>449.4</b>   | <b>468.0</b>   | <b>503.2</b>   | <b>545.3</b>   |
| <b>Net Debt</b>                           | <b>-107.2</b> | <b>-129.0</b>  | <b>-125.4</b>  | <b>-123.8</b>  | <b>0.0</b>     |
| Cash Flow Statement                       |               |                |                |                |                |
| (Y bn)                                    | F3/25         | F3/26e         | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Cash from Operations</b>           | <b>65.8</b>   | <b>95.9</b>    | <b>66.9</b>    | <b>72.0</b>    | <b>85.6</b>    |
| Net Income                                | 37.8          | 26.9           | 31.1           | 48.9           | 56.7           |
| Depreciation and Amortization             | 35.1          | 34.0           | 44.8           | 42.0           | 42.0           |
| Changes in Working Capital:               | 9.0           | 16.0           | -9.0           | -18.9          | -13.1          |
| Other-net                                 | -16.2         | 19.1           | 0.0            | 0.0            | 0.0            |
| <b>Net Cash from Investing Activities</b> | <b>-1.7</b>   | <b>-58.4</b>   | <b>-58.0</b>   | <b>-60.0</b>   | <b>-60.0</b>   |
| Purchase of PP&E                          | -43.0         | -43.6          | -75.2          | -60.0          | -60.0          |
| Sale/Purchase of Investments              | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            |
| Other-net                                 | 41.4          | -14.8          | 17.2           | 0.0            | 0.0            |
| <b>Free cash flow</b>                     | <b>64.1</b>   | <b>37.5</b>    | <b>8.9</b>     | <b>12.0</b>    | <b>25.6</b>    |
| <b>Net Cash from Financing Activities</b> | <b>-37.3</b>  | <b>-41.1</b>   | <b>-12.5</b>   | <b>-13.7</b>   | <b>-14.6</b>   |
| Change in Interest-bearing Debt           | -28.5         | -9.5           | 0.0            | 0.0            | 0.0            |
| Change in Treasury Stock                  | 0.0           | 0.0            | 0.0            | 0.0            | 0.0            |
| Payment of Cash Dividends                 | -8.2          | -12.2          | -12.5          | -13.7          | -14.6          |
| Other-net                                 | -0.5          | -19.4          | 0.0            | 0.0            | 0.0            |
| Net Effect of Exchange Rate Changes       | -1.7          | 9.5            | 0.0            | 0.0            | 0.0            |
| <b>Net Change in Cash</b>                 | <b>25.2</b>   | <b>5.9</b>     | <b>-3.6</b>    | <b>-1.6</b>    | <b>11.0</b>    |
| Segment Information                       |               |                |                |                |                |
| (Y bn)                                    | F3/25         | F3/26e         | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                          | <b>990.4</b>  | <b>1,019.5</b> | <b>1,064.5</b> | <b>1,157.6</b> | <b>1,222.2</b> |
| Components                                | 348.0         | 358.4          | 413.5          | 468.0          | 489.3          |
| Sensor & Communication                    | 84.2          | 85.3           | 87.0           | 91.4           | 95.9           |
| Mobility                                  | 537.2         | 555.1          | 544.0          | 578.2          | 616.9          |
| Logistics/Others                          | 21.0          | 20.8           | 20.0           | 20.0           | 20.0           |
| <b>Total Operating Profit</b>             | <b>34.1</b>   | <b>42.0</b>    | <b>49.1</b>    | <b>68.7</b>    | <b>79.7</b>    |
| Components                                | 30.4          | 30.2           | 37.1           | 51.7           | 60.2           |
| Sensor & Communication                    | -3.4          | -3.5           | -1.2           | 2.0            | 2.5            |
| Mobility                                  | 5.6           | 14.2           | 12.2           | 14.0           | 16.0           |
| Logistics/Others                          | 1.5           | 1.3            | 1.0            | 1.0            | 1.0            |
| <b>Operating Profit Margin</b>            | <b>3.4%</b>   | <b>4.1%</b>    | <b>4.6%</b>    | <b>5.9%</b>    | <b>6.5%</b>    |
| Components                                | 8.7%          | 8.4%           | 9.0%           | 11.0%          | 12.3%          |
| Sensor & Communication                    | -4.0%         | -4.1%          | -1.4%          | 2.2%           | 2.6%           |
| Mobility                                  | 1.0%          | 2.6%           | 2.2%           | 2.4%           | 2.6%           |
| Logistics/Others                          | 7.0%          | 6.0%           | 5.0%           | 5.0%           | 5.0%           |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Nihon Dempa Kogyo: Key Financial Data

## Exhibit 60:

| Income Statement                                 |             |             |             |             |             | Cashflow Statement                                    |             |             |              |             |             |
|--------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------------------------------------------------|-------------|-------------|--------------|-------------|-------------|
| (JPY bn)                                         | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      | (JPY bn)                                              | F3/25       | F3/26       | F3/27e       | F3/28e      | F3/29e      |
| <b>Sales</b>                                     | <b>53.1</b> | <b>54.6</b> | <b>61.9</b> | <b>66.6</b> | <b>72.4</b> | <b>Cash flow from operating activities</b>            | <b>6.1</b>  | <b>4.2</b>  | <b>8.2</b>   | <b>7.8</b>  | <b>9.0</b>  |
| Costs of Sales                                   | 37.0        | 38.9        | 43.0        | 46.2        | 49.8        | EBIT                                                  | 3.0         | 2.6         | 4.1          | 4.8         | 6.0         |
| <b>Gross Profit</b>                              | <b>16.1</b> | <b>15.7</b> | <b>18.9</b> | <b>20.4</b> | <b>22.6</b> | Depreciation                                          | 3.4         | 3.9         | 4.4          | 4.9         | 5.4         |
| SG&A (incl. other income/losses)                 | 11.4        | 12.4        | 14.3        | 15.1        | 16.0        | Changes in Receivables                                | 0.2         | -0.5        | -0.6         | -1.1        | -1.3        |
| <b>Operating Income</b>                          | <b>4.6</b>  | <b>3.4</b>  | <b>4.6</b>  | <b>5.3</b>  | <b>6.6</b>  | Change in inventory                                   | 0.6         | -1.5        | -0.3         | -0.6        | -0.8        |
| Financial income/losses                          | -1.7        | -0.8        | -0.5        | -0.5        | -0.6        | Changes in Payables                                   | 0.0         | 1.2         | 1.4          | 0.9         | 1.1         |
| <b>Profit before income taxes</b>                | <b>3.0</b>  | <b>2.6</b>  | <b>4.1</b>  | <b>4.8</b>  | <b>6.0</b>  | Other                                                 | -1.1        | -1.5        | -0.8         | -1.1        | -1.4        |
| Income taxes                                     | 1.2         | 0.5         | 1.3         | 1.5         | 1.8         | <b>Cash flow from investing activities</b>            | <b>-4.5</b> | <b>-7.4</b> | <b>-10.0</b> | <b>-9.0</b> | <b>-9.8</b> |
| (Effective tax rate)                             | 39%         | 19%         | 32%         | 31%         | 30%         | Purchase of PP&E                                      | -3.7        | -5.7        | -9.5         | -8.6        | -9.3        |
| Profit attributable to non-controlling interests | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         | Sales of PP&E                                         | 0.1         | 0.0         | 0.0          | 0.0         | 0.0         |
| <b>Net Profit</b>                                | <b>1.8</b>  | <b>2.1</b>  | <b>2.8</b>  | <b>3.3</b>  | <b>4.2</b>  | Other                                                 | -0.9        | -1.7        | -0.5         | -0.4        | -0.5        |
| Capex                                            | 4.6         | 6.5         | 10.0        | 9.0         | 9.8         | <b>Cash flow from financing activities</b>            | <b>1.9</b>  | <b>-2.4</b> | <b>1.7</b>   | <b>0.6</b>  | <b>1.6</b>  |
| Depreciation & amortization                      | 3.4         | 3.9         | 4.4         | 4.9         | 5.4         | Net Change In Borrowings                              | 3.3         | -0.7        | 2.4          | 1.5         | 2.5         |
| R&D                                              | 2.1         | 2.9         | 3.7         | 4.0         | 4.3         | Purchase of treasury shares                           | 0.0         | -0.2        | 0.0          | 0.0         | 0.0         |
| EPS (JPY)                                        | 77.8        | 89.7        | 122.1       | 143.9       | 183.2       | Cash dividend paid                                    | -0.7        | -0.7        | -0.7         | -0.9        | -0.9        |
| USD/JPY (Average)                                | 152.5       | 151.0       | 155.0       | 155.0       | 155.0       | Other                                                 | -0.7        | -0.9        | 0.0          | 0.0         | 0.0         |
|                                                  |             |             |             |             |             | Effect of exchange rate change                        | 0.0         | 0.5         | 0.0          | 0.0         | 0.0         |
|                                                  |             |             |             |             |             | Changes in cash and cash equivalents                  | 3.6         | -5.1        | -0.1         | -0.6        | 0.8         |
|                                                  |             |             |             |             |             | <b>Cash and cash equivalents at end of the period</b> | <b>15.9</b> | <b>10.8</b> | <b>10.7</b>  | <b>10.1</b> | <b>10.9</b> |

| Balance Sheet                       |             |             |             |             |             | Sales by application        |       |       |        |        |        |
|-------------------------------------|-------------|-------------|-------------|-------------|-------------|-----------------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      | (JPY bn)                    | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>71.5</b> | <b>76.3</b> | <b>82.2</b> | <b>87.1</b> | <b>94.0</b> | Automotive                  | 29.2  | 30.1  | 32.1   | 33.1   | 34.0   |
| <b>Current assets</b>               | <b>43.5</b> | <b>44.0</b> | <b>44.7</b> | <b>45.8</b> | <b>48.7</b> | Mobile communications / IoT | 13.5  | 13.0  | 13.5   | 13.8   | 14.1   |
| Cash and cash equivalents           | 15.9        | 10.8        | 10.7        | 10.1        | 10.9        | Industrial equipment        | 3.7   | 4.4   | 8.4    | 11.3   | 15.3   |
| Accounts receivable                 | 12.7        | 13.8        | 14.4        | 15.5        | 16.8        | Special products            | 1.4   | 1.7   | 2.3    | 2.7    | 3.1    |
| Inventories                         | 10.5        | 12.4        | 12.7        | 13.3        | 14.1        | Optical products            | 1.4   | 1.2   | 1.5    | 1.6    | 1.8    |
| Other financial assets              | 4.4         | 6.9         | 6.9         | 6.9         | 6.9         | Others                      | 3.9   | 4.3   | 4.1    | 4.1    | 4.1    |
| <b>Fixed assets</b>                 | <b>28.0</b> | <b>32.3</b> | <b>37.5</b> | <b>41.2</b> | <b>45.3</b> | (YoY)                       |       |       |        |        |        |
| Tangible fixed assets               | 19.7        | 23.2        | 28.1        | 31.8        | 35.7        | Automotive                  | 4%    | 3%    | 7%     | 3%     | 3%     |
| Intangible fixed assets             | 2.3         | 3.2         | 3.4         | 3.5         | 3.7         | Mobile communications / IoT | 22%   | -4%   | 4%     | 2%     | 2%     |
| Other non-current assets            | 6.0         | 5.9         | 5.9         | 5.9         | 5.9         | Industrial equipment        | 28%   | 19%   | 91%    | 35%    | 35%    |
|                                     |             |             |             |             |             | Special products            | -     | 21%   | 36%    | 15%    | 15%    |
| <b>Current liabilities</b>          | <b>12.2</b> | <b>14.0</b> | <b>15.4</b> | <b>16.4</b> | <b>17.6</b> | Optical products            | -     | -18%  | 28%    | 12%    | 12%    |
| Short term borrowings               | 0.8         | 1.3         | 1.3         | 1.4         | 1.4         | Others                      | -     | 11%   | -4%    | 0%     | 0%     |
| Accounts payable                    | 9.5         | 10.3        | 11.7        | 12.6        | 13.7        |                             |       |       |        |        |        |
| Other current liabilities           | 1.9         | 2.3         | 2.4         | 2.4         | 2.5         |                             |       |       |        |        |        |
| <b>Fixed liabilities</b>            | <b>30.2</b> | <b>30.4</b> | <b>32.8</b> | <b>34.3</b> | <b>36.7</b> |                             |       |       |        |        |        |
| Long term borrowings                | 25.8        | 24.8        | 27.2        | 28.7        | 31.1        |                             |       |       |        |        |        |
| Other fixed liabilities             | 4.4         | 5.6         | 5.6         | 5.6         | 5.6         |                             |       |       |        |        |        |
| <b>Net assets</b>                   | <b>29.2</b> | <b>31.9</b> | <b>34.0</b> | <b>36.4</b> | <b>39.7</b> |                             |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>71.5</b> | <b>76.3</b> | <b>82.2</b> | <b>87.1</b> | <b>94.0</b> |                             |       |       |        |        |        |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Meiko Electronics: Key Financial Data

Exhibit 61:

| Income Statement                                 |              |              |              |              |              | Cashflow Statement                                    |              |              |              |              |              |
|--------------------------------------------------|--------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| (JPY bn)                                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Sales</b>                                     | <b>206.8</b> | <b>240.6</b> | <b>323.8</b> | <b>412.9</b> | <b>482.1</b> | <b>Cash flow from operating activities</b>            | <b>21.7</b>  | <b>27.5</b>  | <b>27.3</b>  | <b>50.4</b>  | <b>74.4</b>  |
| Costs of Sales                                   | 167.0        | 190.1        | 250.8        | 321.0        | 369.6        | EBIT                                                  | 18.5         | 27.4         | 35.6         | 44.7         | 58.6         |
| <b>Gross Profit</b>                              | <b>39.8</b>  | <b>50.4</b>  | <b>73.0</b>  | <b>91.9</b>  | <b>112.5</b> | Depreciation                                          | 12.5         | 13.7         | 17.5         | 34.8         | 42.0         |
| SG&A                                             | 20.7         | 25.9         | 34.4         | 43.2         | 50.0         | Changes in Receivables                                | -3.3         | -8.3         | -14.5        | -14.2        | -9.1         |
| <b>Operating Income</b>                          | <b>19.1</b>  | <b>24.6</b>  | <b>38.6</b>  | <b>48.7</b>  | <b>62.5</b>  | Change in inventory                                   | 2.9          | 6.5          | 13.5         | 14.5         | 11.2         |
| Non-operating income/expenses                    | -0.3         | 1.9          | -3.0         | -4.0         | -3.9         | Changes in Payables                                   | -3.4         | -3.3         | -8.1         | -10.2        | -13.4        |
| <b>Recurring Profit</b>                          | <b>18.8</b>  | <b>26.5</b>  | <b>35.6</b>  | <b>44.7</b>  | <b>58.6</b>  | Other                                                 | -5.5         | -8.5         | -16.8        | -19.1        | -14.9        |
| Extraordinary income                             | -0.2         | 0.9          | 0.0          | 0.0          | 0.0          | <b>Cash flow from investing activities</b>            | <b>-24.3</b> | <b>-55.5</b> | <b>-70.0</b> | <b>-70.0</b> | <b>-70.0</b> |
| <b>Profit before income taxes</b>                | <b>18.5</b>  | <b>27.4</b>  | <b>35.6</b>  | <b>44.7</b>  | <b>58.6</b>  | Purchase of PP&E                                      | -24.4        | -49.8        | -69.8        | -69.8        | -69.8        |
| Income taxes                                     | 3.4          | 7.5          | 8.1          | 10.2         | 13.4         | Sales of PP&E                                         | 0.2          | 0.0          | 0.0          | 0.0          | 0.0          |
| (Effective tax rate)                             | 19%          | 27%          | 23%          | 23%          | 23%          | Other                                                 | -0.1         | -5.7         | -0.2         | -0.2         | -0.2         |
| Profit attributable to non-controlling interests | 0.2          | 0.2          | 0.2          | 0.2          | 0.2          | <b>Cash flow from financing activities</b>            | <b>4.1</b>   | <b>30.1</b>  | <b>54.4</b>  | <b>32.2</b>  | <b>-11.8</b> |
| <b>Net Profit</b>                                | <b>14.9</b>  | <b>19.8</b>  | <b>27.3</b>  | <b>34.3</b>  | <b>45.0</b>  | Net Change In Borrowings                              | 7.4          | 33.1         | 58.3         | 36.8         | -5.9         |
| Capex                                            | 29.8         | 49.7         | 70.0         | 70.0         | 70.0         | Purchase of treasury shares                           | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Depreciation & amortization                      | 12.5         | 13.7         | 17.5         | 34.8         | 42.0         | Cash dividend paid                                    | -2.4         | -2.7         | -3.9         | -4.6         | -5.9         |
| R&D                                              | 6.3          | 6.0          | 9.7          | 10.3         | 11.6         | Other                                                 | -0.8         | -0.3         | 0.0          | 0.0          | 0.0          |
| EPS (JPY)                                        | 569.5        | 758.6        | 1,063.6      | 1,336.4      | 1,753.2      | Effect of exchange rate changes                       | 0.1          | 1.4          | -7.5         | 0.0          | 0.0          |
| USD/JPY (Average)                                | 152.6        | 151.1        | 155.0        | 155.0        | 155.0        | Changes in cash and cash equivalents                  | 1.6          | 3.6          | 4.2          | 12.6         | -7.3         |
|                                                  |              |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>22.9</b>  | <b>26.5</b>  | <b>30.7</b>  | <b>43.3</b>  | <b>36.0</b>  |

| Balance Sheet                       |              |              |              |              |              | Sales by application             |       |       |        |        |        |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|----------------------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                         | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>256.4</b> | <b>335.3</b> | <b>424.7</b> | <b>507.5</b> | <b>553.3</b> | Automotive                       | 90.4  | 97.5  | 101.3  | 104.0  | 107.0  |
| <b>Current assets</b>               | <b>114.1</b> | <b>142.5</b> | <b>179.8</b> | <b>227.6</b> | <b>245.7</b> | Smartphone/Tablet                | 25.5  | 29.4  | 36.8   | 54.5   | 70.8   |
| Cash and cash equivalents           | 23.2         | 27.5         | 30.7         | 43.3         | 36.0         | Satellite                        | 16.6  | 28.2  | 56.0   | 82.0   | 102.0  |
| Accounts receivable                 | 46.2         | 56.6         | 76.2         | 97.1         | 113.4        | AI server                        | 4.2   | 7.3   | 20.0   | 45.0   | 60.0   |
| Inventories                         | 38.5         | 49.5         | 64.0         | 78.2         | 87.4         | Moludes                          | 9.2   | 9.2   | 13.0   | 16.0   | 18.0   |
| Other financial assets              | 6.3          | 8.9          | 8.9          | 8.9          | 8.9          | Amusement/Smart appliance/Others | 23.7  | 24.4  | 27.8   | 28.2   | 30.1   |
| <b>Fixed assets</b>                 | <b>142.3</b> | <b>192.8</b> | <b>244.9</b> | <b>279.9</b> | <b>307.6</b> | Electronic equipment             | 36.2  | 42.6  | 66.0   | 79.2   | 89.2   |
| Tangible fixed assets               | 129.6        | 174.9        | 227.1        | 262.1        | 289.8        | Semi Package                     | 1.0   | 2.0   | 3.0    | 4.0    | 5.0    |
| Intangible fixed assets             | 5.7          | 5.0          | 5.0          | 5.0          | 5.0          | (YoY)                            |       |       |        |        |        |
| Other non-current assets            | 7.0          | 12.8         | 12.8         | 12.8         | 12.8         | Automotive                       | -5%   | 8%    | 4%     | 3%     | 3%     |
| <b>Current liabilities</b>          | <b>100.3</b> | <b>128.3</b> | <b>145.5</b> | <b>166.4</b> | <b>176.0</b> | Smartphone/Tablet                | 8%    | 15%   | 25%    | 48%    | 30%    |
| Short term borrowings               | 52.1         | 63.7         | 65.7         | 70.4         | 67.4         | Satellite                        | 118%  | 70%   | 99%    | 46%    | 24%    |
| Accounts payable                    | 29.6         | 39.0         | 52.5         | 67.0         | 78.2         | AI server                        | -     | 74%   | 174%   | 125%   | 33%    |
| Other current liabilities           | 18.6         | 25.6         | 27.2         | 29.0         | 30.4         | Moludes                          | -     | 0%    | 41%    | 23%    | 13%    |
| <b>Fixed liabilities</b>            | <b>40.5</b>  | <b>63.2</b>  | <b>119.4</b> | <b>151.5</b> | <b>148.7</b> | Amusement/Smart appliance/Others | 69%   | 3%    | 14%    | 1%     | 7%     |
| Long term borrowings                | 34.7         | 57.6         | 113.9        | 146.0        | 143.2        | Electronic equipment             | 19%   | 18%   | 55%    | 20%    | 13%    |
| Other fixed liabilities             | 5.8          | 5.5          | 5.5          | 5.5          | 5.5          | Semi Package                     | 43%   | 100%  | 50%    | 33%    | 25%    |
| <b>Net assets</b>                   | <b>115.6</b> | <b>143.8</b> | <b>159.8</b> | <b>189.5</b> | <b>228.6</b> |                                  |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>256.4</b> | <b>335.3</b> | <b>424.7</b> | <b>507.5</b> | <b>553.3</b> |                                  |       |       |        |        |        |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Hirose Electric: Key Financial Data

## Exhibit 62:

| Income Statement                                 |              |              |              |              |              | Cashflow Statement                                    |              |              |              |              |              |
|--------------------------------------------------|--------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| (JPY bn)                                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Sales</b>                                     | <b>189.4</b> | <b>211.3</b> | <b>234.6</b> | <b>254.6</b> | <b>275.4</b> | <b>Cash flow from operating activities</b>            | <b>55.7</b>  | <b>45.9</b>  | <b>47.9</b>  | <b>57.5</b>  | <b>63.6</b>  |
| Costs of Sales                                   | 104.0        | 122.3        | 139.2        | 149.5        | 160.3        | EBIT                                                  | 46.2         | 46.6         | 52.1         | 58.2         | 64.7         |
| <b>Gross Profit</b>                              | <b>85.4</b>  | <b>89.0</b>  | <b>95.4</b>  | <b>105.1</b> | <b>115.1</b> | Depreciation                                          | 17.9         | 19.5         | 21.3         | 23.1         | 25.0         |
| SG&A (incl. other income/losses)                 | 42.7         | 46.0         | 48.1         | 51.7         | 55.2         | Changes in Receivables                                | -1.9         | -7.2         | -5.5         | -4.7         | -4.9         |
| <b>Operating Income</b>                          | <b>42.7</b>  | <b>43.0</b>  | <b>47.3</b>  | <b>53.4</b>  | <b>59.9</b>  | Change in inventory                                   | -1.4         | -3.5         | -3.3         | -2.9         | -3.0         |
| Financial income/losses                          | 3.5          | 3.6          | 4.8          | 4.8          | 4.8          | Changes in Payables                                   | 2.0          | 3.5          | 1.8          | 1.6          | 1.6          |
| <b>Profit before income taxes</b>                | <b>46.2</b>  | <b>46.6</b>  | <b>52.1</b>  | <b>58.2</b>  | <b>64.7</b>  | Other                                                 | -7.2         | -13.0        | -18.5        | -17.8        | -19.9        |
| Income taxes                                     | 13.2         | 13.5         | 15.9         | 17.8         | 19.8         | <b>Cash flow from investing activities</b>            | <b>-42.9</b> | <b>-9.2</b>  | <b>-25.8</b> | <b>-28.0</b> | <b>-30.3</b> |
| (Effective tax rate)                             | 29%          | 29%          | 31%          | 31%          | 31%          | Purchase of PP&E                                      | -26.7        | -20.0        | -25.8        | -28.0        | -30.3        |
| Profit attributable to non-controlling interests | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          | Sales of PP&E                                         | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Net Profit</b>                                | <b>33.0</b>  | <b>33.1</b>  | <b>36.2</b>  | <b>40.4</b>  | <b>44.9</b>  | Other                                                 | -16.3        | 10.8         | 0.0          | 0.0          | 0.0          |
| Capex                                            | 26.7         | 20.0         | 25.8         | 28.0         | 30.3         | <b>Cash flow from financing activities</b>            | <b>-16.7</b> | <b>-37.9</b> | <b>-39.0</b> | <b>-31.6</b> | <b>-32.2</b> |
| Depreciation & amortization                      | 17.9         | 19.5         | 21.3         | 23.1         | 25.0         | Net Change In Borrowings                              | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| R&D                                              | 13.5         | 13.5         | 14.0         | 15.2         | 16.4         | Purchase of treasury shares                           | 0.0          | -20.4        | -22.5        | -15.0        | -15.0        |
| EPS (JPY)                                        | 976.3        | 991.9        | 1,114.9      | 1,280.5      | 1,453.9      | Cash dividend paid                                    | -15.7        | -16.5        | -16.5        | -16.6        | -17.2        |
| USD/JPY (Average)                                | 152.6        | -            | 155.0        | 155.0        | 155.0        | Other                                                 | -0.9         | -1.1         | 0.0          | 0.0          | 0.0          |
|                                                  |              |              |              |              |              | Effect of exchange rate change                        | -0.7         | 3.0          | 0.0          | 0.0          | 0.0          |
|                                                  |              |              |              |              |              | Changes in cash and cash equivalents                  | -4.7         | 1.7          | -16.9        | -2.1         | 1.1          |
|                                                  |              |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>85.7</b>  | <b>87.3</b>  | <b>70.4</b>  | <b>68.3</b>  | <b>69.4</b>  |

| Balance Sheet                       |              |              |              |              |              | Sales by Applications                       |       |       |        |        |        |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|---------------------------------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                    | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>416.9</b> | <b>431.2</b> | <b>427.6</b> | <b>438.0</b> | <b>452.2</b> | General Industrial                          | 46.9  | 62.0  | 73.9   | 80.6   | 87.8   |
| <b>Current assets</b>               | <b>248.8</b> | <b>233.8</b> | <b>225.7</b> | <b>231.2</b> | <b>240.2</b> | Smartphone                                  | 46.4  | 44.3  | 43.0   | 44.2   | 45.6   |
| Cash and cash equivalents           | 85.7         | 87.3         | 70.4         | 68.3         | 69.4         | Consumer/Mobile equipment                   | 34.7  | 34.7  | 34.1   | 34.8   | 35.5   |
| Marketable securities               | 87.6         | 57.6         | 57.6         | 57.6         | 57.6         | Automotive/Mobility related                 | 49.2  | 54.3  | 60.0   | 67.2   | 75.3   |
| Accounts receivable                 | 40.4         | 49.9         | 55.4         | 60.1         | 65.0         | Telecommunications infrastructure equipment | 5.4   | 6.7   | 10.7   | 12.3   | 14.1   |
| Inventories                         | 25.1         | 30.2         | 33.5         | 36.4         | 39.4         | OA equipment and Others                     | 6.8   | 9.3   | 13.0   | 15.5   | 17.1   |
| Other financial assets              | 97.6         | 66.4         | 66.4         | 66.4         | 66.4         | (YoY)                                       |       |       |        |        |        |
| <b>Fixed assets</b>                 | <b>168.1</b> | <b>197.4</b> | <b>201.9</b> | <b>206.8</b> | <b>212.1</b> | General Industrial                          | -7%   | 32%   | 19%    | 9%     | 9%     |
| Tangible fixed assets               | 91.3         | 96.3         | 100.8        | 105.7        | 111.0        | Smartphone                                  | 31%   | -5%   | -3%    | 3%     | 3%     |
| Intangible fixed assets             | 6.6          | 7.7          | 7.7          | 7.7          | 7.7          | Consumer/Mobile equipment                   | 37%   | 0%    | -2%    | 2%     | 2%     |
| Other non-current assets            | 70.2         | 93.4         | 93.4         | 93.4         | 93.4         | Automotive/Mobility related                 | 15%   | 10%   | 11%    | 12%    | 12%    |
|                                     |              |              |              |              |              | Telecommunications infrastructure equipment | 20%   | 24%   | 59%    | 15%    | 15%    |
|                                     |              |              |              |              |              | OA equipment and Others                     | 0%    | 36%   | 40%    | 20%    | 10%    |
| <b>Current liabilities</b>          | <b>29.1</b>  | <b>32.8</b>  | <b>32.0</b>  | <b>33.6</b>  | <b>35.1</b>  |                                             |       |       |        |        |        |
| Short term borrowings               | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |                                             |       |       |        |        |        |
| Accounts payable                    | 12.9         | 16.7         | 18.6         | 20.2         | 21.8         |                                             |       |       |        |        |        |
| Other current liabilities           | 16.2         | 16.1         | 13.4         | 13.4         | 13.3         |                                             |       |       |        |        |        |
| <b>Fixed liabilities</b>            | <b>17.7</b>  | <b>20.3</b>  | <b>20.3</b>  | <b>20.3</b>  | <b>20.3</b>  |                                             |       |       |        |        |        |
| Long term borrowings                | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |                                             |       |       |        |        |        |
| Other fixed liabilities             | 17.7         | 20.3         | 20.3         | 20.3         | 20.3         |                                             |       |       |        |        |        |
| <b>Net assets</b>                   | <b>370.1</b> | <b>378.1</b> | <b>375.3</b> | <b>384.1</b> | <b>396.8</b> |                                             |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>416.9</b> | <b>431.2</b> | <b>427.6</b> | <b>438.0</b> | <b>452.2</b> |                                             |       |       |        |        |        |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Japan Aviation Electronics: Key Financial Data

## Exhibit 63:

| Income Statement                                 |              |              |              |              |              | Cashflow Statement                                    |              |              |              |              |              |
|--------------------------------------------------|--------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| (JPY bn)                                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Sales</b>                                     | <b>221.6</b> | <b>227.9</b> | <b>235.1</b> | <b>236.9</b> | <b>245.1</b> | <b>Cash flow from operating activities</b>            | <b>36.3</b>  | <b>17.0</b>  | <b>26.8</b>  | <b>27.8</b>  | <b>26.7</b>  |
| Costs of Sales                                   | 179.6        | 191.4        | 197.9        | 198.8        | 205.6        | EBIT                                                  | 15.2         | 10.2         | 9.6          | 10.1         | 10.7         |
| <b>Gross Profit</b>                              | <b>42.1</b>  | <b>36.4</b>  | <b>37.2</b>  | <b>38.1</b>  | <b>39.5</b>  | Depreciation                                          | 20.9         | 19.7         | 22.0         | 21.7         | 21.4         |
| SG&A                                             | 26.4         | 27.5         | 28.3         | 28.5         | 29.4         | Changes in Receivables                                | 3.8          | -0.1         | -1.2         | -0.3         | -1.4         |
| <b>Operating Income</b>                          | <b>15.6</b>  | <b>8.9</b>   | <b>8.9</b>   | <b>9.6</b>   | <b>10.1</b>  | Change in inventory                                   | -1.0         | -2.6         | -0.4         | 0.4          | -0.5         |
| Non-operating income/expenses                    | -0.8         | -0.7         | 0.7          | 0.5          | 0.6          | Changes in Payables                                   | 1.6          | -2.9         | 0.8          | 0.2          | 0.9          |
| <b>Recurring Profit</b>                          | <b>14.8</b>  | <b>8.2</b>   | <b>9.6</b>   | <b>10.1</b>  | <b>10.7</b>  | Other                                                 | -4.0         | -7.2         | -4.0         | -4.3         | -4.5         |
| Extraordinary income                             | 0.3          | 1.9          | 0.0          | 0.0          | 0.0          | <b>Cash flow from investing activities</b>            | <b>-19.2</b> | <b>-24.4</b> | <b>-19.5</b> | <b>-19.5</b> | <b>-19.5</b> |
| <b>Profit before income taxes</b>                | <b>15.2</b>  | <b>10.2</b>  | <b>9.6</b>   | <b>10.1</b>  | <b>10.7</b>  | Purchase of PP&E                                      | -18.0        | -23.7        | -21.0        | -21.0        | -21.0        |
| Income taxes                                     | 3.6          | 3.1          | 2.9          | 3.1          | 3.3          | Sales of PP&E                                         | 0.4          | 0.0          | 0.0          | 0.0          | 0.0          |
| (Effective tax rate)                             | 24%          | 30%          | 30%          | 31%          | 31%          | Other                                                 | -1.5         | -0.7         | 1.5          | 1.5          | 1.5          |
| Profit attributable to non-controlling interests | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          | <b>Cash flow from financing activities</b>            | <b>-31.6</b> | <b>0.5</b>   | <b>-8.8</b>  | <b>-6.0</b>  | <b>-5.0</b>  |
| <b>Net Profit</b>                                | <b>11.6</b>  | <b>7.1</b>   | <b>6.7</b>   | <b>7.0</b>   | <b>7.4</b>   | Net Change In Borrowings                              | -27.5        | 4.8          | -5.1         | -2.6         | -1.7         |
| Capex                                            | 18.0         | 23.7         | 21.0         | 21.0         | 21.0         | Purchase of treasury shares                           | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Depreciation & amortization                      | 20.9         | 19.7         | 22.0         | 21.7         | 21.4         | Cash dividend paid                                    | -4.0         | -4.0         | -3.7         | -3.4         | -3.4         |
| R&D                                              | 11.3         | 12.1         | 12.5         | 12.6         | 13.0         | Other                                                 | 0.0          | -0.3         | 0.0          | 0.0          | 0.0          |
| EPS (JPY)                                        | 172.0        | 104.9        | 99.3         | 103.8        | 109.7        | Effect of exchange rate changes                       | -1.0         | 2.6          | -1.2         | 0.0          | 0.0          |
| USD/JPY (Average)                                | 152.6        | 150.7        | 155.0        | 155.0        | 155.0        | Changes in cash and cash equivalents                  | -15.4        | -4.4         | -2.7         | 2.3          | 2.1          |
|                                                  |              |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>52.9</b>  | <b>48.5</b>  | <b>45.8</b>  | <b>48.1</b>  | <b>50.2</b>  |

| Balance Sheet                       |              |              |              |              |              | Sales by Application/Product |              |              |              |              |              |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|------------------------------|--------------|--------------|--------------|--------------|--------------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                     | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Total assets</b>                 | <b>215.4</b> | <b>232.1</b> | <b>229.8</b> | <b>231.0</b> | <b>234.3</b> | <b>Connector</b>             | <b>201.8</b> | <b>206.9</b> | <b>212.1</b> | <b>212.9</b> | <b>220.1</b> |
| <b>Current assets</b>               | <b>125.3</b> | <b>130.7</b> | <b>129.6</b> | <b>131.8</b> | <b>135.8</b> | Handhelds                    | 66.9         | 65.2         | 61.8         | 59.1         | 56.5         |
| Cash and cash equivalents           | 52.9         | 48.5         | 45.8         | 48.1         | 50.2         | Automotive                   | 112.6        | 115.7        | 122.5        | 125.0        | 127.5        |
| Marketable securities               | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          | Industrial & Infrastructure  | 18.0         | 20.6         | 22.3         | 23.4         | 24.6         |
| Accounts receivable                 | 37.7         | 38.9         | 40.1         | 40.5         | 41.9         | Aviation & Space (Defence)   | 0.0          | 0.0          | 0.0          | 0.0          | 6.0          |
| Inventories                         | 29.2         | 32.8         | 33.2         | 32.8         | 33.3         | Others                       | 4.3          | 5.4          | 5.5          | 5.5          | 5.5          |
| Other financial assets              | 5.6          | 10.4         | 10.4         | 10.4         | 10.4         | <b>Aerospace</b>             | <b>19.3</b>  | <b>20.5</b>  | <b>22.5</b>  | <b>23.5</b>  | <b>24.5</b>  |
| <b>Fixed assets</b>                 | <b>90.2</b>  | <b>101.5</b> | <b>100.2</b> | <b>99.2</b>  | <b>98.5</b>  | Automotive                   | 0.2          | 0.1          | 0.1          | 0.1          | 0.1          |
| Tangible fixed assets               | 70.3         | 77.6         | 76.6         | 75.9         | 75.5         | Industrial & Infrastructure  | 10.7         | 9.3          | 10.5         | 11.1         | 11.8         |
| Intangible fixed assets             | 2.7          | 3.1          | 2.8          | 2.5          | 2.3          | Aviation & Space (Defence)   | 8.4          | 11.1         | 11.9         | 12.3         | 12.6         |
| Other non-current assets            | 17.2         | 20.8         | 20.8         | 20.8         | 20.8         | <b>Others</b>                | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   | <b>0.5</b>   |
| <b>Current liabilities</b>          | <b>48.9</b>  | <b>52.9</b>  | <b>53.9</b>  | <b>54.1</b>  | <b>55.3</b>  | (YoY)                        |              |              |              |              |              |
| Short term borrowings               | 6.0          | 11.0         | 11.2         | 11.1         | 11.4         | <b>Connector</b>             | <b>-2%</b>   | <b>3%</b>    | <b>3%</b>    | <b>0%</b>    | <b>3%</b>    |
| Accounts payable                    | 28.4         | 25.5         | 26.3         | 26.5         | 27.4         | Handhelds                    | -11%         | -2%          | -5%          | -4%          | -4%          |
| Other current liabilities           | 14.6         | 16.4         | 16.5         | 16.5         | 16.5         | Automotive                   | 7%           | 3%           | 6%           | 2%           | 2%           |
| <b>Fixed liabilities</b>            | <b>32.8</b>  | <b>34.9</b>  | <b>29.6</b>  | <b>27.1</b>  | <b>25.2</b>  | Industrial & Infrastructure  | -9%          | 14%          | 8%           | 5%           | 5%           |
| Long term borrowings                | 31.0         | 30.8         | 25.5         | 22.9         | 21.1         | Aviation & Space (Defence)   | -            | -            | -            | -            | -            |
| Other fixed liabilities             | 1.8          | 4.1          | 4.1          | 4.1          | 4.1          | Others                       | -1%          | 24%          | 1%           | 0%           | 0%           |
| <b>Net assets</b>                   | <b>133.7</b> | <b>144.4</b> | <b>146.2</b> | <b>149.8</b> | <b>153.9</b> | <b>Aerospace</b>             | <b>-4%</b>   | <b>6%</b>    | <b>10%</b>   | <b>4%</b>    | <b>4%</b>    |
| <b>Total liabilities and equity</b> | <b>215.4</b> | <b>232.1</b> | <b>229.8</b> | <b>231.0</b> | <b>234.3</b> | Automotive                   | -79%         | -56%         | 2%           | 0%           | 0%           |
|                                     |              |              |              |              |              | Industrial & Infrastructure  | -22%         | -13%         | 13%          | 6%           | 6%           |
|                                     |              |              |              |              |              | Aviation & Space (Defence)   | 55%          | 31%          | 8%           | 3%           | 3%           |
|                                     |              |              |              |              |              | <b>Others</b>                | <b>-29%</b>  | <b>-2%</b>   | <b>1%</b>    | <b>0%</b>    | <b>0%</b>    |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# CMK: Key Financial Data

Exhibit 64:

| Income Statement                                 |             |              |              |              |              | Cashflow Statement                                    |              |             |             |             |             |
|--------------------------------------------------|-------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|-------------|-------------|-------------|-------------|
| (JPY bn)                                         | F3/25       | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26       | F3/27e      | F3/28e      | F3/29e      |
| <b>Sales</b>                                     | <b>95.5</b> | <b>100.2</b> | <b>103.6</b> | <b>106.2</b> | <b>109.2</b> | <b>Cash flow from operating activities</b>            | <b>9.1</b>   | <b>7.8</b>  | <b>10.4</b> | <b>11.3</b> | <b>12.1</b> |
| Costs of Sales                                   | 79.9        | 85.3         | 88.1         | 89.8         | 91.8         | EBIT                                                  | 5.3          | 5.3         | 2.7         | 3.4         | 4.0         |
| <b>Gross Profit</b>                              | <b>15.6</b> | <b>14.9</b>  | <b>15.5</b>  | <b>16.4</b>  | <b>17.4</b>  | Depreciation                                          | 5.9          | 6.5         | 8.5         | 8.9         | 9.3         |
| SG&A                                             | 11.8        | 12.1         | 12.3         | 12.5         | 12.9         | Changes in Receivables                                | -0.2         | 0.5         | -0.3        | -0.2        | -0.2        |
| <b>Operating Income</b>                          | <b>3.8</b>  | <b>2.8</b>   | <b>3.2</b>   | <b>3.9</b>   | <b>4.5</b>   | Change in inventory                                   | 0.7          | 0.3         | 0.4         | 0.3         | 0.4         |
| Non-operating income/expenses                    | 1.7         | 1.3          | -0.5         | -0.5         | -0.5         | Changes in Payables                                   | -0.8         | -1.0        | -0.8        | -1.0        | -1.2        |
| <b>Recurring Profit</b>                          | <b>5.5</b>  | <b>4.1</b>   | <b>2.7</b>   | <b>3.4</b>   | <b>4.0</b>   | Other                                                 | -2.0         | -3.8        | -0.1        | -0.1        | -0.2        |
| Extraordinary income                             | -0.2        | 1.2          | 0.0          | 0.0          | 0.0          | <b>Cash flow from investing activities</b>            | <b>-18.8</b> | <b>-6.9</b> | <b>-8.4</b> | <b>-9.0</b> | <b>-9.3</b> |
| <b>Profit before income taxes</b>                | <b>5.3</b>  | <b>5.3</b>   | <b>2.7</b>   | <b>3.4</b>   | <b>4.0</b>   | Purchase of PP&E                                      | -18.3        | -8.6        | -7.9        | -8.4        | -8.7        |
| Income taxes                                     | 1.4         | 1.1          | 0.8          | 1.0          | 1.2          | Sales of PP&E                                         | 0.3          | 0.0         | 0.0         | 0.0         | 0.0         |
| (Effective tax rate)                             | 27%         | 20%          | 30%          | 29%          | 30%          | Other                                                 | -0.8         | 1.8         | -0.5        | -0.6        | -0.6        |
| Profit attributable to non-controlling interests | 0.1         | 0.2          | 0.2          | 0.2          | 0.2          | <b>Cash flow from financing activities</b>            | <b>4.7</b>   | <b>-4.1</b> | <b>1.7</b>  | <b>0.2</b>  | <b>-4.2</b> |
| <b>Net Profit</b>                                | <b>3.8</b>  | <b>4.0</b>   | <b>1.7</b>   | <b>2.2</b>   | <b>2.6</b>   | Net Change In Borrowings                              | 8.2          | -1.8        | 3.3         | 2.4         | -1.8        |
| Capex                                            | 18.9        | 9.2          | 8.4          | 9.0          | 9.3          | Purchase of treasury shares                           | 0.0          | 0.0         | 0.0         | 0.0         | 0.0         |
| Depreciation & amortization                      | 5.9         | 6.5          | 8.5          | 8.9          | 9.3          | Cash dividend paid                                    | -1.4         | -1.4        | -1.4        | -2.0        | -2.1        |
| R&D                                              | 0.6         | 0.5          | 0.5          | 0.5          | 0.5          | Other                                                 | -2.2         | -0.9        | -0.2        | -0.2        | -0.2        |
| EPS (JPY)                                        | 53.2        | 56.5         | 23.8         | 30.9         | 36.5         | Effect of exchange rate changes                       | 1.8          | 0.4         | -1.7        | 0.0         | 0.0         |
| USD/JPY (Average)                                | 151.8       | 149.8        | 155.0        | 155.0        | 155.0        | Changes in cash and cash equivalents                  | -3.1         | -2.8        | 2.0         | 2.5         | -1.4        |
|                                                  |             |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>22.2</b>  | <b>19.4</b> | <b>21.4</b> | <b>23.9</b> | <b>22.5</b> |

| Balance Sheet                       |              |              |              |              |              | Sales by Product         |       |       |        |        |        |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                 | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>148.5</b> | <b>151.5</b> | <b>154.2</b> | <b>157.5</b> | <b>156.8</b> | Double-sided/Multi-layer | 61.1  | 63.4  | 62.7   | 62.4   | 62.2   |
| <b>Current assets</b>               | <b>62.4</b>  | <b>61.7</b>  | <b>64.5</b>  | <b>67.8</b>  | <b>67.2</b>  | Double-sided             | 10.0  | 9.5   | 8.3    | 7.6    | 7.0    |
| Cash and cash equivalents           | 22.2         | 19.5         | 21.4         | 23.9         | 22.5         | Multi-layer              | 51.0  | 53.9  | 54.4   | 54.8   | 55.2   |
| Accounts receivable                 | 17.8         | 19.9         | 20.6         | 21.1         | 21.7         | HDI                      | 30.2  | 33.0  | 37.2   | 40.1   | 43.3   |
| Inventories                         | 18.6         | 18.4         | 18.8         | 19.0         | 19.2         | Others                   | 4.2   | 3.8   | 3.7    | 3.7    | 3.7    |
| Other financial assets              | 3.8          | 3.8          | 3.8          | 3.8          | 3.8          | (YoY)                    |       |       |        |        |        |
| <b>Fixed assets</b>                 | <b>86.1</b>  | <b>89.8</b>  | <b>89.7</b>  | <b>89.7</b>  | <b>89.6</b>  | Double-sided/Multi-layer | 2%    | 4%    | -1%    | 0%     | 0%     |
| Tangible fixed assets               | 76.5         | 80.3         | 79.7         | 79.4         | 78.9         | Double-sided             | 0%    | -5%   | -13%   | -8%    | -8%    |
| Intangible fixed assets             | 1.0          | 1.5          | 1.8          | 2.2          | 2.6          | Multi-layer              | 2%    | 6%    | 1%     | 1%     | 1%     |
| Other non-current assets            | 8.6          | 8.1          | 8.1          | 8.1          | 8.1          | HDI                      | 16%   | 9%    | 13%    | 8%     | 8%     |
|                                     |              |              |              |              |              | Others                   | -8%   | -10%  | -2%    | 0%     | 0%     |
| <b>Current liabilities</b>          | <b>33.7</b>  | <b>38.0</b>  | <b>37.5</b>  | <b>37.3</b>  | <b>37.1</b>  |                          |       |       |        |        |        |
| Short term borrowings               | 12.8         | 10.3         | 9.2          | 8.5          | 7.8          |                          |       |       |        |        |        |
| Accounts payable                    | 14.0         | 12.5         | 12.9         | 13.3         | 13.6         |                          |       |       |        |        |        |
| Other current liabilities           | 6.9          | 15.3         | 15.4         | 15.5         | 15.7         |                          |       |       |        |        |        |
| <b>Fixed liabilities</b>            | <b>33.4</b>  | <b>27.4</b>  | <b>31.8</b>  | <b>34.9</b>  | <b>33.8</b>  |                          |       |       |        |        |        |
| Long term borrowings                | 31.3         | 25.3         | 29.7         | 32.8         | 31.6         |                          |       |       |        |        |        |
| Other fixed liabilities             | 2.1          | 2.2          | 2.2          | 2.2          | 2.2          |                          |       |       |        |        |        |
| <b>Net assets</b>                   | <b>81.4</b>  | <b>86.0</b>  | <b>84.8</b>  | <b>85.2</b>  | <b>85.9</b>  |                          |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>148.5</b> | <b>151.5</b> | <b>154.2</b> | <b>157.5</b> | <b>156.8</b> |                          |       |       |        |        |        |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research



# Daishinku: Key Financial Data

Exhibit 65:

| Income Statement                                 |             |             |             |             |             | Cashflow Statement                                    |             |             |             |             |             |
|--------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|
| (JPY bn)                                         | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      | (JPY bn)                                              | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      |
| <b>Sales</b>                                     | <b>38.6</b> | <b>39.6</b> | <b>40.9</b> | <b>43.4</b> | <b>46.2</b> | <b>Cash flow from operating activities</b>            | <b>2.3</b>  | <b>-1.8</b> | <b>4.0</b>  | <b>5.6</b>  | <b>6.2</b>  |
| Costs of Sales                                   | 29.3        | 30.4        | 31.2        | 33.0        | 34.6        | EBIT                                                  | 1.6         | 1.1         | -0.1        | 1.1         | 1.9         |
| <b>Gross Profit</b>                              | <b>9.3</b>  | <b>9.2</b>  | <b>9.7</b>  | <b>10.4</b> | <b>11.6</b> | Depreciation                                          | 4.0         | 4.2         | 5.2         | 5.4         | 5.6         |
| SG&A                                             | 8.4         | 8.1         | 8.7         | 8.9         | 9.3         | Changes in Receivables                                | 0.5         | -0.2        | 0.1         | -0.6        | -0.7        |
| <b>Operating Income</b>                          | <b>0.9</b>  | <b>1.1</b>  | <b>1.0</b>  | <b>1.5</b>  | <b>2.3</b>  | Change in inventory                                   | -1.9        | -5.6        | -1.7        | -0.7        | -0.7        |
| Non-operating income/expenses                    | -0.5        | -0.4        | -0.7        | -0.4        | -0.4        | Changes in Payables                                   | 1.0         | 0.1         | 0.1         | 0.3         | 0.3         |
| <b>Recurring Profit</b>                          | <b>0.4</b>  | <b>0.7</b>  | <b>0.3</b>  | <b>1.1</b>  | <b>1.9</b>  | Other                                                 | -2.8        | -1.5        | 0.4         | 0.2         | -0.1        |
| Extraordinary income                             | 1.2         | 0.3         | -0.4        | 0.0         | 0.0         | <b>Cash flow from investing activities</b>            | <b>-6.3</b> | <b>-3.1</b> | <b>-4.0</b> | <b>-4.3</b> | <b>-4.6</b> |
| <b>Profit before income taxes</b>                | <b>1.6</b>  | <b>1.1</b>  | <b>-0.1</b> | <b>1.1</b>  | <b>1.9</b>  | Purchase of PP&E                                      | -6.9        | -3.0        | -4.0        | -4.3        | -4.6        |
| Income taxes                                     | 0.6         | 0.5         | 0.0         | 0.3         | 0.6         | Sales of PP&E                                         | 0.0         | 0.1         | 0.0         | 0.0         | 0.0         |
| (Effective tax rate)                             | 39%         | 42%         | 0%          | 27%         | 32%         | Other                                                 | 0.5         | -0.2        | 0.0         | 0.0         | 0.0         |
| Profit attributable to non-controlling interests | 0.7         | 0.2         | 0.2         | 0.2         | 0.2         | <b>Cash flow from financing activities</b>            | <b>-1.7</b> | <b>1.2</b>  | <b>1.1</b>  | <b>-3.7</b> | <b>-3.2</b> |
| <b>Net Profit</b>                                | <b>0.3</b>  | <b>0.4</b>  | <b>-0.3</b> | <b>0.6</b>  | <b>1.1</b>  | Net Change In Borrowings                              | -0.1        | 2.7         | 2.5         | -2.3        | -1.8        |
| Capex                                            | 1.0         | 4.8         | 4.0         | 4.3         | 4.6         | Purchase of treasury shares                           | -0.3        | -0.2        | 0.0         | 0.0         | 0.0         |
| Depreciation & amortization                      | 4.0         | 4.2         | 5.2         | 5.4         | 5.6         | Cash dividend paid                                    | -0.9        | -0.9        | -0.9        | -0.9        | -0.9        |
| R&D                                              | 0.6         | 1.9         | 2.4         | 2.5         | 2.7         | Other                                                 | -0.5        | -0.4        | -0.5        | -0.5        | -0.5        |
| EPS (JPY)                                        | 8.9         | 13.2        | -9.4        | 18.9        | 34.6        | Effect of exchange rate changes                       | -0.1        | 1.2         | -2.2        | 0.0         | 0.0         |
| USD/JPY (Average)                                | 152.2       | 150.7       | 155.0       | 155.0       | 155.0       | Changes in cash and cash equivalents                  | -5.9        | -2.5        | -1.0        | -2.3        | -1.5        |
|                                                  |             |             |             |             |             | <b>Cash and cash equivalents at end of the period</b> | <b>18.5</b> | <b>16.0</b> | <b>14.9</b> | <b>12.6</b> | <b>11.1</b> |

| Balance Sheet                       |             |             |             |             |             | Sales by application |       |       |        |        |        |
|-------------------------------------|-------------|-------------|-------------|-------------|-------------|----------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      | (JPY bn)             | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>89.9</b> | <b>98.8</b> | <b>97.0</b> | <b>94.9</b> | <b>93.8</b> | Communication        | 10.2  | 10.2  | 10.7   | 11.8   | 13.0   |
| <b>Current assets</b>               | <b>48.9</b> | <b>53.4</b> | <b>53.7</b> | <b>52.6</b> | <b>52.5</b> | Automotive           | 13.8  | 14.8  | 16.1   | 17.2   | 18.5   |
| Cash and cash equivalents           | 18.7        | 16.3        | 14.9        | 12.6        | 11.1        | Consumer             | 10.7  | 10.4  | 9.7    | 9.9    | 10.1   |
| Accounts receivable                 | 9.1         | 10.2        | 10.1        | 10.7        | 11.4        | Industrial           | 4.0   | 4.2   | 4.3    | 4.5    | 4.6    |
| Inventories                         | 18.0        | 24.6        | 26.3        | 27.0        | 27.7        | (YoY)                |       |       |        |        |        |
| Other financial assets              | 3.1         | 2.3         | 2.3         | 2.3         | 2.3         | Communication        | -13%  | 0%    | 5%     | 10%    | 10%    |
| <b>Fixed assets</b>                 | <b>41.0</b> | <b>45.4</b> | <b>43.4</b> | <b>42.3</b> | <b>41.3</b> | Automotive           | 3%    | 8%    | 9%     | 7%     | 7%     |
| Tangible fixed assets               | 34.9        | 38.4        | 36.4        | 35.3        | 34.3        | Consumer             | 15%   | -3%   | -6%    | 2%     | 2%     |
| Intangible fixed assets             | 1.0         | 0.8         | 0.8         | 0.8         | 0.8         | Industrial           | -19%  | 5%    | 2%     | 4%     | 4%     |
| Other non-current assets            | 5.1         | 6.2         | 6.2         | 6.2         | 6.2         |                      |       |       |        |        |        |
| <b>Current liabilities</b>          | <b>24.9</b> | <b>32.9</b> | <b>30.4</b> | <b>29.8</b> | <b>29.3</b> |                      |       |       |        |        |        |
| Short term borrowings               | 16.9        | 22.6        | 20.9        | 19.9        | 18.9        |                      |       |       |        |        |        |
| Accounts payable                    | 3.4         | 4.1         | 4.2         | 4.5         | 4.8         |                      |       |       |        |        |        |
| Other current liabilities           | 4.6         | 6.3         | 5.2         | 5.4         | 5.6         |                      |       |       |        |        |        |
| <b>Fixed liabilities</b>            | <b>19.8</b> | <b>17.9</b> | <b>22.1</b> | <b>20.8</b> | <b>20.0</b> |                      |       |       |        |        |        |
| Long term borrowings                | 16.3        | 14.1        | 18.3        | 17.0        | 16.2        |                      |       |       |        |        |        |
| Other fixed liabilities             | 3.5         | 3.8         | 3.8         | 3.8         | 3.8         |                      |       |       |        |        |        |
| <b>Net assets</b>                   | <b>45.2</b> | <b>48.0</b> | <b>44.6</b> | <b>44.3</b> | <b>44.5</b> |                      |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>89.9</b> | <b>98.8</b> | <b>97.0</b> | <b>94.9</b> | <b>93.8</b> |                      |       |       |        |        |        |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Hamamatsu Photonics: Key Financial Data

## Exhibit 66:

### Income Statement

| (Y bn)                        | F9/24        | F9/25        | F9/26e       | F9/27e       | F9/28e       |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>              | <b>204.0</b> | <b>212.1</b> | <b>232.8</b> | <b>245.8</b> | <b>265.7</b> |
| COGS                          | 100.1        | 110.7        | 120.9        | 129.6        | 142.4        |
| <b>Gross Profit</b>           | <b>103.9</b> | <b>101.4</b> | <b>111.8</b> | <b>116.2</b> | <b>123.3</b> |
| SG&A Expenses                 | 71.8         | 85.2         | 89.3         | 90.7         | 92.5         |
| <b>Operating Profit</b>       | <b>32.1</b>  | <b>16.2</b>  | <b>22.5</b>  | <b>25.4</b>  | <b>30.7</b>  |
| Non-operating Income/Loss     | 2.4          | 2.6          | 2.5          | 2.5          | 2.5          |
| <b>Recurring Profit</b>       | <b>34.5</b>  | <b>18.8</b>  | <b>25.0</b>  | <b>27.9</b>  | <b>33.2</b>  |
| Extraordinary Income/Loss     | 0.9          | 1.9          | 0.3          | 0.3          | 0.3          |
| <b>Pretax Profit</b>          | <b>35.4</b>  | <b>20.7</b>  | <b>25.2</b>  | <b>28.2</b>  | <b>33.5</b>  |
| Income Tax                    | 10.0         | 6.2          | 7.1          | 8.5          | 10.1         |
| (Effective Tax Rate)          | 35%          | 35%          | 35%          | 35%          | 35%          |
| Minority Interest             | 0.3          | 0.4          | 0.1          | 0.0          | 0.0          |
| <b>Net Profit</b>             | <b>25.1</b>  | <b>14.2</b>  | <b>18.0</b>  | <b>19.7</b>  | <b>23.4</b>  |
| Capex                         | 32.2         | 39.1         | 40.2         | 15.0         | 15.0         |
| Depreciation and Amortization | 17.7         | 22.3         | 23.5         | 27.7         | 26.7         |
| R&D Expenses                  | 13.6         | 18.4         | 18.8         | 19.9         | 21.3         |
| EBITDA                        | 49.8         | 38.5         | 46.0         | 53.1         | 57.4         |
| <b>ROE</b>                    | <b>7.7%</b>  | <b>4.4%</b>  | <b>5.7%</b>  | <b>6.5%</b>  | <b>7.9%</b>  |

|                                     |         |         |         |         |         |
|-------------------------------------|---------|---------|---------|---------|---------|
| Average Share Outstanding (Diluted) | 309.7   | 298.7   | 298.8   | 283.2   | 277.9   |
| EPS (Diluted, Yen)                  | 81.2    | 47.4    | 61.7    | 69.5    | 84.2    |
| BPS (Yen)                           | 1,075.3 | 1,082.9 | 1,067.4 | 1,058.7 | 1,063.1 |
| DPS (Yen)                           | 38.0    | 38.0    | 40.0    | 45.0    | 45.0    |

|                                |       |       |       |       |       |
|--------------------------------|-------|-------|-------|-------|-------|
| USD/JPY: Average Exchange Rate | 149.4 | 149.2 | 155.2 | 155.0 | 155.0 |
|--------------------------------|-------|-------|-------|-------|-------|

### YoY % Change

|                  |      |      |     |     |     |
|------------------|------|------|-----|-----|-----|
| Net Sales        | -8%  | 4%   | 10% | 6%  | 8%  |
| Operating Profit | -43% | -50% | 39% | 13% | 21% |
| Net Profit       | -41% | -44% | 27% | 9%  | 19% |

### As % of Sales

|                               |       |       |       |       |       |
|-------------------------------|-------|-------|-------|-------|-------|
| Gross Profit                  | 50.9% | 47.8% | 48.0% | 47.3% | 46.4% |
| Operating Profit              | 15.7% | 7.6%  | 9.7%  | 10.4% | 11.6% |
| Net Profit                    | 12.3% | 6.7%  | 7.7%  | 8.0%  | 8.8%  |
| Capex                         | 15.8% | 18.4% | 17.2% | 6.1%  | 5.6%  |
| Depreciation and Amortization | 8.7%  | 10.5% | 10.1% | 11.3% | 10.0% |

### Balance Sheet

| (Y bn)                                 | F9/24        | F9/25        | F9/26e       | F9/27e       | F9/28e       |
|----------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Total Assets</b>                    | <b>434.6</b> | <b>455.0</b> | <b>440.1</b> | <b>432.6</b> | <b>428.4</b> |
| <b>Total Current Assets</b>            | <b>239.0</b> | <b>236.4</b> | <b>204.9</b> | <b>210.1</b> | <b>217.6</b> |
| Cash and Cash Equivalents              | 97.0         | 90.6         | 53.1         | 57.6         | 61.6         |
| Marketable Securities                  | 2.9          | 6.5          | 6.5          | 6.5          | 6.5          |
| Account Receivables                    | 45.7         | 46.6         | 50.0         | 52.2         | 55.7         |
| Inventory                              | 80.6         | 77.0         | 79.4         | 78.0         | 78.0         |
| Other Current Assets                   | 12.8         | 15.8         | 15.8         | 15.8         | 15.8         |
| <b>Total Long Term Assets</b>          | <b>195.6</b> | <b>218.6</b> | <b>235.2</b> | <b>222.5</b> | <b>210.8</b> |
| Net PP&E                               | 132.9        | 150.7        | 167.3        | 154.6        | 142.9        |
| Investments in Securities              | 35.7         | 34.6         | 34.6         | 34.6         | 34.6         |
| Other Assets                           | 27.0         | 33.3         | 33.3         | 33.3         | 33.3         |
| <b>Total Current Liabilities</b>       | <b>80.7</b>  | <b>108.5</b> | <b>109.0</b> | <b>109.5</b> | <b>110.3</b> |
| ST Debt and Current Portion of LT Debt | 28.4         | 55.5         | 55.5         | 55.5         | 55.5         |
| Accounts Payable                       | 6.6          | 6.8          | 7.3          | 7.9          | 8.6          |
| Other Current Liabilities              | 45.8         | 46.2         | 46.2         | 46.2         | 46.2         |
| <b>Total Long Term Liabilities</b>     | <b>20.9</b>  | <b>23.0</b>  | <b>23.0</b>  | <b>23.0</b>  | <b>23.0</b>  |
| Long Term Debt                         | 8.5          | 10.6         | 10.6         | 10.6         | 10.6         |
| Other Long Term Liabilities            | 12.4         | 12.5         | 12.5         | 12.5         | 12.5         |
| <b>Net Assets</b>                      | <b>333.0</b> | <b>323.5</b> | <b>308.1</b> | <b>299.9</b> | <b>295.4</b> |
| <b>Net Debt</b>                        | <b>-63.0</b> | <b>-31.0</b> | <b>6.5</b>   | <b>2.0</b>   | <b>-2.1</b>  |

### Cash Flow Statement

| (Y bn)                                    | F9/24        | F9/25        | F9/26e       | F9/27e       | F9/28e       |
|-------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Cash from Operations</b>           | <b>38.1</b>  | <b>37.8</b>  | <b>37.1</b>  | <b>48.2</b>  | <b>48.5</b>  |
| Net Income                                | 25.1         | 14.2         | 18.0         | 19.7         | 23.4         |
| Depreciation and Amortization             | 16.7         | 18.9         | 23.5         | 27.7         | 26.7         |
| Changes in Working Capital                | -3.9         | 3.7          | -5.4         | -0.2         | -2.6         |
| Other-net                                 | 0.0          | 1.0          | 1.0          | 1.0          | 1.0          |
| <b>Net Cash from Investing Activities</b> | <b>-73.7</b> | <b>-42.2</b> | <b>-42.9</b> | <b>-16.0</b> | <b>-16.0</b> |
| Purchase of PP&E                          | -28.1        | -35.8        | -40.2        | -15.0        | -15.0        |
| Sale/Purchase of Investments              | -0.5         | -4.1         | 0.0          | 0.0          | 0.0          |
| Other-net                                 | -45.1        | -2.2         | -2.8         | -1.0         | -1.0         |
| <b>Free Cash Flow</b>                     | <b>-35.6</b> | <b>-4.4</b>  | <b>-5.8</b>  | <b>32.2</b>  | <b>32.5</b>  |
| <b>Net Cash from Financing Activities</b> | <b>12.6</b>  | <b>-2.8</b>  | <b>-31.7</b> | <b>-27.7</b> | <b>-28.4</b> |
| Change in Interest-bearing Debt           | 24.5         | 29.0         | 0.0          | 0.0          | 0.0          |
| Change in Treasury Stock                  | 0.0          | -20.0        | -20.0        | -15.0        | -15.0        |
| Payment of Cash Dividends                 | -11.8        | -11.6        | -11.7        | -12.7        | -13.4        |
| Other-net                                 | -0.2         | -0.3         | 0.0          | 0.0          | 0.0          |
| Net Effect of Exchange Rate Changes       | 1.2          | 0.7          | 0.0          | 0.0          | 0.0          |
| <b>Net Change in Cash</b>                 | <b>-21.8</b> | <b>-6.5</b>  | <b>-37.5</b> | <b>4.5</b>   | <b>4.1</b>   |
| <b>Cash at End of Period</b>              | <b>92.6</b>  | <b>86.0</b>  | <b>48.6</b>  | <b>53.1</b>  | <b>57.1</b>  |

### Segment Information

| (Y bn)                              | F9/24        | F9/25        | F9/26e       | F9/27e       | F9/28e       |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>                    | <b>204.0</b> | <b>212.1</b> | <b>232.8</b> | <b>245.8</b> | <b>265.7</b> |
| Electron Tube                       | 78.5         | 71.9         | 78.8         | 81.9         | 86.8         |
| Opto-semiconductor                  | 78.9         | 79.5         | 89.9         | 98.0         | 104.8        |
| Imaging and Measurement Instruments | 32.8         | 32.7         | 37.2         | 39.5         | 42.6         |
| Others                              | 3.0          | 5.7          | 4.7          | 2.5          | 4.8          |
| <b>YoY % Change</b>                 | <b>-8%</b>   | <b>4%</b>    | <b>10%</b>   | <b>6%</b>    | <b>8%</b>    |
| Electron Tube                       | -6%          | -8%          | 10%          | 4%           | 6%           |
| Opto-semiconductor                  | -21%         | 1%           | 13%          | 9%           | 7%           |
| Imaging and Measurement Instruments | 3%           | 0%           | 14%          | 6%           | 8%           |
| Others                              | 180%         | 89%          | -17%         | -47%         | 93%          |

### Operating Profit by Segment

|                                     |             |             |             |             |             |
|-------------------------------------|-------------|-------------|-------------|-------------|-------------|
| <b>Total Operating Profit</b>       | <b>32.1</b> | <b>16.2</b> | <b>22.5</b> | <b>25.4</b> | <b>30.7</b> |
| Electron Tube                       | 23.8        | 19.0        | 22.5        | 24.6        | 26.6        |
| Opto-semiconductor                  | 17.9        | 12.6        | 15.5        | 14.6        | 17.7        |
| Imaging and Measurement Instruments | 10.4        | 9.7         | 12.1        | 13.1        | 14.2        |
| Others                              | 0.7         | 0.9         | 0.0         | 0.3         | 0.3         |
| Adjustments                         | -23.3       | -21.6       | -21.4       | -22.0       | -23.8       |
| <b>Operating Margin</b>             | <b>16%</b>  | <b>8%</b>   | <b>10%</b>  | <b>10%</b>  | <b>12%</b>  |
| Electron Tube                       | 30%         | 26%         | 29%         | 30%         | 31%         |
| Opto-semiconductor                  | 23%         | 16%         | 17%         | 15%         | 17%         |
| Imaging and Measurement Instruments | 32%         | 30%         | 32%         | 33%         | 33%         |
| Others                              | 24%         | 15%         | 0%          | 10%         | 7%          |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Kyocera: Key Financial Data

## Exhibit 67:

| Income Statement                       |                |                |                |                |                |
|----------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                                 | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Sales</b>                           | <b>2,014.5</b> | <b>2,070.2</b> | <b>1,951.5</b> | <b>1,977.2</b> | <b>2,102.9</b> |
| COGS                                   | 1,455.3        | 1,462.6        | 1,316.5        | 1,319.6        | 1,452.6        |
| <b>Gross Profit</b>                    | <b>559.2</b>   | <b>607.6</b>   | <b>635.0</b>   | <b>657.6</b>   | <b>650.3</b>   |
| SG&A                                   | 531.9          | 489.5          | 502.4          | 509.1          | 471.5          |
| <b>Operating Profit</b>                | <b>27.3</b>    | <b>118.1</b>   | <b>132.6</b>   | <b>148.5</b>   | <b>178.8</b>   |
| Non-operating Income/Loss              | 36.3           | 50.9           | 42.5           | 29.0           | 57.6           |
| <b>Pretax Profit</b>                   | <b>63.6</b>    | <b>169.0</b>   | <b>175.1</b>   | <b>177.5</b>   | <b>236.4</b>   |
| Income Tax                             | 36.2           | 24.1           | 35.0           | 35.5           | 61.5           |
| (Effective Tax Rate)                   | 1%             | 0%             | 0%             | 0%             | 0%             |
| Minority Interest                      | 3.4            | 4.0            | 2.0            | 2.0            | 3.6            |
| <b>Net Profit</b>                      | <b>24.1</b>    | <b>141.0</b>   | <b>138.1</b>   | <b>140.0</b>   | <b>171.3</b>   |
| Capex                                  | 161.7          | 149.1          | 225.0          | 160.0          | 160.0          |
| Depreciation and Amortization          | 111.7          | 110.9          | 120.0          | 125.0          | 120.0          |
| R&D                                    | 104.3          | 115.7          | 120.0          | 125.0          | 125.0          |
| EBITDA                                 | 139.0          | 229.1          | 252.6          | 273.5          | 298.8          |
| <b>ROE</b>                             | <b>0.7%</b>    | <b>4.3%</b>    | <b>4.2%</b>    | <b>4.6%</b>    | <b>5.8%</b>    |
| Average Share Outstanding (Diluted)    | 1,412.4        | 1,372.6        | 1,292.2        | 1,196.0        | 1,128.5        |
| EPS (Diluted, Yen)                     | 17.1           | 102.7          | 106.8          | 117.1          | 151.8          |
| BPS (Yen)                              | 2,195.0        | 2,203.5        | 2,254.0        | 2,284.4        | 2,349.5        |
| DPS (Yen)                              | 50.0           | 52.0           | 65.0           | 70.0           | 70.0           |
| USD/JPY: Average Exchange Rate         | 151.8          | 150.8          | 155.0          | 155.0          | 155.0          |
| EUR/JPY: Average Exchange Rate         | 163.8          | 174.8          | 180.0          | 180.0          | 180.0          |
| <b>YoY % Change</b>                    |                |                |                |                |                |
| Sales                                  | 1%             | 3%             | -6%            | 1%             | 6%             |
| Operating Profit                       | -71%           | 333%           | 12%            | 12%            | 20%            |
| Net Profit                             | -76%           | 485%           | -2%            | 1%             | 22%            |
| <b>As % of Sales</b>                   |                |                |                |                |                |
| Gross Profit                           | 27.8%          | 29.4%          | 32.5%          | 33.3%          | 30.9%          |
| Operating Profit                       | 1.4%           | 5.7%           | 6.8%           | 7.5%           | 8.5%           |
| Net Profit                             | 1.2%           | 6.8%           | 7.1%           | 7.1%           | 8.1%           |
| Capex                                  | 8.0%           | 7.2%           | 11.5%          | 8.1%           | 7.6%           |
| Depreciation and Amortization          | 5.5%           | 5.4%           | 6.1%           | 6.3%           | 5.7%           |
| <b>Balance Sheet</b>                   |                |                |                |                |                |
| (Y bn)                                 | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                    | <b>4,511.3</b> | <b>4,646.3</b> | <b>4,445.3</b> | <b>4,353.2</b> | <b>4,460.4</b> |
| <b>Total Current Assets</b>            | <b>1,435.7</b> | <b>1,501.2</b> | <b>1,195.2</b> | <b>1,068.0</b> | <b>1,135.3</b> |
| Cash and Cash Equivalents              | 444.7          | 455.9          | 209.9          | 87.5           | 92.5           |
| Marketable Securities                  | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                    | 411.2          | 416.6          | 367.1          | 371.9          | 395.6          |
| Inventory                              | 521.8          | 522.0          | 511.5          | 501.9          | 540.5          |
| Other Current Assets                   | 58.0           | 106.7          | 106.7          | 106.7          | 106.7          |
| <b>Total Long Term Assets</b>          | <b>3,075.6</b> | <b>3,145.2</b> | <b>3,250.2</b> | <b>3,285.2</b> | <b>3,325.2</b> |
| Net PP&E                               | 651.9          | 685.5          | 790.5          | 825.5          | 865.5          |
| Investments and Advances               | 1,770.3        | 1,804.0        | 1,804.0        | 1,804.0        | 1,804.0        |
| Goodwill                               | 282.2          | 274.0          | 274.0          | 274.0          | 274.0          |
| Intangible Assets                      | 142.1          | 121.2          | 121.2          | 121.2          | 121.2          |
| Other Assets                           | 229.1          | 260.5          | 260.5          | 260.5          | 260.5          |
| <b>Total Current Liabilities</b>       | <b>491.7</b>   | <b>525.0</b>   | <b>514.0</b>   | <b>514.5</b>   | <b>533.0</b>   |
| ST Debt and Current Portion of LT Debt | 45.8           | 56.1           | 56.1           | 56.1           | 56.1           |
| Accounts Payable                       | 207.0          | 194.8          | 183.8          | 184.2          | 202.8          |
| Other Current Liabilities              | 238.8          | 274.2          | 274.2          | 274.2          | 274.2          |
| <b>Total Long Term Liabilities</b>     | <b>776.4</b>   | <b>753.9</b>   | <b>753.9</b>   | <b>853.9</b>   | <b>953.9</b>   |
| Long Term Debt                         | 202.6          | 189.0          | 189.0          | 289.0          | 389.0          |
| Other Long Term Liabilities            | 573.8          | 565.0          | 565.0          | 565.0          | 565.0          |
| Minority Interests                     | 25.4           | 27.9           | 25.9           | 23.9           | 20.3           |
| <b>Total Equity</b>                    | <b>3,243.2</b> | <b>3,367.4</b> | <b>3,151.4</b> | <b>2,960.8</b> | <b>2,953.1</b> |
| <b>Net Debt (excl. KDDI Shares)</b>    | <b>-385.3</b>  | <b>-483.8</b>  | <b>-307.2</b>  | <b>-334.9</b>  | <b>-489.9</b>  |

| Cash Flow Statement                       |                |                |                |                |                |
|-------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                                    | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Cash from Operations</b>           | <b>237.9</b>   | <b>226.2</b>   | <b>305.1</b>   | <b>268.2</b>   | <b>244.0</b>   |
| Net Income                                | 24.1           | 141.0          | 138.1          | 140.0          | 171.3          |
| Depreciation and Amortization             | 160.9          | 158.2          | 120.0          | 125.0          | 120.0          |
| Changes in Working Capital:               | 26.0           | -41.4          | 49.0           | 5.2            | -43.7          |
| Other-net                                 | 26.8           | -31.5          | -2.0           | -2.0           | -3.6           |
| <b>Net Cash from Financing Activities</b> | <b>-150.5</b>  | <b>74.5</b>    | <b>-225.0</b>  | <b>-160.0</b>  | <b>-160.0</b>  |
| Purchase of PP&E                          | -154.7         | -159.2         | -225.0         | -160.0         | -160.0         |
| Sale/Purchase of Investments              | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Other-net                                 | 4.2            | 233.7          | 0.0            | 0.0            | 0.0            |
| <b>Free cash flow</b>                     | <b>87.4</b>    | <b>300.8</b>   | <b>80.1</b>    | <b>108.2</b>   | <b>84.0</b>    |
| <b>Net Cash from Financing Activities</b> | <b>-64.9</b>   | <b>-312.0</b>  | <b>-326.1</b>  | <b>-230.6</b>  | <b>-79.0</b>   |
| Change in Interest-bearing Debt           | 38.0           | -6.2           | 0.0            | 100.0          | 100.0          |
| Change in Treasury Stock                  | 0.0            | -200.0         | -250.0         | -250.0         | -100.0         |
| Payment of Cash Dividends                 | -73.3          | -72.2          | -76.1          | -80.6          | -79.0          |
| Other-net                                 | -29.6          | -33.5          | 0.0            | 0.0            | 0.0            |
| Net Effect of Exchange Rate Changes       | -2.5           | 22.3           | 0.0            | 0.0            | 0.0            |
| <b>Net Change in Cash</b>                 | <b>20.0</b>    | <b>11.1</b>    | <b>-246.0</b>  | <b>-122.4</b>  | <b>5.0</b>     |
| <b>Cash at End of Period</b>              | <b>444.7</b>   | <b>455.9</b>   | <b>209.9</b>   | <b>87.5</b>    | <b>92.5</b>    |
| <b>Segment Information</b>                |                |                |                |                |                |
| (Y bn)                                    | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                          | <b>2,014.5</b> | <b>2,070.2</b> | <b>1,951.5</b> | <b>1,977.2</b> | <b>2,102.9</b> |
| <b>Core Components Business</b>           | <b>567.1</b>   | <b>653.4</b>   | <b>654.0</b>   | <b>688.7</b>   | <b>736.9</b>   |
| Industrial & Automotive Components Unit   | 233.1          | 250.1          | 246.0          | 258.3          | 276.4          |
| Semiconductor Components Unit             | 300.8          | 379.4          | 380.0          | 410.4          | 439.1          |
| Others                                    | 33.3           | 23.9           | 28.0           | 20.0           | 21.4           |
| <b>Electronic Components Business</b>     | <b>354.6</b>   | <b>363.5</b>   | <b>375.0</b>   | <b>397.5</b>   | <b>422.5</b>   |
| <b>Solutions Business</b>                 | <b>1,111.0</b> | <b>1,070.9</b> | <b>932.5</b>   | <b>901.0</b>   | <b>954.2</b>   |
| Industrial Tools Unit                     | 305.9          | 285.9          | 170.0          | 174.3          | 186.4          |
| Document Solutions Unit(Information Equ   | 480.0          | 478.5          | 480.0          | 492.0          | 516.6          |
| Communications Unit                       | 225.5          | 219.2          | 190.0          | 194.8          | 208.4          |
| Others                                    | 99.7           | 87.3           | 92.5           | 40.0           | 42.8           |
| <b>Others</b>                             | <b>17.7</b>    | <b>17.7</b>    | <b>17.7</b>    | <b>17.7</b>    | <b>17.7</b>    |
| <b>Elimination</b>                        | <b>-35.4</b>   | <b>-31.8</b>   | <b>-26.0</b>   | <b>-26.0</b>   | <b>-27.8</b>   |
| <b>Net OP</b>                             | <b>24.0</b>    | <b>133.2</b>   | <b>164.6</b>   | <b>180.5</b>   | <b>187.8</b>   |
| <b>Core Components Business</b>           | <b>-1.1</b>    | <b>63.1</b>    | <b>82.6</b>    | <b>90.5</b>    | <b>104.0</b>   |
| Industrial & Automotive Components Unit   | 25.0           | 18.7           | 30.0           | 35.0           | 40.2           |
| Semiconductor Components Unit             | -27.8          | 46.9           | 53.0           | 55.0           | 63.2           |
| Others                                    | 1.7            | -2.6           | -0.4           | 0.5            | 0.5            |
| <b>Electronic Components Business</b>     | <b>-0.8</b>    | <b>7.3</b>     | <b>22.0</b>    | <b>25.0</b>    | <b>30.6</b>    |
| Solutions Business                        | 72.9           | 103.9          | 86.0           | 92.0           | 96.2           |
| Others                                    | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| <b>Segment Margin</b>                     | <b>1.2%</b>    | <b>6.4%</b>    | <b>8.4%</b>    | <b>9.1%</b>    | <b>8.9%</b>    |
| <b>Core Components Business</b>           | <b>-0.2%</b>   | <b>9.7%</b>    | <b>12.6%</b>   | <b>13.1%</b>   | <b>14.1%</b>   |
| Industrial & Automotive Components Unit   | 10.7%          | 7.5%           | 12.2%          | 13.6%          | 14.6%          |
| Semiconductor Components Unit             | -9.3%          | 12.4%          | 13.9%          | 13.4%          | 14.4%          |
| <b>Electronic Components Business</b>     | <b>-0.2%</b>   | <b>2.0%</b>    | <b>5.9%</b>    | <b>6.3%</b>    | <b>7.2%</b>    |
| <b>Solutions Business</b>                 | <b>6.6%</b>    | <b>9.7%</b>    | <b>9.2%</b>    | <b>10.2%</b>   | <b>10.1%</b>   |

Source: Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Taiyo Yuden: Key Financial Data

## Exhibit 68:

### Income Statement

| (Y bn)                              | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>                    | <b>341.4</b> | <b>355.3</b> | <b>411.3</b> | <b>475.1</b> | <b>523.8</b> |
| COGS                                | 269.9        | 273.4        | 301.0        | 338.0        | 375.2        |
| <b>Gross Profit</b>                 | <b>71.6</b>  | <b>81.9</b>  | <b>110.2</b> | <b>137.2</b> | <b>148.6</b> |
| SG&A Expenses                       | 61.1         | 61.9         | 65.0         | 66.9         | 68.4         |
| <b>Operating Profit</b>             | <b>10.5</b>  | <b>20.0</b>  | <b>45.2</b>  | <b>70.2</b>  | <b>80.2</b>  |
| Non-operating Income/Loss           | 0.1          | 4.1          | -1.2         | -1.2         | -1.2         |
| <b>Recurring Profit</b>             | <b>10.5</b>  | <b>24.1</b>  | <b>44.0</b>  | <b>69.0</b>  | <b>79.0</b>  |
| Extraordinary Income/Loss           | -2.2         | -4.1         | 0.0          | -2.0         | -2.0         |
| <b>Pretax Profit</b>                | <b>8.4</b>   | <b>20.1</b>  | <b>44.0</b>  | <b>67.0</b>  | <b>77.0</b>  |
| Income Tax                          | 6.0          | 5.3          | 13.2         | 20.1         | 23.1         |
| (Effective Tax Rate)                | 72%          | 26%          | 30%          | 30%          | 30%          |
| Minority Interest                   | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Net Profit</b>                   | <b>2.3</b>   | <b>14.8</b>  | <b>30.8</b>  | <b>46.9</b>  | <b>53.9</b>  |
| Capex                               | 64.2         | 40.4         | 40.0         | 60.0         | 60.0         |
| Depreciation and Amortization       | 46.3         | 49.1         | 48.0         | 52.0         | 52.0         |
| R&D Expenses                        | 15.0         | 14.5         | 15.0         | 16.0         | 17.0         |
| EBITDA                              | 56.7         | 69.1         | 93.2         | 122.2        | 132.2        |
| <b>ROE</b>                          | <b>0.7%</b>  | <b>4.5%</b>  | <b>8.7%</b>  | <b>12.3%</b> | <b>12.9%</b> |
| Average Share Outstanding (Diluted) | 144.3        | 137.7        | 137.7        | 137.7        | 137.7        |
| EPS (Diluted, Yen)                  | 16.1         | 107.6        | 224.0        | 340.9        | 391.7        |
| BPS (Yen)                           | 2,206.4      | 2,501.8      | 2,639.5      | 2,885.0      | 3,172.3      |
| DPS (Yen)                           | 90.0         | 90.0         | 100.0        | 110.0        | 120.0        |
| USD/JPY: Average Exchange Rate      | 152.6        | 150.0        | 155.0        | 155.0        | 155.0        |
| <b>YoY % Change</b>                 |              |              |              |              |              |
| Net Sales                           | 6%           | 4%           | 16%          | 16%          | 10%          |
| Operating Profit                    | 15%          | 91%          | 126%         | 55%          | 14%          |
| Net Profit                          | -72%         | 536%         | 108%         | 52%          | 15%          |
| <b>As % of Sales</b>                |              |              |              |              |              |
| Gross Profit                        | 21.0%        | 23.1%        | 26.8%        | 28.9%        | 28.4%        |
| Operating Profit                    | 3.1%         | 5.6%         | 11.0%        | 14.8%        | 15.3%        |
| Net Profit                          | 0.7%         | 4.2%         | 7.5%         | 9.9%         | 10.3%        |
| Capex                               | 18.8%        | 11.4%        | 9.7%         | 12.6%        | 11.5%        |
| Depreciation and Amortization       | 13.5%        | 13.8%        | 11.7%        | 10.9%        | 9.9%         |

### Balance Sheet

| (Y bn)                                 | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
|----------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Total Assets</b>                    | <b>573.2</b> | <b>615.5</b> | <b>638.3</b> | <b>675.8</b> | <b>719.1</b> |
| <b>Total Current Assets</b>            | <b>279.3</b> | <b>318.3</b> | <b>349.1</b> | <b>378.6</b> | <b>413.9</b> |
| Cash and Cash Equivalents              | 78.2         | 100.1        | 133.8        | 140.5        | 157.6        |
| Marketable Securities                  | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Account Receivables                    | 80.5         | 86.4         | 94.8         | 108.2        | 117.8        |
| Inventory                              | 110.0        | 125.8        | 114.5        | 123.9        | 132.4        |
| Other Current Assets                   | 10.5         | 6.0          | 6.0          | 6.0          | 6.0          |
| <b>Total Long Term Assets</b>          | <b>293.9</b> | <b>297.2</b> | <b>289.2</b> | <b>297.2</b> | <b>305.2</b> |
| Net PP&E                               | 286.8        | 290.0        | 282.0        | 290.0        | 298.0        |
| Investments in Securities              | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Other Assets                           | 7.0          | 7.3          | 7.3          | 7.3          | 7.3          |
| <b>Total Current Liabilities</b>       | <b>79.6</b>  | <b>93.8</b>  | <b>97.6</b>  | <b>101.3</b> | <b>105.0</b> |
| ST Debt and Current Portion of LT Debt | 19.7         | 35.2         | 35.2         | 35.2         | 35.2         |
| Accounts Payable                       | 27.2         | 26.5         | 30.3         | 34.0         | 37.8         |
| Other Current Liabilities              | 32.8         | 32.1         | 32.1         | 32.1         | 32.1         |
| <b>Total Long Term Liabilities</b>     | <b>174.4</b> | <b>177.4</b> | <b>177.4</b> | <b>177.4</b> | <b>177.4</b> |
| Long Term Debt                         | 144.7        | 136.0        | 136.0        | 136.0        | 136.0        |
| Other Long Term Liabilities            | 29.7         | 41.4         | 41.4         | 41.4         | 41.4         |
| <b>Net Assets</b>                      | <b>319.2</b> | <b>344.4</b> | <b>363.4</b> | <b>397.2</b> | <b>436.7</b> |
| Minority Interests                     | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Stock Acquisition Rights               | 0.7          | 0.0          | 0.0          | 0.0          | 0.0          |
| <b>Net Debt</b>                        | <b>86.2</b>  | <b>71.1</b>  | <b>37.4</b>  | <b>30.7</b>  | <b>13.6</b>  |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

### Cash Flow Statement

| (Y bn)                                    | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
|-------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Cash from Operations</b>           | <b>33.9</b>  | <b>58.1</b>  | <b>85.6</b>  | <b>79.8</b>  | <b>91.5</b>  |
| Net Income                                | 2.3          | 14.8         | 30.8         | 46.9         | 53.9         |
| Depreciation and Amortization             | 46.3         | 49.1         | 48.0         | 52.0         | 52.0         |
| Changes in Working Capital                | -13.5        | -9.0         | 6.8          | -19.1        | -14.4        |
| Other-net                                 | -1.2         | 3.2          | 0.0          | 0.0          | 0.0          |
| <b>Net Cash from Investing Activities</b> | <b>-63.5</b> | <b>-25.7</b> | <b>-40.0</b> | <b>-60.0</b> | <b>-60.0</b> |
| Purchase of PP&E                          | -62.6        | -40.4        | -40.0        | -60.0        | -60.0        |
| Sale/Purchase of Investments              | 1.3          | 0.0          | 0.0          | 0.0          | 0.0          |
| Other-net                                 | -2.2         | 14.7         | 0.0          | 0.0          | 0.0          |
| <b>Free Cash Flow</b>                     | <b>-29.6</b> | <b>32.4</b>  | <b>45.6</b>  | <b>19.8</b>  | <b>31.5</b>  |
| <b>Net Cash from Financing Activities</b> | <b>3.0</b>   | <b>-6.8</b>  | <b>-11.9</b> | <b>-13.1</b> | <b>-14.4</b> |
| Change in Interest-bearing Debt           | 15.7         | 6.5          | 0.0          | 0.0          | 0.0          |
| Change in Treasury Stock                  | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Payment of Cash Dividends                 | -11.2        | -11.2        | -11.9        | -13.1        | -14.4        |
| Other-net                                 | -1.5         | -2.1         | 0.0          | 0.0          | 0.0          |
| Net Effect of Exchange Rate Changes       | -0.9         | 4.9          | 0.0          | 0.0          | 0.0          |
| <b>Net Change in Cash</b>                 | <b>-27.4</b> | <b>30.5</b>  | <b>33.7</b>  | <b>6.7</b>   | <b>17.2</b>  |
| <b>Cash at End of Period</b>              | <b>67.5</b>  | <b>98.1</b>  | <b>131.8</b> | <b>138.5</b> | <b>155.6</b> |

### Segment Information

| (Y bn)                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
|--------------------------------|--------------|--------------|--------------|--------------|--------------|
| <b>Net Sales</b>               | <b>341.4</b> | <b>355.3</b> | <b>411.3</b> | <b>475.1</b> | <b>523.8</b> |
| Capacitors                     | 232.1        | 251.8        | 304.8        | 362.7        | 406.2        |
| Elna                           | 0.0          | 0.0          | 0.0          | 0.0          | 0.0          |
| Ferrite and Applied Products   | 61.5         | 64.3         | 68.2         | 73.0         | 78.1         |
| Complex Devices                | 23.0         | 14.8         | 12.3         | 14.5         | 14.5         |
| Others                         | 24.8         | 24.5         | 26.0         | 25.0         | 25.0         |
| <b>Total Operating Profit</b>  | <b>10.5</b>  | <b>20.0</b>  | <b>45.2</b>  | <b>70.2</b>  | <b>80.2</b>  |
| <b>Operating Profit Margin</b> | <b>3.1%</b>  | <b>5.6%</b>  | <b>11.0%</b> | <b>14.8%</b> | <b>15.3%</b> |

# Murata Mfg: Key Financial Data

## Exhibit 69:

| Income Statement                     |                |                |                |                |                |
|--------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                               | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                     | <b>1,743.4</b> | <b>1,830.9</b> | <b>2,044.2</b> | <b>2,449.7</b> | <b>2,830.5</b> |
| Cost of Goods Sold                   | 1,025.7        | 1,056.0        | 1,129.7        | 1,316.9        | 1,543.3        |
| <b>Gross Profit</b>                  | <b>717.7</b>   | <b>774.8</b>   | <b>914.5</b>   | <b>1,132.8</b> | <b>1,287.2</b> |
| SG&A Expenses                        | 438.0          | 493.0          | 482.6          | 508.9          | 532.9          |
| <b>Operating Profit</b>              | <b>279.7</b>   | <b>281.8</b>   | <b>431.9</b>   | <b>624.0</b>   | <b>754.3</b>   |
| Non-Operating Income/Loss            | 24.7           | 26.8           | 11.0           | 12.0           | 12.0           |
| <b>Pretax profit</b>                 | <b>304.4</b>   | <b>308.6</b>   | <b>442.9</b>   | <b>636.0</b>   | <b>766.3</b>   |
| Income Tax                           | 71.4           | 74.9           | 108.5          | 155.8          | 187.7          |
| (Effective Tax Rate)                 | 23%            | 24%            | 25%            | 25%            | 25%            |
| Minority Interest                    | -0.8           | -0.1           | 0.0            | 0.0            | 0.0            |
| <b>Net Profit</b>                    | <b>233.8</b>   | <b>233.8</b>   | <b>334.4</b>   | <b>480.2</b>   | <b>578.5</b>   |
| Capex                                | 180.5          | 247.8          | 250.0          | 250.0          | 250.0          |
| Depreciation and Amortization        | 173.3          | 178.2          | 178.0          | 190.0          | 200.0          |
| R&D                                  | 149.3          | 158.9          | 167.0          | 173.0          | 178.0          |
| EBITDA                               | 453.0          | 460.0          | 609.9          | 814.0          | 954.3          |
| <b>ROE</b>                           | <b>9.1%</b>    | <b>8.8%</b>    | <b>12.2%</b>   | <b>16.7%</b>   | <b>18.5%</b>   |
| Average Share Outstanding (Diluted)  | 1,869.3        | 1,831.4        | 1,801.9        | 1,765.7        | 1,738.5        |
| EPS (Diluted, Yen)                   | 125.08         | 127.65         | 185.56         | 271.93         | 332.78         |
| BPS (Yen)                            | 1,380.1        | 1,484.0        | 1,540.9        | 1,689.0        | 1,880.3        |
| DPS (Yen)                            | 57.0           | 65.0           | 70.0           | 75.0           | 82.0           |
| USD/JPY: Average Exchange Rate       | 152.6          | 150.8          | 155.0          | 155.0          | 155.0          |
| <b>YoY % Change</b>                  |                |                |                |                |                |
| Net Sales                            | 6%             | 5%             | 12%            | 20%            | 16%            |
| Operating Profit                     | 30%            | 1%             | 53%            | 44%            | 21%            |
| Net Profit                           | 29%            | 0%             | 43%            | 44%            | 20%            |
| <b>As % of Sales</b>                 |                |                |                |                |                |
| Gross Profit                         | 41.2%          | 42.3%          | 44.7%          | 46.2%          | 45.5%          |
| Operating Profit                     | 16.0%          | 15.4%          | 21.1%          | 25.5%          | 26.6%          |
| Net Profit                           | 13.4%          | 12.8%          | 16.4%          | 19.6%          | 20.4%          |
| Capex                                | 10.4%          | 13.5%          | 12.2%          | 10.2%          | 8.8%           |
| Depreciation and Amortization        | 9.9%           | 9.7%           | 8.7%           | 7.8%           | 7.1%           |
| <b>Balance Sheet</b>                 |                |                |                |                |                |
| (Y bn)                               | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Total Assets</b>                  | <b>3,028.2</b> | <b>3,199.1</b> | <b>3,262.6</b> | <b>3,482.3</b> | <b>3,786.1</b> |
| <b>Total Current Assets</b>          | <b>1,497.9</b> | <b>1,581.4</b> | <b>1,572.9</b> | <b>1,732.6</b> | <b>1,986.3</b> |
| Cash and Cash Equivalents            | 625.1          | 653.7          | 586.1          | 601.5          | 702.7          |
| Marketable Securities                | 0.0            | 0.0            | 0.0            | 0.0            | 0.0            |
| Account Receivables                  | 294.4          | 328.2          | 366.4          | 439.1          | 507.3          |
| Inventory                            | 482.8          | 520.5          | 541.3          | 612.9          | 697.2          |
| Other Current Assets                 | 95.5           | 79.1           | 79.1           | 79.1           | 79.1           |
| <b>Total Long Term Assets</b>        | <b>1,530.3</b> | <b>1,617.7</b> | <b>1,689.7</b> | <b>1,749.7</b> | <b>1,799.7</b> |
| Net PP&E                             | 1,183.7        | 1,300.9        | 1,372.9        | 1,432.9        | 1,482.9        |
| Investments in Securities            | 40.3           | 50.4           | 50.4           | 50.4           | 50.4           |
| Other assets                         | 306.3          | 266.4          | 266.4          | 266.4          | 266.4          |
| <b>Total Current Liabilities</b>     | <b>276.5</b>   | <b>316.5</b>   | <b>322.1</b>   | <b>336.2</b>   | <b>353.3</b>   |
| ST Debt & Current Portion of LT Debt | 0.8            | 1.7            | 1.7            | 1.7            | 1.7            |
| Accounts Payable                     | 69.6           | 79.8           | 85.4           | 99.5           | 116.6          |
| Other Current Liabilities            | 206.1          | 234.9          | 234.9          | 234.9          | 234.9          |
| <b>Total Long Term Liabilities</b>   | <b>171.7</b>   | <b>164.8</b>   | <b>164.8</b>   | <b>164.8</b>   | <b>164.8</b>   |
| Long Term Debt                       | 1.7            | 1.5            | 1.5            | 1.5            | 1.5            |
| Other Long Term Liabilities          | 170.0          | 163.3          | 163.3          | 163.3          | 163.3          |
| Minority Interests                   | -0.8           | -0.9           | -0.9           | -0.9           | -0.9           |
| <b>Total Equity</b>                  | <b>2,580.0</b> | <b>2,717.8</b> | <b>2,776.7</b> | <b>2,982.3</b> | <b>3,268.9</b> |
| <b>Net Debt</b>                      | <b>-663.0</b>  | <b>-700.8</b>  | <b>-633.2</b>  | <b>-648.7</b>  | <b>-749.9</b>  |

| Cash Flow Statement                          |                |                |                |                |                |
|----------------------------------------------|----------------|----------------|----------------|----------------|----------------|
| (Y bn)                                       | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Cash from Operations</b>              | <b>451.9</b>   | <b>425.2</b>   | <b>458.9</b>   | <b>540.0</b>   | <b>643.1</b>   |
| Net Income                                   | 233.8          | 233.8          | 334.4          | 480.2          | 578.5          |
| Depreciation and Amortization                | 173.3          | 178.2          | 178.0          | 190.0          | 200.0          |
| Changes in Working Capital:                  | 24.4           | -18.0          | -53.5          | -130.2         | -135.4         |
| Other-net                                    | 20.3           | 31.3           | 0.0            | 0.0            | 0.0            |
| <b>Net Cash from Investing Activities</b>    | <b>-208.1</b>  | <b>-193.8</b>  | <b>-250.0</b>  | <b>-250.0</b>  | <b>-250.0</b>  |
| Purchase of PP&E                             | -179.4         | -243.0         | -250.0         | -250.0         | -250.0         |
| Sale/Purchase of Investments                 | 3.4            | 2.2            | 0.0            | 0.0            | 0.0            |
| Other-net                                    | -32.1          | 46.9           | 0.0            | 0.0            | 0.0            |
| <b>Free cash flow</b>                        | <b>243.8</b>   | <b>231.4</b>   | <b>208.9</b>   | <b>290.0</b>   | <b>393.1</b>   |
| <b>Net Cash from Financing Activities</b>    | <b>-242.7</b>  | <b>-221.8</b>  | <b>-276.5</b>  | <b>-274.6</b>  | <b>-291.9</b>  |
| Change in Interest-bearing Debt              | -50.4          | 0.8            | 0.0            | 0.0            | 0.0            |
| Change in Treasury Stock                     | -80.0          | -100.0         | -150.0         | -150.0         | -150.0         |
| Payment of Cash Dividends                    | -101.6         | -110.7         | -126.5         | -124.6         | -141.9         |
| Other-net                                    | -10.7          | -11.9          | 0.0            | 0.0            | 0.0            |
| Net Effect of Exchange Rate Changes          | 2.0            | 19.0           | 0.0            | 0.0            | 0.0            |
| <b>Net Change in Cash</b>                    | <b>3.1</b>     | <b>28.6</b>    | <b>-67.6</b>   | <b>15.4</b>    | <b>101.2</b>   |
| <b>Segment Information</b>                   |                |                |                |                |                |
| (Y bn)                                       | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales</b>                             | <b>1,793.3</b> | <b>1,830.9</b> | <b>2,044.2</b> | <b>2,449.7</b> | <b>2,830.5</b> |
| <b>Components Total</b>                      | <b>1,033.1</b> | <b>1,159.7</b> | <b>1,376.3</b> | <b>1,660.1</b> | <b>1,882.6</b> |
| Capacitors                                   | 831.8          | 936.4          | 1,143.9        | 1,418.4        | 1,631.2        |
| Inductors and EMI Filters                    | 201.3          | 223.3          | 232.4          | 241.7          | 251.4          |
| <b>Devices/Modules</b>                       | <b>697.2</b>   | <b>656.0</b>   | <b>652.9</b>   | <b>776.6</b>   | <b>934.9</b>   |
| High Frequency Devices/Communications Module | 443.6          | 394.8          | 377.9          | 453.5          | 544.2          |
| Battery/Power supply                         | 155.7          | 154.1          | 165.0          | 206.5          | 267.2          |
| Functional Devices                           | 97.8           | 107.1          | 110.0          | 116.6          | 123.6          |
| <b>Others</b>                                | <b>13.1</b>    | <b>15.2</b>    | <b>15.0</b>    | <b>13.0</b>    | <b>13.0</b>    |
| <b>Total Operating Profit</b>                | <b>279.7</b>   | <b>281.8</b>   | <b>431.9</b>   | <b>624.0</b>   | <b>754.3</b>   |
| Components Total                             | 275.2          | 315.1          | 426.4          | 579.2          | 685.2          |
| Devices/Modules                              | 10.0           | -26.5          | 11.5           | 50.7           | 75.0           |
| Others                                       | -5.4           | -6.8           | -6.0           | -6.0           | -6.0           |
| <b>Operating Profit Margin</b>               | <b>15.6%</b>   | <b>15.4%</b>   | <b>21.1%</b>   | <b>25.5%</b>   | <b>26.6%</b>   |
| Components Total                             | 26.6%          | 27.2%          | 31.0%          | 34.9%          | 36.4%          |
| Devices/Modules                              | 2.3%           | -6.7%          | 3.0%           | 11.2%          | 13.8%          |
| <b>Sales by Application</b>                  |                |                |                |                |                |
| (Y bn)                                       | F3/25          | F3/26          | F3/27e         | F3/28e         | F3/29e         |
| <b>Net Sales (excl. Non-product Sales)</b>   | <b>1,793.3</b> | <b>1,830.9</b> | <b>2,044.2</b> | <b>2,449.7</b> | <b>2,830.5</b> |
| AV                                           | 674.2          | 653.0          | -              | -              | -              |
| Communication                                | 453.1          | 474.5          | -              | -              | -              |
| Computer and Peripheral                      | 281.9          | 310.4          | -              | -              | -              |
| Automobile Electronics                       | 150.4          | 142.7          | -              | -              | -              |
| Home Appliances and Others                   | 183.7          | 250.3          | -              | -              | -              |
| <b>As % of Total</b>                         |                |                |                |                |                |
| AV                                           | 38.7%          | 36%            | -              | -              | -              |
| Communication                                | 26.0%          | 26%            | -              | -              | -              |
| Computer and Peripheral                      | 16.2%          | 17%            | -              | -              | -              |
| Automobile Electronics                       | 8.6%           | 8%             | -              | -              | -              |
| Home Appliances and Others                   | 10.5%          | 14%            | -              | -              | -              |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates Source: Company Data, Morgan Stanley Research

# Nichicon: Key Financial Data

## Exhibit 70:

| Income Statement                                 |              |              |              |              |              | Cashflow Statement                                    |              |             |             |              |              |
|--------------------------------------------------|--------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|-------------|-------------|--------------|--------------|
| (JPY bn)                                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26       | F3/27e      | F3/28e       | F3/29e       |
| <b>Sales</b>                                     | <b>175.8</b> | <b>169.7</b> | <b>187.0</b> | <b>197.2</b> | <b>207.1</b> | <b>Cash flow from operating activities</b>            | <b>18.3</b>  | <b>8.2</b>  | <b>8.4</b>  | <b>14.7</b>  | <b>17.8</b>  |
| Costs of Sales                                   | 147.4        | 139.7        | 151.4        | 156.9        | 162.6        | EBIT                                                  | 8.5          | 7.2         | 9.7         | 12.9         | 15.6         |
| <b>Gross Profit</b>                              | <b>28.3</b>  | <b>30.0</b>  | <b>35.6</b>  | <b>40.3</b>  | <b>44.5</b>  | Depreciation                                          | 8.5          | 8.1         | 8.5         | 9.0          | 9.9          |
| SG&A                                             | 23.1         | 23.5         | 26.2         | 27.9         | 29.4         | Changes in Receivables                                | 3.2          | -1.2        | -4.8        | -2.8         | -2.8         |
| <b>Operating Income</b>                          | <b>5.2</b>   | <b>6.5</b>   | <b>9.4</b>   | <b>12.4</b>  | <b>15.1</b>  | Change in inventory                                   | 3.7          | 1.8         | -2.8        | -0.8         | -0.7         |
| Non-operating income/expenses                    | 2.3          | 1.9          | 0.3          | 0.5          | 0.5          | Changes in Payables                                   | -2.2         | -6.0        | 2.4         | 1.4          | 1.4          |
| <b>Recurring Profit</b>                          | <b>7.5</b>   | <b>8.3</b>   | <b>9.7</b>   | <b>12.9</b>  | <b>15.6</b>  | Other                                                 | -3.3         | -1.7        | -4.5        | -4.9         | -5.6         |
| Extraordinary income                             | 1.0          | -1.1         | 0.0          | 0.0          | 0.0          | <b>Cash flow from investing activities</b>            | <b>-8.4</b>  | <b>-6.6</b> | <b>-8.6</b> | <b>-10.4</b> | <b>-11.0</b> |
| <b>Profit before income taxes</b>                | <b>8.5</b>   | <b>7.2</b>   | <b>9.7</b>   | <b>12.9</b>  | <b>15.6</b>  | Purchase of PP&E                                      | -10.7        | -7.1        | -10.0       | -11.8        | -12.4        |
| Income taxes                                     | 2.1          | 0.4          | 2.5          | 3.3          | 4.0          | Sales of PP&E                                         | 0.0          | 0.0         | 0.0         | 0.0          | 0.0          |
| (Effective tax rate)                             | 25%          | 5%           | 26%          | 26%          | 26%          | Other                                                 | 2.3          | 0.5         | 1.4         | 1.4          | 1.4          |
| Profit attributable to non-controlling interests | 0.5          | 0.5          | 0.5          | 0.5          | 0.5          | <b>Cash flow from financing activities</b>            | <b>-14.3</b> | <b>-3.8</b> | <b>-1.6</b> | <b>-2.8</b>  | <b>-3.8</b>  |
| <b>Net Profit</b>                                | <b>5.9</b>   | <b>6.3</b>   | <b>6.7</b>   | <b>9.1</b>   | <b>11.1</b>  | Net Change In Borrowings                              | 2.2          | -0.8        | 0.9         | -0.1         | -1.0         |
| Capex                                            | 11.1         | 7.6          | 10.0         | 11.8         | 12.4         | Purchase of treasury shares                           | -1.6         | 0.0         | 0.0         | 0.0          | 0.0          |
| Depreciation & amortization                      | 8.5          | 8.1          | 8.5          | 9.0          | 9.9          | Cash dividend paid                                    | -2.5         | -2.4        | -2.6        | -2.7         | -2.8         |
| R&D                                              | 7.2          | 7.3          | 7.5          | 7.9          | 8.3          | Other                                                 | -12.5        | -0.6        | 0.0         | 0.0          | 0.0          |
| EPS (JPY)                                        | 86.0         | 94.0         | 99.8         | 135.5        | 165.3        | Effect of exchange rate changes                       | 0.5          | 1.2         | 2.0         | 0.0          | 0.0          |
| USD/JPY                                          | 151.6        | 150.0        | 155.0        | 155.0        | 155.0        | Changes in cash and cash equivalents                  | -3.9         | -1.1        | 0.2         | 1.5          | 3.0          |
|                                                  |              |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>25.5</b>  | <b>24.4</b> | <b>24.7</b> | <b>26.2</b>  | <b>29.1</b>  |

| Balance Sheet                       |              |              |              |              |              | Sales by Product             |              |              |               |               |               |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|------------------------------|--------------|--------------|---------------|---------------|---------------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                     | F3/25        | F3/26        | F3/27e        | F3/28e        | F3/29e        |
| <b>Total assets</b>                 | <b>192.6</b> | <b>195.6</b> | <b>205.1</b> | <b>212.9</b> | <b>221.6</b> | <b>Capacitor</b>             | <b>99.2</b>  | <b>102.7</b> | <b>117.3</b>  | <b>124.6</b>  | <b>131.5</b>  |
| <b>Current assets</b>               | <b>108.3</b> | <b>107.7</b> | <b>115.3</b> | <b>120.4</b> | <b>126.8</b> | Aluminum capacitor           | 79.3         | 82.0         | 93.7          | 99.8          | 105.4         |
| Cash and cash equivalents           | 25.5         | 24.5         | 24.7         | 26.2         | 29.1         | Film capacitor               | 19.8         | 20.7         | 23.6          | 24.8          | 26.1          |
| Accounts receivable                 | 44.8         | 47.4         | 52.2         | 55.1         | 57.9         | <b>NECST</b>                 | <b>76.6</b>  | <b>67.0</b>  | <b>69.7</b>   | <b>72.6</b>   | <b>75.6</b>   |
| Inventories                         | 33.2         | 32.3         | 35.1         | 35.9         | 36.6         | Applied system and equipment | 7.3          | 7.2          | 8.6           | 9.0           | 9.5           |
| Other financial assets              | 4.7          | 3.5          | 3.3          | 3.3          | 3.3          | EV                           | 5.6          | 3.5          | 4.0           | 4.3           | 4.5           |
| <b>Fixed assets</b>                 | <b>84.3</b>  | <b>87.9</b>  | <b>89.9</b>  | <b>92.5</b>  | <b>94.8</b>  | Power source                 | 26.3         | 21.7         | 18.6          | 18.7          | 18.7          |
| Tangible fixed assets               | 53.1         | 52.5         | 54.7         | 57.5         | 60.0         | Storage                      | 35.6         | 32.4         | 36.3          | 38.5          | 40.8          |
| Intangible fixed assets             | 1.9          | 2.1          | 1.9          | 1.7          | 1.6          | Others                       | 1.9          | 2.2          | 2.2           | 2.2           | 2.2           |
| Other non-current assets            | 29.3         | 33.2         | 33.2         | 33.2         | 33.2         | (YoY)                        |              |              |               |               |               |
| <b>Current liabilities</b>          | <b>51.6</b>  | <b>47.2</b>  | <b>50.1</b>  | <b>51.4</b>  | <b>52.5</b>  | <b>Capacitor</b>             | <b>-7%</b>   | <b>4%</b>    | <b>14%</b>    | <b>6%</b>     | <b>6%</b>     |
| Short term borrowings               | 9.2          | 10.9         | 11.3         | 11.1         | 10.8         | Aluminum capacitor           | -9%          | 3%           | 14%           | 6%            | 6%            |
| Accounts payable                    | 28.5         | 23.3         | 25.7         | 27.1         | 28.4         | Film capacitor               | -19%         | 6%           | 24%           | 18%           | 15%           |
| Other current liabilities           | 13.9         | 13.0         | 13.1         | 13.2         | 13.3         | <b>NECST</b>                 | <b>2%</b>    | <b>-13%</b>  | <b>4%</b>     | <b>4%</b>     | <b>4%</b>     |
| <b>Fixed liabilities</b>            | <b>27.2</b>  | <b>24.8</b>  | <b>25.4</b>  | <b>25.5</b>  | <b>24.8</b>  | Applied system and equipment | 6%           | -1%          | 20%           | 5%            | 5%            |
| Long term borrowings                | 15.8         | 13.3         | 13.8         | 13.9         | 13.2         | EV                           | -31%         | -37%         | 15%           | 5%            | 5%            |
| Other fixed liabilities             | 11.5         | 11.6         | 11.6         | 11.6         | 11.6         | Power source                 | 11%          | -17%         | -14%          | 0%            | 0%            |
|                                     |              |              |              |              |              | Storage                      | 4%           | -9%          | 12%           | 6%            | 6%            |
|                                     |              |              |              |              |              | Others                       | -20%         | 15%          | 0%            | 0%            | 0%            |
| <b>Net assets</b>                   | <b>113.8</b> | <b>123.5</b> | <b>129.7</b> | <b>136.1</b> | <b>144.4</b> | <b>OP by Product</b>         |              |              |               |               |               |
| <b>Total liabilities and equity</b> | <b>192.6</b> | <b>195.6</b> | <b>205.1</b> | <b>212.9</b> | <b>221.6</b> | <b>(JPY bn)</b>              | <b>F3/25</b> | <b>F3/26</b> | <b>F3/27e</b> | <b>F3/28e</b> | <b>F3/29e</b> |
|                                     |              |              |              |              |              | <b>Capacitor</b>             | <b>1.6</b>   | <b>4.6</b>   | <b>7.2</b>    | <b>9.6</b>    | <b>12.0</b>   |
|                                     |              |              |              |              |              | Aluminum capacitor           | 0.5          | 3.1          | 4.2           | 6.3           | 8.5           |
|                                     |              |              |              |              |              | Film capacitor               | 1.0          | 1.5          | 2.9           | 3.3           | 3.5           |
|                                     |              |              |              |              |              | <b>NECST</b>                 | <b>3.7</b>   | <b>1.9</b>   | <b>2.2</b>    | <b>2.8</b>    | <b>3.1</b>    |
|                                     |              |              |              |              |              | Applied system and equipment | 1.1          | 0.8          | 1.1           | 1.2           | 1.3           |
|                                     |              |              |              |              |              | EV                           | -0.3         | -0.8         | -0.7          | -0.7          | -0.7          |
|                                     |              |              |              |              |              | Power source                 | 0.5          | 0.1          | 0.3           | 0.3           | 0.4           |
|                                     |              |              |              |              |              | Storage                      | 2.2          | 1.5          | 1.6           | 1.9           | 2.1           |
|                                     |              |              |              |              |              | Others/Adjustment            | 0.2          | 0.2          | 0.0           | 0.0           | 0.0           |
|                                     |              |              |              |              |              | (OPM)                        |              |              |               |               |               |
|                                     |              |              |              |              |              | <b>Capacitor</b>             | <b>1.6%</b>  | <b>4.5%</b>  | <b>6.1%</b>   | <b>7.7%</b>   | <b>9.1%</b>   |
|                                     |              |              |              |              |              | Aluminum capacitor           | 0.7%         | 3.8%         | 4.5%          | 6.3%          | 8.0%          |
|                                     |              |              |              |              |              | Film capacitor               | 5.1%         | 7.2%         | 12.4%         | 13.2%         | 13.5%         |
|                                     |              |              |              |              |              | <b>NECST</b>                 | <b>4.8%</b>  | <b>2.8%</b>  | <b>3.2%</b>   | <b>3.9%</b>   | <b>4.1%</b>   |
|                                     |              |              |              |              |              | Applied system and equipment | 14.4%        | 11.3%        | 12.6%         | 13.6%         | 14.0%         |
|                                     |              |              |              |              |              | EV                           | -5.4%        | -21.3%       | -17.6%        | -16.3%        | -16.0%        |
|                                     |              |              |              |              |              | Power source                 | 1.9%         | 0.3%         | 1.4%          | 1.8%          | 2.1%          |
|                                     |              |              |              |              |              | Storage                      | 6.2%         | 4.7%         | 4.4%          | 5.0%          | 5.2%          |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# Nippon Chemi-Con: Key Financial Data

## Exhibit 71:

| Income Statement                                 |              |              |              |              |              | Cashflow Statement                                    |              |             |             |             |             |
|--------------------------------------------------|--------------|--------------|--------------|--------------|--------------|-------------------------------------------------------|--------------|-------------|-------------|-------------|-------------|
| (JPY bn)                                         | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                                              | F3/25        | F3/26       | F3/27e      | F3/28e      | F3/29e      |
| <b>Sales</b>                                     | <b>122.7</b> | <b>136.8</b> | <b>154.0</b> | <b>158.3</b> | <b>165.0</b> | <b>Cash flow from operating activities</b>            | <b>-0.5</b>  | <b>7.6</b>  | <b>4.8</b>  | <b>11.0</b> | <b>11.5</b> |
| Costs of Sales                                   | 99.0         | 112.4        | 124.5        | 126.2        | 130.0        | EBIT                                                  | 0.6          | 3.5         | 5.0         | 7.4         | 9.5         |
| <b>Gross Profit</b>                              | <b>23.7</b>  | <b>24.4</b>  | <b>29.5</b>  | <b>32.1</b>  | <b>35.0</b>  | Depreciation                                          | 7.1          | 7.3         | 7.0         | 6.8         | 6.8         |
| SG&A                                             | 20.0         | 21.1         | 22.5         | 23.0         | 23.8         | Changes in Receivables                                | 2.7          | -4.3        | -3.7        | -0.9        | -1.4        |
| <b>Operating Income</b>                          | <b>3.7</b>   | <b>3.4</b>   | <b>7.0</b>   | <b>9.1</b>   | <b>11.2</b>  | Change in inventory                                   | -3.8         | 3.1         | -3.5        | -0.5        | -1.0        |
| Non-operating income/expenses                    | -2.2         | -1.3         | -2.0         | -1.7         | -1.7         | Changes in Payables                                   | -1.0         | -0.5        | 1.1         | 0.3         | 0.4         |
| <b>Recurring Profit</b>                          | <b>1.6</b>   | <b>2.1</b>   | <b>5.0</b>   | <b>7.4</b>   | <b>9.5</b>   | Other                                                 | -6.1         | -1.5        | -1.1        | -2.0        | -2.8        |
| Extraordinary income                             | -1.0         | 1.4          | 0.0          | 0.0          | 0.0          | <b>Cash flow from investing activities</b>            | <b>-9.8</b>  | <b>-5.3</b> | <b>-5.7</b> | <b>-6.3</b> | <b>-6.6</b> |
| <b>Profit before income taxes</b>                | <b>0.6</b>   | <b>3.5</b>   | <b>5.0</b>   | <b>7.4</b>   | <b>9.5</b>   | Purchase of PP&E                                      | -9.3         | -4.4        | -5.5        | -6.1        | -6.3        |
| Income taxes                                     | 0.5          | 1.1          | 1.7          | 2.5          | 3.2          | Sales of PP&E                                         | 0.0          | 0.0         | 0.0         | 0.0         | 0.0         |
| (Effective tax rate)                             | 88%          | 31%          | 34%          | 34%          | 34%          | Other                                                 | -0.4         | -0.9        | -0.2        | -0.2        | -0.3        |
| Profit attributable to non-controlling interests | 0.0          | 0.1          | 0.0          | 0.0          | 0.0          | <b>Cash flow from financing activities</b>            | <b>-11.9</b> | <b>-6.2</b> | <b>-0.3</b> | <b>-1.7</b> | <b>-1.8</b> |
| <b>Net Profit</b>                                | <b>0.0</b>   | <b>2.4</b>   | <b>3.3</b>   | <b>4.9</b>   | <b>6.3</b>   | Net Change In Borrowings                              | -10.6        | -4.6        | 2.8         | -0.6        | -0.7        |
| Capex                                            | 7.6          | 5.9          | 5.7          | 6.3          | 6.6          | Purchase of treasury shares                           | 0.0          | 0.0         | 0.0         | 0.0         | 0.0         |
| Depreciation & amortization                      | 7.1          | 7.3          | 7.0          | 6.8          | 6.8          | Cash dividend paid                                    | -0.2         | -0.6        | -1.1        | -1.1        | -1.1        |
| R&D                                              | 4.2          | 3.9          | 4.4          | 4.5          | 4.7          | Other                                                 | -1.2         | -1.1        | -2.0        | 0.0         | 0.0         |
| EPS (JPY)                                        | 1.0          | 68.8         | 83.5         | 124.0        | 159.4        | Effect of exchange rate changes                       | 0.7          | 1.3         | 3.5         | 0.0         | 0.0         |
| USD/JPY                                          | 152.6        | 150.8        | 155.0        | 155.0        | 155.0        | Changes in cash and cash equivalents                  | -21.4        | -2.6        | 2.3         | 3.0         | 3.1         |
|                                                  |              |              |              |              |              | <b>Cash and cash equivalents at end of the period</b> | <b>23.9</b>  | <b>21.3</b> | <b>23.6</b> | <b>26.6</b> | <b>29.7</b> |

| Balance Sheet                       |              |              |              |              |              | Sales by Product       |              |              |              |              |              |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|------------------------|--------------|--------------|--------------|--------------|--------------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)               | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       |
| <b>Total assets</b>                 | <b>162.7</b> | <b>166.0</b> | <b>173.7</b> | <b>177.2</b> | <b>182.1</b> | <b>Capacitor</b>       | <b>118.0</b> | <b>131.8</b> | <b>149.9</b> | <b>154.2</b> | <b>160.9</b> |
| <b>Current assets</b>               | <b>86.6</b>  | <b>87.6</b>  | <b>97.0</b>  | <b>101.5</b> | <b>107.1</b> | Aluminum capacitor     | 106.1        | 120.0        | 138.3        | 142.6        | 149.3        |
| Cash and cash equivalents           | 23.9         | 21.3         | 23.6         | 26.6         | 29.7         | DLCAP                  | 3.8          | 3.6          | 3.2          | 3.2          | 3.2          |
| Accounts receivable                 | 28.9         | 29.2         | 32.9         | 33.8         | 35.2         | Other capacitor        | 2.5          | 2.6          | 2.4          | 2.4          | 2.4          |
| Inventories                         | 33.1         | 31.2         | 34.7         | 35.3         | 36.3         | Capacitor material     | 5.7          | 5.6          | 5.9          | 5.9          | 5.9          |
| Other financial assets              | 0.8          | 5.8          | 5.8          | 5.8          | 5.8          | <b>Mechanical part</b> | <b>3.4</b>   | <b>3.2</b>   | <b>2.6</b>   | <b>2.6</b>   | <b>2.6</b>   |
| <b>Fixed assets</b>                 | <b>76.1</b>  | <b>78.4</b>  | <b>76.6</b>  | <b>75.7</b>  | <b>75.1</b>  | <b>Other</b>           | <b>1.2</b>   | <b>1.8</b>   | <b>1.4</b>   | <b>1.4</b>   | <b>1.4</b>   |
| Tangible fixed assets               | 48.3         | 47.5         | 46.2         | 45.7         | 45.5         | (YoY)                  |              |              |              |              |              |
| Intangible fixed assets             | 2.3          | 2.6          | 2.1          | 1.6          | 1.2          | <b>Capacitor</b>       | <b>-19%</b>  | <b>12%</b>   | <b>14%</b>   | <b>3%</b>    | <b>4%</b>    |
| Other non-current assets            | 25.4         | 28.3         | 28.3         | 28.3         | 28.3         | Aluminum capacitor     | -20%         | 13%          | 15%          | 3%           | 5%           |
| <b>Current liabilities</b>          | <b>60.6</b>  | <b>58.5</b>  | <b>61.4</b>  | <b>61.2</b>  | <b>61.7</b>  | DLCAP                  | -28%         | -4%          | -11%         | 0%           | 0%           |
| Short term borrowings               | 36.7         | 34.6         | 36.4         | 36.0         | 36.0         | Other capacitor        | -28%         | 4%           | -5%          | 0%           | 0%           |
| Accounts payable                    | 13.1         | 8.7          | 9.8          | 10.1         | 10.5         | Capacitor material     | 24%          | -1%          | 5%           | 0%           | 0%           |
| Other current liabilities           | 10.8         | 15.1         | 15.2         | 15.2         | 15.2         | <b>Mechanical part</b> | <b>-2%</b>   | <b>-8%</b>   | <b>-16%</b>  | <b>0%</b>    | <b>0%</b>    |
| <b>Fixed liabilities</b>            | <b>45.4</b>  | <b>44.4</b>  | <b>45.5</b>  | <b>45.3</b>  | <b>44.6</b>  | <b>Other</b>           | <b>-21%</b>  | <b>51%</b>   | <b>-22%</b>  | <b>0%</b>    | <b>0%</b>    |
| Long term borrowings                | 38.1         | 35.9         | 37.0         | 36.8         | 36.1         |                        |              |              |              |              |              |
| Other fixed liabilities             | 7.3          | 8.5          | 8.5          | 8.5          | 8.5          |                        |              |              |              |              |              |
| <b>Net assets</b>                   | <b>56.7</b>  | <b>63.1</b>  | <b>66.8</b>  | <b>70.6</b>  | <b>75.8</b>  |                        |              |              |              |              |              |
| <b>Total liabilities and equity</b> | <b>162.7</b> | <b>166.0</b> | <b>173.7</b> | <b>177.2</b> | <b>182.1</b> |                        |              |              |              |              |              |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research

# KOA: Key Financial Data

## Exhibit 72:

| Income Statement                                 |             |             |             |             |             | Cashflow Statement                                    |              |             |             |             |             |
|--------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------------------------------------------------|--------------|-------------|-------------|-------------|-------------|
| (JPY bn)                                         | F3/25       | F3/26       | F3/27e      | F3/28e      | F3/29e      | (JPY bn)                                              | F3/25        | F3/26       | F3/27e      | F3/28e      | F3/29e      |
| <b>Sales</b>                                     | <b>64.1</b> | <b>72.3</b> | <b>78.9</b> | <b>83.6</b> | <b>88.6</b> | <b>Cash flow from operating activities</b>            | <b>8.1</b>   | <b>9.1</b>  | <b>10.0</b> | <b>9.4</b>  | <b>10.7</b> |
| Costs of Sales                                   | 46.0        | 50.4        | 55.8        | 57.7        | 59.9        | EBIT                                                  | 1.3          | 5.3         | 6.7         | 4.6         | 6.5         |
| <b>Gross Profit</b>                              | <b>18.2</b> | <b>21.9</b> | <b>23.1</b> | <b>25.9</b> | <b>28.7</b> | Depreciation                                          | 5.9          | 7.1         | 7.2         | 7.3         | 7.4         |
| SG&A                                             | 17.0        | 18.2        | 19.9        | 20.7        | 21.7        | Changes in Receivables                                | 0.3          | -1.6        | -1.5        | -1.0        | -1.1        |
| <b>Operating Income</b>                          | <b>1.2</b>  | <b>3.6</b>  | <b>3.2</b>  | <b>5.2</b>  | <b>7.0</b>  | Change in inventory                                   | 0.7          | 0.5         | -1.2        | -0.4        | -0.4        |
| Non-operating income/expenses                    | 0.1         | 1.6         | 0.5         | -0.6        | -0.5        | Changes in Payables                                   | -0.5         | -0.9        | 0.3         | 0.2         | 0.2         |
| <b>Recurring Profit</b>                          | <b>1.2</b>  | <b>5.2</b>  | <b>3.7</b>  | <b>4.6</b>  | <b>6.5</b>  | Other                                                 | 0.5          | -1.3        | -1.5        | -1.3        | -1.9        |
| Extraordinary income                             | 0.0         | 0.0         | 3.0         | 0.0         | 0.0         | <b>Cash flow from investing activities</b>            | <b>-23.9</b> | <b>-7.1</b> | <b>-4.1</b> | <b>-5.9</b> | <b>-6.2</b> |
| <b>Profit before income taxes</b>                | <b>1.3</b>  | <b>5.3</b>  | <b>6.7</b>  | <b>4.6</b>  | <b>6.5</b>  | Purchase of PP&E                                      | -25.1        | -7.5        | -4.0        | -5.8        | -6.1        |
| Income taxes                                     | 1.0         | 1.3         | 1.7         | 1.4         | 2.0         | Sales of PP&E                                         | 0.0          | 0.0         | 0.0         | 0.0         | 0.0         |
| (Effective tax rate)                             | 79%         | 25%         | 25%         | 30%         | 31%         | Other                                                 | 1.1          | 0.4         | -0.1        | -0.1        | -0.1        |
| Profit attributable to non-controlling interests | 0.0         | 0.0         | 0.0         | 0.0         | 0.0         | <b>Cash flow from financing activities</b>            | <b>11.3</b>  | <b>-0.5</b> | <b>-5.1</b> | <b>-2.7</b> | <b>-3.2</b> |
| <b>Net Profit</b>                                | <b>0.3</b>  | <b>4.0</b>  | <b>5.0</b>  | <b>3.2</b>  | <b>4.5</b>  | Net Change In Borrowings                              | 13.2         | 0.7         | -3.7        | -1.4        | -1.9        |
| Capex                                            | 24.2        | 5.9         | 4.1         | 5.9         | 6.2         | Purchase of treasury shares                           | 0.0          | 0.0         | 0.0         | 0.0         | 0.0         |
| Depreciation & amortization                      | 5.9         | 7.1         | 7.2         | 7.3         | 7.4         | Cash dividend paid                                    | -1.8         | -1.1        | -1.4        | -1.3        | -1.3        |
| R&D                                              | 3.6         | 3.6         | 3.5         | 3.7         | 3.9         | Other                                                 | -0.1         | -0.1        | 0.0         | 0.0         | 0.0         |
| EPS (JPY)                                        | 7.0         | 106.4       | 134.6       | 86.2        | 121.2       | Effect of exchange rate changes                       | 0.2          | 1.1         | -6.9        | 0.0         | 0.0         |
| USD/JPY (Average)                                | 152.6       | 151.1       | 155.0       | 155.0       | 155.0       | Changes in cash and cash equivalents                  | -4.4         | 2.6         | -6.2        | 0.8         | 1.3         |
|                                                  |             |             |             |             |             | <b>Cash and cash equivalents at end of the period</b> | <b>26.6</b>  | <b>29.0</b> | <b>22.8</b> | <b>23.6</b> | <b>24.9</b> |

| Balance Sheet                       |              |              |              |              |              | Sales by customer region        |       |       |        |        |        |
|-------------------------------------|--------------|--------------|--------------|--------------|--------------|---------------------------------|-------|-------|--------|--------|--------|
| (JPY bn)                            | F3/25        | F3/26        | F3/27e       | F3/28e       | F3/29e       | (JPY bn)                        | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| <b>Total assets</b>                 | <b>141.4</b> | <b>151.6</b> | <b>144.8</b> | <b>145.5</b> | <b>147.0</b> | Japan                           | 16.5  | 18.3  | 19.0   | 19.7   | 20.5   |
| <b>Current assets</b>               | <b>57.5</b>  | <b>62.7</b>  | <b>59.2</b>  | <b>61.5</b>  | <b>64.3</b>  | North America                   | 11.0  | 11.5  | 12.1   | 12.5   | 12.9   |
| Cash and cash equivalents           | 26.6         | 29.0         | 22.8         | 23.6         | 24.9         | Asia                            | 24.5  | 28.7  | 32.5   | 35.6   | 39.1   |
| Accounts receivable                 | 13.8         | 16.0         | 17.4         | 18.5         | 19.6         | Europe                          | 12.1  | 13.8  | 15.3   | 15.7   | 16.1   |
| Inventories                         | 13.4         | 13.5         | 14.7         | 15.1         | 15.5         | (YoY)                           |       |       |        |        |        |
| Other financial assets              | 3.6          | 4.3          | 4.3          | 4.3          | 4.3          | Japan                           | -9%   | 11%   | 4%     | 4%     | 4%     |
| <b>Fixed assets</b>                 | <b>83.9</b>  | <b>88.8</b>  | <b>85.6</b>  | <b>84.0</b>  | <b>82.7</b>  | North America                   | -3%   | 5%    | 5%     | 3%     | 3%     |
| Tangible fixed assets               | 71.5         | 74.5         | 71.3         | 69.8         | 68.5         | Asia                            | 5%    | 17%   | 13%    | 10%    | 10%    |
| Intangible fixed assets             | 3.2          | 3.0          | 2.9          | 2.9          | 2.9          | Europe                          | 2%    | 14%   | 11%    | 2%     | 2%     |
| Other non-current assets            | 9.2          | 11.3         | 11.3         | 11.3         | 11.3         |                                 |       |       |        |        |        |
| <b>Current liabilities</b>          | <b>15.9</b>  | <b>24.8</b>  | <b>22.4</b>  | <b>21.4</b>  | <b>20.4</b>  | <b>Sales by customer region</b> |       |       |        |        |        |
| Short term borrowings               | 3.3          | 9.9          | 7.1          | 6.0          | 4.7          | (JPY bn)                        | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
| Accounts payable                    | 5.0          | 3.2          | 3.5          | 3.7          | 4.0          | Automotive                      | 34.7  | 37.4  | -      | -      | -      |
| Other current liabilities           | 7.6          | 11.7         | 11.7         | 11.7         | 11.7         | Industrial                      | 7.1   | 8.5   | -      | -      | -      |
| <b>Fixed liabilities</b>            | <b>47.3</b>  | <b>38.1</b>  | <b>37.1</b>  | <b>36.9</b>  | <b>36.3</b>  | Home appliance                  | 3.1   | 3.2   | -      | -      | -      |
| Long term borrowings                | 41.2         | 35.5         | 34.5         | 34.3         | 33.7         | Communication                   | 4.5   | 5.6   | -      | -      | -      |
| Other fixed liabilities             | 6.1          | 2.6          | 2.6          | 2.6          | 2.6          | Power supply                    | 3.2   | 4.0   | -      | -      | -      |
|                                     |              |              |              |              |              | Others                          | 11.7  | 13.5  | -      | -      | -      |
| <b>Net assets</b>                   | <b>78.1</b>  | <b>88.6</b>  | <b>85.3</b>  | <b>87.2</b>  | <b>90.4</b>  | (YoY)                           |       |       |        |        |        |
| <b>Total liabilities and equity</b> | <b>141.4</b> | <b>151.6</b> | <b>144.8</b> | <b>145.5</b> | <b>147.0</b> | Automotive                      | 4%    | 8%    | -      | -      | -      |
|                                     |              |              |              |              |              | Industrial                      | -21%  | 20%   | -      | -      | -      |
|                                     |              |              |              |              |              | Home appliance                  | 1%    | 5%    | -      | -      | -      |
|                                     |              |              |              |              |              | Communication                   | 12%   | 26%   | -      | -      | -      |
|                                     |              |              |              |              |              | Power supply                    | 10%   | 26%   | -      | -      | -      |
|                                     |              |              |              |              |              | Others                          | -9%   | 16%   | -      | -      | -      |

Note: e = Morgan Stanley Research estimates  
Source: Company Data, Morgan Stanley Research



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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
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| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

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## INDUSTRY COVERAGE: Electronic Components

| COMPANY (TICKER)                             | RATING (AS OF)  | PRICE* (07/07/2026) |
|----------------------------------------------|-----------------|---------------------|
| <b>Shoji Sato</b>                            |                 |                     |
| ALPS ALPINE (6770.T)                         | O (03/17/2026)  | ¥2,033              |
| Hamamatsu Photonics (6965.T)                 | E (06/17/2026)  | ¥2,478              |
| Ibiden (4062.T)                              | U (02/04/2026)  | ¥19,895             |
| Kyocera (6971.T)                             | E (06/25/2020)  | ¥3,741              |
| Mabuchi Motor (6592.T)                       | E (11/03/2022)  | ¥1,653              |
| Minebea Mitsumi (6479.T)                     | E (10/23/2025)  | ¥4,372              |
| Murata Manufacturing (6981.T)                | O (11/26/2025)  | ¥9,212              |
| Nidec (6594.T)                               | NR (09/05/2025) | ¥2,656              |
| Niterra (5334.T)                             | O (01/17/2024)  | ¥10,575             |
| Taiyo Yuden (6976.T)                         | U (06/17/2026)  | ¥16,355             |
| TDK (6762.T)                                 | O (08/02/2022)  | ¥3,357              |
| <b>Sota Harashima</b>                        |                 |                     |
| CMK (6958.T)                                 | E (02/28/2025)  | ¥611                |
| Daishinku (6962.T)                           | U (06/17/2026)  | ¥875                |
| Hirose Electric (6806.T)                     | O (07/10/2024)  | ¥27,490             |
| IRISO Electronics (6908.T)                   | E (08/02/2022)  | ¥2,890              |
| Japan Aviation Electronics Industry (6807.T) | E (01/17/2024)  | ¥2,340              |
| KOA (6999.T)                                 | E (06/17/2026)  | ¥2,559              |
| Meiko Electronics (6787.T)                   | E (04/03/2026)  | ¥26,570             |
| Nichicon (6996.T)                            | E (11/10/2021)  | ¥3,625              |
| Nihon Dempa Kogyo (6779.T)                   | E (03/07/2024)  | ¥3,290              |
| Nippon Chemi-Con (6997.T)                    | U (09/20/2024)  | ¥4,250              |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.